

casebook & interview guide

2004-2005



MITSloan

C management
C consulting club

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INTRODUCTION

Dear Club Member,

The purpose of this book is to help you prepare for the complicated and often times confusing Consulting Interview Process. We have put a lot of effort into editing this year's casebook to make it easier for you to read through, and practice from. We would also like to extend our gratitude to all those students who contributed new cases to help maintain this document as current as possible.

Although this is an important tool to help you prepare for consulting interviews, you should be aware that it is only one of many resources that you need to draw from. Both the Management Consulting Club and the Career Development Office at MIT Sloan offer several additional resources to help students prepare. We strongly suggest that you draw on these resources to assure that you show the best performance during your consulting interview.

We hope you will find the contents of this book useful and would welcome feedback on how to improve the content for next year!

Sincerely,

Your club officers



2004 — 2005 CASEBOOK AND INTERVIEW GUIDE

CHAPTER I

How to use the Casebook

As you can see from the table of contents, the Case Book and Interview Guide is composed of five main parts and twelve chapters. These are our recommendations on how to use this book:

- Read chapter two, ETIQUETTE AND THE INTERVIEW PROCESS and chapter three, THE PERSONAL INTERVIEW first. This will give you an idea of what the interview process is like.
- Look over chapters four and five, TYPICAL PERSONAL INTERVIEW QUESTIONS and THE CASE QUESTION next. This will give you a deep understanding of what your interviewers will be looking for.
- Now read chapter six, CONSULTING FRAMEWORKS AND TOOLS. Much of this material will be familiar to you. It is the sort of stuff you are paying lots of money to learn at Sloan.
- Then...

PRACTICE (we will say this more than once in this book)! Link up with at least two classmates. One plays the interviewer, one plays the interviewee, and one observes. Run through an actual 30 minute interview. Include some personal questions at the start. In short, **role play an interview**, keeping the tone as serious as you expect to find the real situation.

- Try to practice with different people to get used to different styles of interviewing, hear more feedback, and to observe what works and what doesn't.
- Finally, attend Case Preparation Workshops to learn from the experts. Use your Buddy as another source of insight. Second year Buddies are more than happy to practice cases with you!



2004 — 2005 CASEBOOK AND INTERVIEW GUIDE

CHAPTER 2

Etiquette and the interview process

Your performance in this area affects not only you, but also the reputation of MIT Sloan, its students, and its alumni. Please keep the following in mind...

Your professionalism says a lot about you and MIT Sloan. Any lack of professionalism will have an even greater and more lasting effect! Here are the rules of interviewing:

Don't break the rules!

- **Follow through on your commitments.** Don't leave corporate presentations early! If you must, sit by the door and be discrete. If you sign up for an interview or a company dinner – go. If you must cancel, do so well in advance so someone else can have your spot.
- **Be early.** A 9:00 a.m. interview means you should be in with your interviewer at 9:00, not taking off your coat and signing in. If they are running late and this impacts your schedule, be gracious and work with the coordinator to remedy the situation. Getting agitated won't help.
- **Be prepared.** Employers are very sensitive to people who come in and try to "wing it". This reflects poorly on both you and MIT Sloan. So if you aren't genuinely interested, don't take the spot from someone who might really want it.
- **Celebrate discretely.** Once you get a job offer, you will have the urge to go singing through the streets. Just remember, many of your friends are still looking and for them the disappointment is mounting.
- **Collaborate rather than compete.** By helping one another out, we will all be prepared to do our best. This will encourage more companies to recruit at Sloan and for those already here, to hire greater numbers of students.



2004 — 2005 CASEBOOK AND INTERVIEW GUIDE

PART I

the personal interview



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2004 — 2005 CASEBOOK AND INTERVIEW GUIDE

CHAPTER 3

Personal interview overview

You may be tempted to just practice case interview questions and “wing it” through the personal portions. Don’t make this mistake! Your interviewer is just as interested in how you “fit” the firm as how fast you can chug through that industry analysis case. So here are some pointers gleaned from various interviewing books and Sloanies’ experiences. Disclaimer: Some of this may be common sense, but a little reminder never hurts!

Format

The “typical” consulting interview for a summer internship consists of two rounds. The first round is a screening round. You will normally interview with two consultants from the firm, one consultant for each interview. If you do well, you will be invited back, often the next day, for a second round of interviews. In the second round, you may have two or three interviews with different consultants. These consultants will usually be from your desired office or specialty.

The process is a little different for permanent positions. You will usually have three rounds rather than two. The third round will probably be at your desired office.

Each interview lasts from a half hour to 45 minutes. The first half of your screening round interviews will usually be the “personal interview” portion. You will usually receive a case question after 15 minutes of personal questions.

Prior to any case question, expect five minutes of chit-chat. Yes, this is part of the personal interview!

What is the purpose of the personal interview questions? Well, the firm wants to know why you want to be a consultant and why you want to join their firm. They are also trying to assess your “fit” with the firm and test whether you have researched their firm appropriately to make an informed decision if they make you an offer. The bottom line: If you don’t impress your interviewer in the personal portion, your performance on the case questions will not matter!

Preparation

The key to performing well in the personal interview portion is preparation. Don’t make the mistake of only practicing cases with your friends and Management Consulting Club buddy, or even worse, reading this case book on your own and “winging it.” You need to anticipate the questions your interviewer will ask and have a story that incorporates your skills and ties them to your desire and qualifications to be a management consultant with the firm you are pursuing. And don’t forget that the “personal interview” extends throughout the recruiting process!

There are three key points to remember for a successful personal interview.

- Know Yourself
- Know the Firm
- Listen Well

As you go through the interview process, you will receive tough questions that probe not only your intentions and intellect, but also your psyche and personality. Your delivery is as important as what you say. The only way to show poise and grace while answering these tough questions is practice over an extended period of time!

Know Yourself

You need to create a story line for yourself. Describe how your life has developed such that a job with firm X is the next logical step in reaching your goals. Be able to walk through the details of your resume and fill in the details. For instance, why did you make the moves you have? What have been the most significant decisions you have made? Where were the challenges and where were the triumphs? This is also your chance to set yourself apart. Give the interviewer something to remember you by – tell an interesting story, talk about a unique skill or talent, etc. One way to do this is to incorporate words that will provoke curiosity into your resume. Given the recent survey on employers' perceptions of Sloan students, you should be prepared to emphasize teamwork, communication skills and business savvy.

The CDO offers many sessions where you learn to match your personal assets and strengths to the career you are considering. You will also learn to mitigate weaknesses in your skills or background. Take advantage of these sessions, as they will help you learn the self-insight that is required to answer your interviewer's questions honestly and persuasively.

Also, be aware of the recruiters' perceptions that they have even before meeting you for the interview. Try to break the negative reputation and re-enforce the positive. Below we have included the study conducted by CDO where recruiters were asked what do they think about Sloan students.

First, the positive recruiter perception of Sloan

- Sloanes are super smart academically and quantitatively excellent
- Sloanes are approachable and helpful

Now the negative impressions:

- Some recruiters believe Sloanes are not team oriented
- Sloanes have less business savvy than other MBA's
- Sloanes lack etiquette
- Sloanes are not the best in interpersonal and communication skills
- Sloanes solve too many problems on paper
- Sloanes often demonstrate depth vs breadth in interviews
- Sloanes are not strong in selling themselves in interviews
- Finally, some recruiters believe that Sloanes are under-prepared for their interviews

Now that you are aware of these stereotypes, you may work on them to improve your chances of getting the job. Make a strong effort to cite examples of teamwork. Be on-time for your interview and properly dressed, remember that an interviewer is checking whether he/she can put you in front of a client. To demonstrate breadth of the case analysis, skim the surface of the most salient issues and then go into detail when prompted by the interviewer. To summarize, leverage these myths by showing that in addition to being a smart, helpful, numbers person, you are also a creative, thoughtful, well-mannered, personable, and savvy business student ready to sell ideas to clients that will positively impact their bottom line.

Know the Firm

What does the firm pride itself on? What makes them unique? If a firm prides itself on being a thought leader, show how you have been a thought leader or why being part of a firm that leads the industry is important to you. You must also know the basics about a company such as where they have offices and how they are structured. If you are unclear about any of these areas – ask! You do, however, want to show some initial understanding and then ask for clarification. For example, ask, "I understand that your firm is structured around 5 industry practice groups. Could you please elaborate on how this structure works in respect to a typical client engagement?"

You can learn about the consulting firms by attending their recruiting and MCC-sponsored presentations. Use these opportunities to ask the consultants smart questions. If you are interested in a firm, be sure to call the recruiting manager or a consultant you have spoken with and get more information about the work and culture. And don't forget that your best resource may be your classmates who worked at the firm prior to MIT Sloan. As you learn more about the firm, you are also building a network of people who can help you decide which firm is right for you. Keep a running list of contacts and people in your network.

Don't be shy about asking smart questions. Remember, most people are honored when they are asked about their opinions and experiences!

Keep in mind that the purpose of questions is two-fold. First and most importantly, the right questions will help you make the right decisions about where you want to work. Second, you want to articulate why you are interviewing with this firm and why you fit in with the company and their culture.

To get you started, the following are a list of questions may help your evaluation process. They are useful to know, but you may come across as not having done your homework if you ask them during an interview. The information is readily available from company websites, presentations, and recruiting paraphernalia:

- Is the firm (office) structured by industry (or functional) group, or are most consultants generalists?
- What is the firm's business focus? Strategy? Re-engineering? Operations? I.T.? Some combination?
- What is the firm's client types? Fortune 100, Fortune 500, middle market, start-ups?
- How does the firm fit into/affect my career goals in the short-term and the long-run? Both inside and outside the firm?
- What is the firm's ownership structure? Independent, corporate subsidiary?
- Lifestyle? Number of days in/out of office, hours/week, travel?
- What is the financial package/fringe benefits?
- What percentage of summer-hires get full-time offers? What percentage accept?
- How fast has the firm growth been over the past few years? What are the implications of that growth (or lack of growth)?

The following are possible topics that you may want to tailor specific questions around. Remember, over-generalized and generic questions (such as 'What is the culture of the firm?') are unlikely to get you other than the textbook answer and will not gain you points with your interviewer. Instead, tailor your question to a specific aspect of the firm.

- How does the firm staff for engagements? Regionally, nationally, internationally? In reality, is staffing a somewhat self-managed process?
- What are the entry-level position responsibilities? Case leadership responsibilities? How many engagements is a consultant on at a time?
- What is the career progression path and timeline for the firm?
- What is the nature of the firm's training and development? How is staffing balanced to incorporate the needs of the firm, the needs of the client, and the personal development needs of the firm's consultants?
- What is the engagement design? Team size, client involvement, engagement length, team hierarchy and make-up? Instead of asking questions about the average (the typical interviewer response is 'it depends on the case') ask about a specific case the interviewer is currently working on to get a 'flavor' for what it might be like.

- What are people like? Homogenous, diverse, individualistic?
- What is the culture of the firm? Entrepreneurial, structured, client focus, empirical/analytical? Up or out?
- Describe a typical week at the office?
- Do you see the focus of the firm shifting in the future? (applicable to niche consulting firms)
- Do you have a mentoring program?
- Does your firm do pro bono work? Could you please describe the work?
- How does the firm spread knowledge internally, especially among geographically dispersed offices?

Listen Well

This is SO important. Insights and clues are all around you. Even before your interview begins, you should try to pick up any information you can. Many companies will have consultants in the waiting room to greet you. Ask them why they joined the company and what they like most about it. Go to the company presentations and take notes. What are the buzz words they use to describe themselves and the people they hire? Remember a few highlights from the corporate presentation. You very likely may be asked what you thought about the presentation. In the interview, pay attention to your interviewer. What makes them look interested? What do they ask you to elaborate on? If you are weak in one response ("Did you receive any academic awards in college?" - "Uh, no."), listen for a chance to show your skills in another way.

Finally, **PRACTICE, PRACTICE, PRACTICE!** Find a partner and interview one another.

The Physical Factors of Interviewing

What to take to the Interview

Some interviewers will have a pad of paper and a pen for you to take notes during the case portion of the interview. But don't bet your future on it! In the past, people have brought a leather folder with a pad of paper inside and, of course, a pen. Don't forget a few extra copies of your resume.

Answering the Question

Roger Cameron, a recruiter for companies that pursue MBA-level talent, suggests a four-step process to use when answering your interviewer's questions:¹

1. **Listen.** Actively and eagerly listen to each word the interviewer says. Show signs of listening by nodding your head and moving your eyes. Make eye contact but don't make your interviewer uncomfortable by staring him or her down. Look away every 5 to 7 seconds. Don't try to "butt in" and answer the interviewer's question before he or she is finished.
2. **Reflect.** Take a moment to think about the question and how you will answer. A few seconds of silent thought and a well delivered answer are much better than a rambling, quick response.
3. **Organize** your answer in your mind.
4. **Deliver** your answer.

¹ Much of the information in these sections is from Roger Cameron's books, PCS to Corporate America: From Military Tactics to Corporate Interviewing Strategy and Your Career Fast Track Starts in College, and the book Power Interviews: Job-Winning Tactics from Fortune 500 Recruiters by Neil Yeager and Lee Hough. See the end of this Case Book for information on obtaining these enlightening tomes.

How do I show my High Energy Level?

As a consultant you will work long hours and be expected to show boundless energy around your co-workers, and especially your clients. If you can't show a high energy level in the interview, your interviewer may doubt your ability to keep up with the fast pace of the consulting life. Here's some ways to explicitly show that you are a high-energy person:

1. **Your Walk.** Show a sense of urgency when you are called into the interviewing room. In fact, always maintain a lively pace no matter where you are. You never know who is watching you.
2. **Your Handshake.** Look the person in the eye and smile. Your handshake should be firm and full into the hand. Step into the handshake as you offer your hand. Energy should flow from you to the person you are shaking hands. This goes for men and women.
3. **Your Voice.** Show enthusiasm as you speak. Modulate the tone, pitch, and speed of your voice.
4. **Your Posture.** Don't sit on the front edge of the chair or couch. Sit back in the chair so you can lean forward when you want to emphasize a point. Don't be stiff but don't slouch.

Be sure to practice and evaluate yourself on these physical factors of interviewing when you practice with your MCC buddy and classmates!

"Any questions for me?"

As time runs out your interviewer will likely ask if you have any questions. This is your opportunity to demonstrate your knowledge and curiosity about the firm. Always have three or four relevant questions prepared before you go into any interview!

Closing the Interview

As the interview winds down you need to close the interview. Be personal, sincere and upbeat. Express what impresses you about the firm and state that you look forward to a follow-on interview or to receiving an offer from the firm. Ask for the job!

Ask when you can expect a phone call with the results of the interview so you can be home to receive it. This way, you will be able to ask for feedback about your performance in the interview process. Keep in mind that the greeting and recruiting staff outside your interview room may provide this information to you after your interview. Never ask, "So how did I do?" during the interview or the walk back to the hotel lobby!

Rescuing a Poor Interview

What if you feel your interview didn't go well and you didn't get out information about yourself that is crucial to your getting the job? If you're getting positive feedback that you will be invited back for a second round or an offer, don't do anything! Ask your smart questions and close the interview.

However, if you're getting a negative reaction from your interviewer and if strong positive factors in your background were not brought out by the interviewer's questions, you might want to say something like, "I do have some questions for you. However, before I ask them, I think there are some things I need to tell you about myself that I have not yet shared with you today."

Be positive and do not remind your interviewer of a negative issue that came up in the interview. This is a last ditch technique to rescue a poor interview, so be smart and very selective in using it!

After the Interview

Thank-You notes

Send thank-you notes to all your interviewers the same day as your interview! Your interviewers spend a lot of their precious time and effort to travel to visit you and you should express your sincere appreciation. The sooner your thank-you note arrives, the more likely your interviewer will remember you. You may even want to consider faxing thank-you letters in addition to mailing them.

Don't thank your interviewer for the time they spent interviewing you. Instead, focus on how much you enjoyed the time spent with them learning about the firm and mention a specific topic from your conversation.

Don't ask questions in your letter that require a response from your interviewer. You want to motivate him or her to send you to the next round or give you an offer.

You can hand write your notes if your handwriting is neat. If not, use a computer. You can differentiate yourself by using colored note paper and envelopes. Be unique and professional.

Getting Feedback

Whether you get the job or not, you want to get feedback about your performance throughout the interview process. This includes asking what specific factors or issues differentiated those who made it to the next round from those who did not. When possible, be home when the interviewer calls with the results and ask for specific feedback that will help you in future interviews. If you can not be home for the phone call, call the interviewer or recruiting manager and ask for a phone appointment to discuss your performance. Most interviewers and firms are happy to help you and give you feedback, even if you didn't get the job!

CHAPTER 4

Typical personal interview questions

Here's a list of common questions you'll receive in the interview, and some advice on how to frame your answers!

The following questions are typical of the personal or resume interview. They allow the interviewer not only to ask questions about your resume, but also to evaluate your ability to speak concisely and clearly. When you practice these questions with your friends, remember to structure each answer and limit the length. The longest personal interview you will have will be 30 minutes or less, so taking all of that time to talk about your favorite class at Sloan is probably not a good idea. Get feedback from your practice partners and ask them what they think your strengths and weaknesses are. The interviewer will be speaking to many people in a matter of hours, so try to think of three distinguishing aspects of yourself that you want the interviewer to remember.

Be sure to read the Wall Street Journal, especially during the interview season. In addition to the following questions, don't forget that any detail on your resume, no matter how small, is fair game.

Be prepared for these!

Be prepared to answer all of the following questions. Good approaches to answering these questions can be found in materials from the MIT Sloan Career Development Office and in Neil Yeager and Lee Hough's book, Power Interviews: Job-Winning Tactics from Fortune 500 Recruiters. These are some sample questions:

- Tell me about yourself.
- Why do you think you would make a good consultant?
- How would you describe yourself? How would your close friends describe you?
- What does leadership mean to you?
- What have you done that demonstrates your ability to lead?
- What have you done outside of MIT Sloan that demonstrates you work well in a team environment?
- Why did you choose MIT Sloan? Why business school? What have you learned?
- What has been your best experience at MIT Sloan? Your most frustrating?

- What has been your favorite class? Your least favorite? Why?
- Have you been satisfied with your grades?
- What accomplishment(s) makes you the most proud? Why?
- What book(s) have you read recently? Tell me about it(them).
- What magazines do you read?
- Why do you want to be a consultant?
- Where do you see yourself in 3 years? 5 years? 10 years?
- What is the most important thing not on your resume?
- What are your geographic/industry preferences?
- Tell me about a professional situation in which you impacted your peers.
- Are you a “details” or a “big picture” person? Why?
- Have you ever had to compromise your ethics? When and how?
- What are your criteria for selecting a firm? How would you choose from multiple offers?
- Why do you want to work at our firm? Why us instead of another consulting firm?
- What do you think it takes to make a good consultant?
- Describe an experience where you failed. What did you learn from this?
- What are your greatest strengths and weaknesses?
- What is your GPA? Your GMAT score? Your SAT’s (this was really asked a few times!)? Be ready to explain if it’s below average.
- Describe a situation in the past where you had to analyze and solve a problem.
- Are you competitive?
- Why should we hire you?
- Where else are you applying and why?
- What is your concentration at MIT Sloan?
- What do you do for fun at MIT Sloan?
- How will you know when you have become a success?
- Describe the best/worst manager you have ever worked for.
- If you were offered the job right now, would you take it?

- Why should I bother reading your resume?
- What makes you a more interesting candidate than anyone else I interviewed today?
- Do you have any questions you would like to ask me?

This last question is important. Be ready to ask two or three intelligent questions that will show your interest and preparation and provide you with any information you feel you need. Don't ask something that is obvious in the brochure or web page or was stated clearly at the presentation. Do ask questions that specifically were not answered in either forum to demonstrate that you paid attention to both sources of information.

A few types of good questions to ask your interviewer:

1. Industry questions (What is the future of consulting? Etc.)
2. Firm specific questions to show you have done your homework (firm strategy or focus)
3. Background of interviewer
4. Career path at the firm

Possible approaches to tough questions

Roger Cameron's books, PCS to Corporate America: From Military Tactics to Corporate Interviewing Strategy and Your Fast Track Starts in College, and Neil Yeager and Lee Hough's book, Power Interviews: Job-Winning Tactics from Fortune 500 Recruiters are great resources to consult when designing your answers to these important questions.

"Tell me about yourself."

Your interview usually starts with this very open-ended question. To keep you from rambling about your first dog or your first girlfriend or boyfriend, Roger Cameron suggests a framework that shows your goals and accomplishments.

The logic behind this framework is that the interviewer wants to know that you have directed your life to its present state, not taken the path of least resistance. Are you goal oriented? Can you make things happen? By describing yourself in terms of your wants, goals, and objectives and your resulting accomplishments, you tell the story of your life and leave no doubt that you led it!

Here's an example I'd use for myself:

"I grew up in Toledo and was always fascinated by flight. While in high school, my goal was to attend the Air Force Academy so I could fly. This

required that I excel in sports and academics. I worked hard at these goals and was accepted to the academy. I wanted to understand flight so I chose to major in aeronautical engineering, where I was the top graduate in propulsion engineering. I still wanted to fly after graduation but could not attend pilot training due to my eyesight, so I applied for and was accepted into navigator flight training. My goal was to finish at the top of my class so I would have my choice of assignment, and I did. I wanted to be where the action was so I volunteered for the Special Operations Forces rather than accept the standard fighter jet assignment. Against significant odds, I persuaded my future commander to accept me into his organization, where I was the youngest officer for many years. I spent four years prior to MIT Sloan flying combat and special missions in Bosnia, Haiti, Iraq and other countries.”

Using the goal/accomplishment framework shows that you are in charge of your life and provides a great basis for follow-on questions from your interviewer!

“Why . . .?” Questions

These questions probe your ability to reason and come to a quality conclusion. Your interviewer may also use these questions to test for consistency in your responses. Roger Cameron suggests the best approach to any “Why?” question is to form a comparison between the positives and negatives of the options you had when making your choices.

For example, if the interviewer were to ask me, “Why did you choose the Special Operations Forces over flying fighter jets?”, I would say:

“The pro of flying fighters is that it is obviously a sexy business. But there are some cons to it. You spend most of your time practicing things that you will never have the opportunity to do and you rarely travel outside the United States. The Special Operations Forces gave me the opportunity to fly very important missions, even during peace-time, and to live for long periods of time in many countries.”

Know your resume cold and be prepared to follow up any information you reveal in your conversation with your interviewer. When preparing for your interview, ask “Why?” about all facts on your resume and any major events in your life or the story you have built around your experiences.

“Tell me about a significant accomplishment.”

The interviewer wants to know that you were able to break a significant and complex goal down into parts, deal effectively with ambiguity, work well with others to accomplish the goal, and bring the work to a successful conclusion that had an impact on the mission of your employer. Here’s the steps to take when answering this question:

1. **What is the accomplishment?** State the accomplishment immediately. Don’t make your interviewer guess.
2. **What is the significance of it?** Your interviewer probably doesn’t have a clue about what you used to do. Succinctly describe why your accomplishment was important to the goals of your employer.
3. **Tell the interviewer how you accomplished it.** How did you break down the problem and lead your team in solving it? What did you learn about yourself? Here’s where you show the qualities that will make you a great consultant!

“What is your greatest strength and weakness?”

Neil Yeager and Lee Hough suggest in their book, Power Interviews: Job-Winning Tactics from Fortune 500 Recruiters, a three-step process to answering this question:

- 1. Clearly identify your greatest strength.**
- 2. Identify a weakness that could also be perceived as a strength.** You confront the danger of being perceived as insincere by your interviewer if you are too coy with your answer. So don't say things like, “I tend to work too hard.” If you don't want to chance it, state a weakness that you can fix and show how you are making progress addressing it. Whatever you do, don't cough up a list of weaknesses for your interviewer to choose from!
- 3. Point to the benefit of your strength and weakness to the firm.** Your interviewer will not be impressed if your greatest strength has no relevance to being a great consultant. Likewise, you're also sunk if your greatest weakness is that you dislike long hours, traveling, or working with people.

PART 2

preparing for the case question

CHAPTER 5

Case question overview

The friendly banter about your illustrious accomplishments is over and the interviewer says, “So, our client is a major manufacturer of toilets in Liechtenstein...” Beads of sweat drip from your forehead, stinging your eyes as you struggle to follow the facts your interviewer is giving. You fear your interviewer can hear your heart pounding through your chest as the room begins to slowly spin. Maybe you should have gone to law school after all...

The case question is simply a word problem based on a real consulting situation. The purpose of the case question is not to see if your deodorant works. The interviewer is just assessing you on several areas that are important for a good consultant:

1. How do you analyze the problem? Do you develop a framework to organize your thoughts and answers to the case question? Or do you randomly jump from one idea to another without any logical flow?
2. How comfortable or uncomfortable are you with ambiguity?
3. What additional details do you ask for? Can you differentiate important information from extraneous information? Do you use the “80/20 rule”?
4. Can you stick with a line of thinking and follow it through to a conclusion, or do you apply the “shotgun approach” to problem solving?
5. Are you concerned with finding an actionable answer? How can you get the information you need? Can you narrow down the options for the client?

Remember that your analysis must result in a recommendation to the imaginary client!

Format

The case interview question usually follows 15 minutes of personal interview questions in a half-hour interview. Some firms devote the first interview in a round to personal questions and the second interview to case questions. Others may do only five or 10 minutes of personal interviewing during both interviews and focus on the case during the majority of the interview.

Preparation

Practice makes perfect! Attend the MCC case interview workshops sponsored by firms that recruit at MIT Sloan. Start practicing with your MCC buddy and classmates before finals in December, and really work on it in January. Waiting until the January IAP to start practicing is a **bad** idea because many second year MBAs take the month off to travel!

The Bottom Line: **You can’t cram for consulting interviews!**

Types of Cases

Brain Teasers

Classic Example: “Why are all manhole covers round?”

The purpose of these questions is to see if you are creative and can think “out of the box” when you are confronted with an unusual problem.

Market Sizing

Classic example: “How many gas stations are there in the U.S?”

These questions test your comfort with numbers, your ability to identify key drivers and to make key assumptions, and your resourcefulness and creativity.

Operations

Classic example: “Our client’s profits are down. What is going on?”

These questions test your understanding of the profit equation (i.e., the income statement) and the impact of fixed, variable, and sunk costs. Your interviewer also wants to know if you can use a framework to guide your thought and offer an actionable recommendation.

Strategy

Classic example: “Our client wants to begin exporting a commodity chemical to Brazil. Should they?”

These questions test your ability to identify key strategic relationships and relate them to the core competencies of the company. These questions may also test your ability to perform industry analysis and provide actionable recommendations for your client.

Other Cases

You may get other cases concerning government policies and other non-business constraints. Your interviewer is testing you on your ability to analyze and apply structure to non-business problems.

Case Interview Tips

General Tips

- **Be enthusiastic** and excited about the interview, the firm, and the prospect of becoming a consultant!
- **Be fun!** The interviewer is silently giving you the “plane ride to Tokyo test.” That is, would they enjoy sitting next to you for a 24-hour airplane trip.
- **Be positive!** Don’t talk about yourself negatively - you must exude confidence, but not arrogance.

Case Tips

Follow these steps and you won't go wrong!

1. **Take notes.** When the interviewer indicates that she will be giving you a case, ask if she minds if you take notes - if not, get your pen and paper ready!
2. **Listen carefully** to the objective of the case and note the case facts given. Remember to write the question down!
3. **Think.** After the scenario has been set, you must determine two things:
 - Have you been given all the needed information to see the big picture?
 - Is all the information given relevant to the case solution?

To do this, take a minute or two to go over your notes and write down a few guidelines for your ensuing discussion.

4. **Ask and clarify.** If you are unclear about any of the terms used, or information presented, ask for clarification.
5. **Frame it.** Now, you must decide on a framework and communicate to the interviewer how you intend to proceed. The framework serves as your guide to work through and present the answer to your case. You should begin by setting forth a hypothesis as to the final solution (i.e., "I believe the reason profits are low are due to higher costs than the competition.").
6. **Test your hypothesis.** Begin validating your hypothesis by looking at the most significant issues first (in the above example, the key issues would be the various elements of cost and how they compare to the competition). As you continue to ask questions, be ready to respond to any hints or attempts to steer you in another direction by the interviewer. Work through each of the issues set forth in the framework(s) you have chosen.
7. **Summarize.** Once you think you have arrived at a solution (or the interviewer asks you to wrap up), briefly summarize your analysis and give the next steps you would take to develop a recommendation for the client.
8. **Ask what really happened!** If time allows, ask your interviewer what the firm did. Don't be alarmed, however, if the firm did something very different from your recommendation. The interviewer is primarily looking for problem solving skills and business savvy. Many times the case has been simplified or altered for interviewing purposes.
9. **Write it up!** Finally, and most importantly, write up your cases as soon as you get home! This way, when the MCC asks you to submit cases for next year's case book, you'll be all set to go! (We are NOT joking! The best way to get good cases for you and your colleagues to prepare with for next year's recruiting is for everyone to write up their cases ASAP!)

CHAPTER 6

Consulting frameworks and tools

*Your interviewer is more interested in how you organize your questions and your thought processes than in whether you get the “right” answer, so memorize these important frameworks! **But please use these frameworks flexibly! Feel free to develop your own framework in the interview. Never say: “I will use the framework of 3C to address your issue”!***

Profitability Analysis

This framework should be used for questions on profits, operations, or new business opportunities.

General Questions: What are the sources of profit? Are there multiple profit streams? Multiple revenue streams? If so, analyze each separately. Focus on sales mix and sales force incentives.

$$\text{Profit} = \text{Total Revenues} - \text{Total Cost}$$

$$\text{Total Revenues} = \text{Price} \times \text{Quantity}$$

General Principle: Increase revenue by increasing price and/or quantity.

How much can we raise price? • Does the firm have market power? • What is the demand elasticity? • Is the product differentiated? Are there additional goods and services that we can charge a premium for? • Are there substitutes? • How is our product mix priced?	How can we increase quantity? • Sell products to new customers • Increase market share • Increase market growth • 4Ps (Price, Product, Promotion, Placement) • Sell new products to current customers
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Total Costs = Fixed Costs + Variable Costs

General Principle: Understand cost structure of firm and try to reduce major costs. What are the main cost drivers? What costs are fixed? Variable? How have our costs changed over time? What are competitors' cost structures?

Common costs include: • Materials • Labor (wages & benefits) • SG&A • Overhead (rent, PP&L) • Depreciation • Capital costs • R&D	Common cost reduction techniques: • Improve utilization of equipment • Outsource manufacturing • Consolidate purchasing • Relocate to lower cost areas • Partner with distribution companies (e.g., Federal Express) • Strategic use of IT
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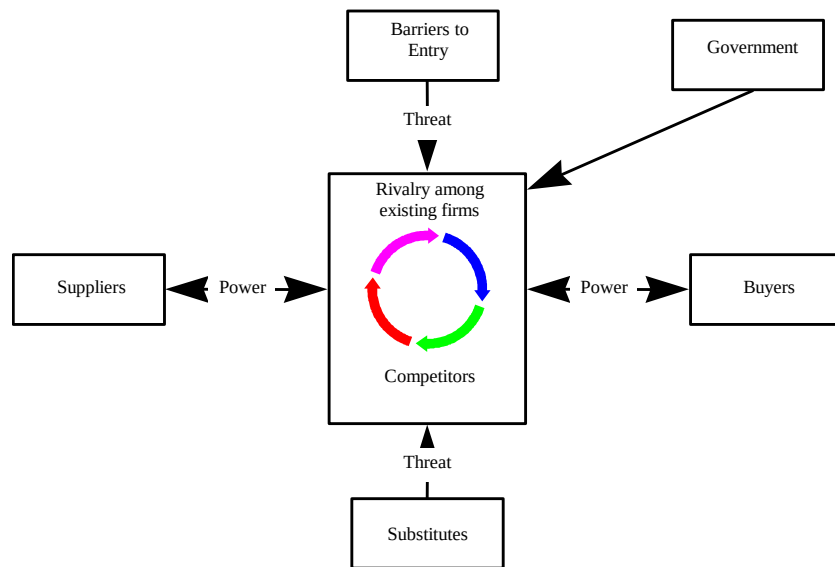
The 3 C's - Customer, Company, Competition

This is a basic framework but is very useful. It is especially applicable to business strategy and new market opportunity questions.

Customer	Company	Competition
Economic value to the customer:		
<i>Individual</i>	<i>Economics</i>	<i>Industry analysis (5 forces)</i>
• Who is the customer? • Perceptions • Loyalty • Volume • Switching costs • Profitability of customer • Preference • Purchase Behavior • Usage	• Costs • Profitability • Capacity to develop product • Capacity to produce product • Break-even analysis • Experience curve • Financials • Channels • Organization/structure • Intangibles	• Size, # of competitors, market shares • Competitors' responses • Current strategy • Strategic value of product and commitment to product • Corporate goals • Capabilities • Economies of scale/scope • Cost structure • Experience curve • Resources: financial, channels, organization, intangibles (brand loyalty, culture) • Relative product positioning • Substitutes • Expected response to competitive moves
<i>Market</i>	<i>Fit</i>	
• Size • Growth • Segmentation • Shares • Maturity • Trends	• Strategy and vision • Strengths/weaknesses • Culture • Resources • Organizational Structure • Brand equity • Core competencies	
<i>Product</i>		
• Price • Differentiation • Life Cycle • Technology		
Substitutes		

Porter's 5 Forces - Industry Analysis

This framework is applicable to new business opportunity and firm strategy questions.



Barriers to Entry increase with: • Economies of scale • Proprietary product differences • Brand recognition • High switching costs for the customer • Capital requirements • Difficulty to access distribution channels • Absolute cost advantage of incumbents - o Learning curve advantages - o Access to necessary inputs - o Proprietary low-cost product design • Government regulation, restrictions on entry • Expected retaliation	Buyer Power increases with: • Bargaining leverage • Buyer concentration, Small number of buyers • Low buyer switching costs • Buyer information • Buyer ability to integrate backward • Availability of substitute products • High price elasticity • Low product differentiation • High brand recognition of buyers products • Low impact on buyer's product quality. • Decision makers' incentives
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Rivalry increases with: • Industry growth • High Fixed costs + low variable costs • High value added • Intermittent overcapacity • Low product differentiation • Low brand recognition. • Low switching costs. • Number of competitors. • Corporate stakes. • High fixed costs or high specialized assets. • High barriers to exit.	Supplier Power increases with: • Differentiation of inputs • Importance of supplier's product/service in cost • Structure of industry. • Lower Switching costs of suppliers • Higher impact of inputs on cost or differentiation • Lower Number of substitute inputs • Higher threat of forward integration. • Lower importance of volume to suppliers • Lower Supplier concentration
Threat of substitute increases with: • Relative performance of substitutes. • Lower switching costs. • Higher buyer propensity to substitute.	

Internal-External Factors

This framework is especially applicable to new market and company strategy questions.

The question you are looking to answer is whether the firm strategy aligns internal factors with external environmental considerations.

Internal Considerations

- Core competencies of the firm
- Company mission and goals (consider its objectives for employees, the community, the environment, technology, etc.)
- Company organizational structure
- Firm resources (labor, technology, internal systems)

Environmental Factors

- Industry trends (including a five forces analysis)
- Constraints (government regulations, laws, union/labor agreements, societal pressures, etc.)
- Competitor activities (plans for expansion, financial strength, etc.)

The 4 P's of Marketing

Apply this framework to marketing and new product development questions.

Product

- Must fit within positioning decision and market segmentation (e.g. high end, low end; consumer, industry)
- Differentiated good vs. commodity
- Features and capabilities
- Reliability, quality, brand name, reputation
- Packaging, size
- Service, warranties
- Future strategy for the product

Placement (Distribution)

- Channel (decision based on product specifics, level of control desired and margins desired)
- Coverage - tradeoff between coverage levels and costs
- Inventory - levels, turnover, carrying costs
- Transportation - alternatives, efficiencies, costs

Promotion

- The Buying Process:
 - Consumer awareness for the product
 - Interest for the product
 - Trial
 - Repurchase
 - Loyalty
- Select sales method: Pull (advertising...) or Push (discount to distributor...)

- 5 categories of promotional efforts:
 - Advertising: medium, reach (share of target market reached) and frequency (number of times reached).
 - Personal Selling: when direct contact with buyer is needed.
 - Sales Promotion: Incentives to consumer, sales force and channel members.
- Consumer incentives: coupons, refunds, samples, premiums, contests.
- Trading force incentives: Sales contest, Point of purchase displays, spiffs (payments to dealers), trade shows, franchise reputation, in-store demonstrations.
 - Public Relations and Publicity.
 - Direct sales.

Price

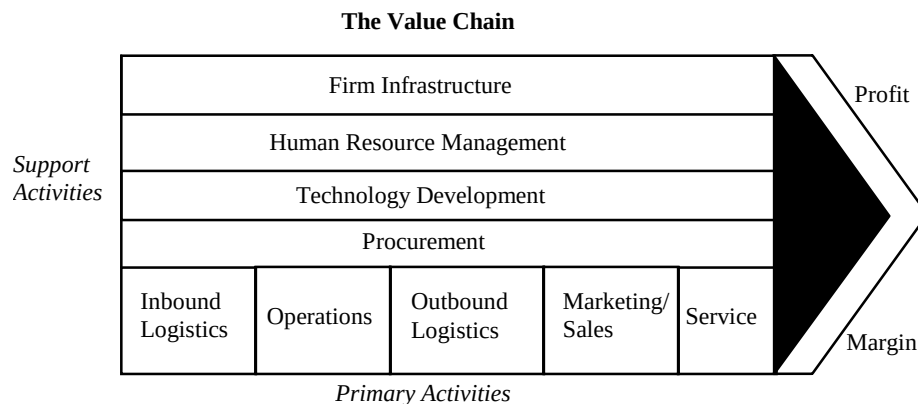
- Considers both retail price and discounts.
- What strategy? $MC=MR$? Skim (high price, make profits now)? Penetrate (low price, gain market share)?
- Seek volume or profits?
- Perceived value, cost-plus-margin pricing?
- How does price relate to the market, size, product life-cycle, competition.
- Economic incentives to channel (commissions, margin).
- Establishes barriers to entry.

Value Chain Analysis

Use the value chain to:

1. Identify components of costs.
2. Identify components of profits.
3. Relate activities and core competencies.

Porter's typical value chain:



Definition of Activities in the Value Chain:

PRIMARY ACTIVITIES

- **Inbound Logistics** - Receiving, storing, materials handling, inventory control, vehicle scheduling and returns to suppliers.
- **Operations** - Transforming inputs into final product form (e.g. machining, packaging, assembly, equipment maintenance, testing, printing and facility operations).
- **Outbound Logistics** - Distributing the finished product (e.g. finished goods warehousing, material handling, delivery vehicle operation, order processing and scheduling).
- **Marketing and Sales** - Induce and facilitate buyer to purchase the product (e.g. advertising, sales force, quoting, channel selection, channel relations and pricing).
- **Service** - Maintain or enhance value of product after sale (e.g. installation, repair, supply, and product adjustment).

SUPPORT ACTIVITIES

- **Procurement** - Purchasing of raw materials, supplies, and other consumable items as well as assets.
- **Technology Development** - Know-how, procedures, and technological inputs needed in every value chain activity.
- **Human Resources Management** - Selection, promotion, placement, appraisal, rewards, management development and labor/employee relations.
- **Firm Infrastructure** - General management, planning, finance, accounting, legal, government affairs, and quality management.

Microeconomic Analysis

Be prepared to draw some supply and demand curves to explain your logic. This should be no problem if you were awake during your core microeconomics course! Here is a short refresher anyway.

Market Structure

The type of market will determine the playing field for your client. Refer to your microeconomics textbook for more detail.

Perfect Competition

Without any product differentiation, a firm will be a price taker. A competitive firm's demand curve is horizontal and its elasticity of demand is infinite.

$$MR = MC = P$$

Monopoly

While such firms have significant control over prices, monopolies are also faced with downward sloping demand curves implying that an increase in price will result in a lower sale volume. Monopolistic profit maximization is governed by the relationship

$$MR = MC = P \left(1 + \frac{1}{E_d} \right)$$

where E_d is the elasticity of demand. Note that if the demand is highly elastic then there is little advantage to having monopoly power since $MR = MC = \text{Price}$, i.e., the same as that of a price-taking competitive firm. Even if demand is inelastic, monopolistic firms must be careful in their pricing so that the market does not become too attractive, thus inducing new market entry and competition. Hence, consider the characteristics of the monopoly and the barriers to entry.

Oligopoly

This occurs in highly concentrated industries where significant entry barriers exist. Firms have marginal control over prices and must consider rival firms' behavior to determine the best policy. Resist the urge to cut prices; your competition will likely match your price cut and you'll both lose. Bring game theory into play.

Issues to Address

- Market Structure: Identify the underlying market structure and develop the analysis accordingly
- E.g.: What is the elasticity of demand? Consider what the market will bear and substitution effects.
- Competitors: Consider competitor reactions to price changes
- Time: Consider the long-term and dynamic effects of pricing decision. In the short run, demand may be inelastic while it is typically more elastic in the long run (remember gasoline in econ class?).
- Price Discrimination: Consider methods to enhance and support price discrimination
- Brand Integrity: Be careful not to price too low, as doing so could compromise the reputation of the brand
- Pricing Tactics: Consider using tactics such as creating “loss leaders” or “traffic builders”.

Other Important Concepts

- Double marginization
- Transfer pricing

Acquisition Analysis

This framework is particularly helpful when one has to decide whether to enter a new market by acquisition.

First, analyze the industry to see if it is a good business to be in in general (Porter's 5 Forces analysis is a helpful tool). Address the following questions:

- Market size and dynamics (capacity, distribution, market saturation, rate of market growth)
- Sustainability of profits
- Competitive position and likely competitive response. Cost structures
- Product differentiation and standards. Substitutes.
- Price dynamics.

Second, consider whether this business is a good one for your firm due to core competencies and synergies. See if the core competency required of the new business is similar to the ones developed by the company in its existing businesses. Questions to ask:

- Revenue synergies with or cannibalization with existing products.
- Distribution costs and ease of access to distribution channels.
- Cost of capital, given the risk of the investment
- Potential economies of scale and learning curve issues, particularly with respect to competition
- Cost synergies
- Increase on complexity costs
- Alternative uses of investment.

If no core competency is shared and no synergies exist between the two businesses, the firm will have no competitive advantage over the average firm and probably should not enter the business. If synergies do exist, make sure that they outweigh the increased complexity costs.

Other Things to Consider

Marginal Cost

If there is a learning curve, marginal cost will fall as accumulated production increases. Remember, this is only valid for a specific process or production machine!

Capacity Considerations

Benefits of increased capacity:

- Responsiveness to future market growth.
- Productivity enhancement
- Decrease in marginal cost
- Introduction of new technology
- Alternate uses of capacity

Costs and Dangers of increased capacity:

- Industry or firm excess capacity
- Opportunity cost
- Always consider:

NPV and IRR of expansion

Break-even analysis

Pay-back period

Alternatives to increased capacity:

- Outsourcing
- Leasing
- Subcontracting

The Balance Sheet

- Know how to read a balance sheet.

Cost Allocation - ABC!

Remember that dropping a product line that is “losing” money for your client may cause more fixed costs to be spread over fewer product lines. If you drop this product line, the profitability of other product lines will drop. The end game to this logic trap is that you recommend that the client quit producing every product line. Don’t do this!

Macroeconomics

Refresh your memory about these economic terms:

Inflation

PPI and CPI

Stagflation

Money Supply

GDP

Economic Leading Indicators and Lagging Indicators

Fiscal Policy vs. Monetary Policy

PART 3

practice cases



management
consulting club

CHAPTER 7

Case type 1 – Brain Teasers



Brain-Teaser 01

Case Title Probability of Independent Events	Company Mitchell Madison
Type of Case Brain Teaser	Useful Frameworks N/A
Initial Facts You step into an elevator on the ground floor and there are 30 floors above you. Another person steps into the elevator with you.	
Case Question What is the probability that the other person in the elevator will get out on the same floor as you? Assume two people get into the elevator with you; what is the probability that both are getting out on the same floor as you?	

Given solution:

$$p=1/30$$

$$p=1/30*1/30=1/900$$

Brain-Teaser 02

Case Title Chicken and Eggs	Company McKinsey & Company
Type of Case Brain Teaser	Useful Frameworks N/A
Initial Facts 1.5 Chickens lay 1.5 eggs in 1.5 days.	
Case Question How many eggs do 4 chickens lay in 9 days?	

Given solution:

If 1.5 chickens lay 1.5 eggs in 1.5 days, and now the 4 chickens have 9 days, then the present 4 chickens have 6 times as much time to lay eggs. Since 4 chickens would lay 4 eggs in the base case, we multiply 4 by this factor of 6, and get 24.

$$(9/1.5=6; 6*4=24)$$

Desired Solution:

24 Eggs

Brain-Teaser 03

Case Title Sugar Cube Sides	Company Mitchell Madison
Type of Case Brain Teaser	Useful Frameworks N/A
Initial Facts There is a large cube made of many smaller sugar cubes that is sitting in the sun. Each side of the cube is made up of a 10X10 surface of the smaller cubes.	
Case Question How many Sugar Cubes are exposed to the sun?	

Supplementary Data:

5 sides of the larger cube are exposed to the sun during any day.

Given solution:

If 5 sides are exposed to the sun, you can imagine an inner cube size $8 \times 8 \times 8$, which is not exposed to the sun. It means that 512 cubes are not under the sun. There are total of $10 \times 10 \times 10$ small cubs in the big cube, therefore $1,000 - 512 = 488$ cubes are exposed to the sun.

Desired Solution:

424 Small Sugar Cubes

CHAPTER 8

Case type 2 – Market sizing



Market Sizing 01

Case Title Overseas Market for Retail Banking	Company Gemini
Type of Case Market Sizing, Strategy	Useful Frameworks Market Sizing
Initial Facts Your client is a retail bank in the U.S. There has been no growth over the last couple of years in the domestic market so you are considering pursuing growth overseas in emerging markets.	
Case Question 1. Provide a structure to evaluate whether or not you should enter a given country. 2. Estimate the annual size of the auto loan market in Mexico (Mexico was on my resume).	

Supplementary Data:

Mexico has a population of approx. 75M people.

Given solution:

For this case, I simply established the structure and then was directed to do a market sizing within this case. We never got into any other details concerning the structure that I had set up originally. However, my structure was as follows:

1. I first said that I would look at the current market size and growth rate of the country in question. I would then analyze the economic and political stability of that market.
2. I would then determine if the regulations in the given country would prevent us from doing the kinds of things that we need to do to earn a profit.

3. I then would analyze the demographic profile of the potential customers in the market (wealth, % who use banks, etc.).
4. I would then look at what banks are already in the market, is it a competitive situation? Finally I would look at what the relative cost would be to enter a given market.
5. In addition I would analyze what the operating costs would be (labor rates, etc.).

A market sizing was nestled within this case: I was instructed to estimate the annual size of the auto loan market in Mexico (Mexico was on my resume).

Originally, I started down the population path, I assumed a population of roughly 75M people and attempted to determine who was buying cars. Once I started to try to estimate this I realized that this may not be the best path.

1. I reversed course and decided a better way to approach this might be to start with the number of car dealerships. I estimated that there would be about 50 car dealerships in each major metropolitan region. With roughly 10 major metropolitan regions (I named most of them) that would be 500 car dealerships nationwide.
2. I estimated that each car dealership would sell 5 cars a day, resulting in 2,500 cars sold per day. With 300 sales days/year we have 750,000 cars/yr.
3. Estimate \$10,000 per car, less 10% down payment, less 10% of the people who don't get auto loans (pay in cash) resulting in \$6.075B. Of this number, the interest payments would be 20% (higher than the US for obvious reasons!) resulting in a market size of \$1.215B.

Market Sizing 02

Case Title Market for Energy Saving Device	Company N/A
Type of Case Market Sizing	Useful Frameworks Market Sizing
Initial Facts Your client is an international manufacturer of electronic equipment for industrial customers. The R&D department has developed a new product – a device that could replace all energy costs (electric, gas, etc.) using solar technology.	
Case Question What is the potential market in the US? How would you estimate the percent of market to install the device?	

Supplementary Data:

The estimated price to the customer would be \$5,000/house, with a pay back in 2 to 3 years.

The R & D department says the estimated investment is \$100 million.

A survey shows 30% of home owners are interested. How do we test this?

Given solution:

Recommendations:

- 1) pre-order. This is risky since this would be expensive and would require a small sample (big confidence error)
- 2) look at similar energy saving devices (new refrigerators, shower heads, etc.) see what is the percentage of people who actually bought it after showing interest.

The student was then told that people don't buy energy saving devices. They would rather spend their money some other way. Market therefore is small and the project was stopped.

The potential market is too small. Right now, we should advise the client not to invest. These kind of products require an important word of mouth and the company must be ready either to spend a lot on advertising or to have a long pay-back period. The other solution is to spend more on R&D to decrease the investment and the price billed to the customer.

Market Sizing 03

Case Title Market for Fire Trucks in the US	Company N/A
Type of Case Market Sizing	Useful Frameworks Market Sizing
Initial Facts Our client makes pumps for fire trucks and want to know if they should expand manufacturing.	
Case Question What is the market for fire trucks in the U.S.?	

Supplementary Data:

Case based on interviewee's assumptions.

Given solution:

I started by assuming that 10,000 people are served by each fire station and that there are two trucks per station. Therefore, one fire truck serves 5,000 people.

Since there are currently 250 million people in the U.S. (I used easy, round numbers), there is a current stock of 50,000 fire trucks in the U.S. ($250,000,000 \div 5,000 = 50,000$)

I then assumed that fire trucks have a useful life of 25 years. So in any one year 2,000 fire trucks need to be replaced. ($50,000 \div 25 = 2,000$)

I then added in the new fire trucks needed to serve the needs of a growing population. I assumed the U.S. population grows 1% annually, or by 2.5 million people per year. Therefore, 500 new fire trucks are needed each year in addition to the 2,000 replacement trucks. ($2,500,000 \div 5,000 = 500$)

The total market is 2,500 fire trucks per year.

We then discussed whether the pump company should make commodity pumps for everyone (not a good idea, because they have a small shop and have specialized in fire truck pumps). I suggested that the pump company could expand into fire hose fitting or perhaps even hoses because these things fit their marketing channel and expertise.

Additional Comments:

The interviewer corrected me when I tried to use 275 million people for the U.S. population. Keep the numbers **real simple** when you do these types of problems!

Market Sizing 04

Case Title Sizing disposable Diaper Market in China	Company Boston Consulting Group
Type of Case Market Sizing	Useful Frameworks Cost/Revenue and Profitability, 3C's
Initial Facts Your client has established a presence in China and is seeking to grow the market, but also has developed a new diaper innovation (pull-ups) that it could introduce in the US. It only has the resources to pursue one of the two options.	
Case Question The Question(s): Which of these two options do you pursue? Breakthrough innovation in the US (pull-ups) Try to double sales in China	

Supplementary Data:

Client is consumer goods firm in 1997 selling disposable diapers. You have the following data:

Country	Pop.	Birthrate/000	avg. diapers/bab y/yr	% mkt penetra tion of disposa ble diapers	% client mkt share
US	250M	10	2000	100%	50%
China	1B	20	400	1%	100%

Profit margin is \$.01/diaper for pull-ups (US) and \$.005/diaper for regular (China). So, opportunities are as follows:

Given solution:

Client seems to have a competitive advantage with both options, so I used the following structure:

Short-term

General market sizing calculation for both options: Potential Revenues – Costs = Profitability

Pull-ups in US: \$25M

Double current sales in China: $\$400K \times 2 = \$800K$

Long-term (competitors will enter)

Customers (market saturation in US, need to develop market in China)

Competition (they will enter if profit is made – how can we react?)

Company (What resources do we have? What are long-term costs? Is there a learning curve in diaper production?)

Market sizing:

US: 250M pop X 10/1000 birthrate = 2.5M babies/yr
 X 100% use diapers X 2000 diapers/baby = 5B diapers/yr
 X 50% client mkt share = 2.5B diapers/yr

China: 1B pop X 20/1000 birthrate = 20M babies/yr
 X 1% use diapers X 400 diapers/baby = 80M diapers/yr
 X 100% client mkt share = 80M diapers/yr

Final US number depends on conversion rate (I was told to assume it was 100%) and how much competitor's share we can steal. Still US opportunity seems orders of magnitude better than China's. Now, look at long-term:

Customers:

US market is saturated (100% penetration, can't really grow birthrate)

Chinese market is very small. Can be grown, but cultural barriers to doing so, costs and time required are unclear.

Diapers are an experience good, so capturing customers early can be very valuable.

Competition:

Diapers themselves are not complex, but the process to produce them efficiently is. Client has early innovation (pull-ups) and early foothold in China, but both can be replicated. Primary competition in industry is on production efficiency and capturing new customers. B/c of “experience good”, largest producers don’t typically get into price wars.

Company:

Client is an industry leader, but not too differentiated from primary competitor.

Final Recommendation:

Pursue option #1. Profit opportunity is orders of magnitude more significant, even without optimistic assumption, and is a unique chance to offer a differentiated good and capture early share. Very important in “experience good” products. Opportunity in China is important, but not as urgent because of uncertainty.

Desired Solution:

Interviewer agreed fully with answer. Perhaps could have considered other strategic considerations.

CHAPTER 9

Case type 3 – Operations



Operations 01

Case Title Cannibalization in the Auto Industry	Company AT Kearney
Type of Case Operations – Marketing Problems	Useful Frameworks 3C's, 4P's
Initial Facts Your client is a major OEM auto manufacturer in the US. They are extremely vertically integrated, and the client has a large number of name plates that it fears are cannibalizing their own products.	
Case Question What do you propose they do?	

Supplementary Data:

There is intense competition within separate segments in the industry. Some of the company's products compete directly against each other in some of these segments.

Given solution:

I proposed that we look at three things: 1) the *competitive* landscape in each of the segments, 2) the *customer* segments and how our vehicles are positioned in these segments, 3) our *cost* position, and whether or not it can be improved through a portfolio rationalization.

1) Competitive landscape

Q: "How competitive is each segment? Are we competing against ourselves in some segments?"

A: "Yes; competition is intense in each segment. Our individual products compete against our own products and those of our competitors. However, the relative competition differs for each segment."

[As a follow-on comment, I added that I would want to further analyze the segments, in order to determine what the competition is and how these vehicles are positioned. This could lead to information regarding which segments we would want to target.]

2). Customer segments and product positioning

The first piece of analysis that I did for the customer segments and product positioning was to draw a number of 2 X 2 matrices with a number of different attributes (speed, price, fuel efficiency, safety, etc.). Once I did this, I hypothesized that there were *more than one product in each of the segments*. I highlighted this as a serious problem. I mentioned that this may have happened because through the evolution of the company, and that it may have been a combination of a number of formerly independent brands. The main problem with this is that the consumer may be having tremendous difficulty in differentiating the brands. I theorized that therefore some automobile models might still be around because they always have been, without much thought about optimizing the portfolio to maximize company profits. Once I analyzed this, I proposed two ways to eliminate models that overlapped within the same segments:

- kill one of the models/brands, leaving behind the more profitable brand
- keep both models/brands, but invest in advertising and product improvements such that consumers would be able to differentiate the two and thus place the second vehicle into a different segment

I mentioned that this second option might be difficult, as there is significant inertia in changing people's minds about a brand that has been a certain type of vehicle for a very long time. I suggested that perhaps the *best way to do this would be to keep the most profitable vehicles in each segment that we are in, and eliminate duplicate brands*.

3) Costs

The consolidation of models could lead to significant cost savings, as fewer number of models (with greater volume of each) will lead to greater scale efficiencies in purchasing, production, engineering, advertising, etc.

Wrap-up/Final recommendations

Get rid of competing models in the same segment in order to better serve customer segments, reduce costs and reduce competition.

Desired Solution:

The use of matrices was a hit!

Operations 02

Case Title	Company
Bank loan operation – Profitability of New System	N/A
Type of Case	Useful Frameworks
Operations	Cost/Revenue and Profitability
Initial Facts A bank has a loan-issuing operation that requires the following steps: • The loan application is generated at a branch office. • A complete applicant background check is performed at the branch office. • The application and background check are sent to a loan processing office. • The background check is updated and verified (this takes much less time than original check). • The loan is either approved or denied. The bank is considering getting rid of the first background check and only relying on the loan processor's check to speed the process. If the loan processor does the whole check with the proposed new software system, the check takes one additional hour per application at the processor's office. • The average profit margin for a "good" loan (i.e., loans which are repaid) is \$0.20 per dollar loaned. • The average marginal loss for a "bad" loan (i.e., loans which are not repaid) is \$0.50 per dollar loaned. • 50% of the applicants pass the first background check. • 90% pass the second background check.	
Case Question Should the bank implement the revised system?	

Supplementary Data:

General

1. Number of loan applicants is only 1,000 per year
2. Average value per loan is \$10,000
3. Given: Average profit margin for a "good" loan: \$0.20 per dollar loaned
4. Given: Average marginal loss for a "bad" loan: \$0.50 per dollar loaned

Original system

1. Default rate under the original system: 10%
2. Processing costs under the original system: \$100/application
3. Given: Acceptance rate under the original system: 45%
 - 50% of the applicants pass the first background check
 - 90% pass the second background check

Proposed system

1. Default rate under the proposed system: 5% (estimated)
2. Processing costs under the proposed system: \$60/hour
3. Processing time per application under the proposed system: 1 hr
4. Expected acceptance rate under the proposed system: 40%
5. Additional costs for the new program: \$50/application

Given solution:

Original System

Revenues:

1. Dollars loaned: $1000 \text{ applications} \times 45\% \text{ loans per application} \times \$10,000 \text{ per loan} = \$4,500,000$
2. Revenues per dollar loaned: $[90\% \text{ Good} \times \$0.20 - 10\% \text{ Bad} \times \$0.50] = \$0.13$
3. Total revenues: $\$4,500,000 \times 0.13 = \$585,000$

Costs: $\$100 \text{ processing fee per application} \times 1000 \text{ applications} = \$100,000$

Profit: $\$585,000 - \$100,000 = \$485,000$

Proposed System:

Revenues:

1. Dollars loaned: $1000 \text{ applications} * 40\% \text{ loans per application} * \$10,000 \text{ per loan} = \$4,000,000$
2. Revenues per dollar loaned: $[95\% \text{ Good} * \$0.20 - 5\% \text{ Bad} * \$0.50] = \$0.165$
3. Total revenues: $\$4,000,000 * 0.165 = \$660,000$

Costs:

1. Processing fee: $\$60/\text{hour} * 1 \text{ hr/application} * 1000 \text{ applications} = \$60,000$
2. Additional costs: $\$50/\text{application} * 1000 \text{ applications} = \$50,000$
3. Total costs: $\$110,000$

Profit: $\$660,000 - \$110,000 = \$550,000$

Wrap-up / Recommendations for client:

At first glance, it seems that the bank should progress with the new system. There are additional costs, however, that the bank should consider, such as costs associated with retraining employees, system installation costs, and so on. That said, there may be additional benefits, as well. For example, a faster loan processing speed may help the bank get more business.

Desired Solution:

This case obviously tests your analytical skills. Do not attempt to answer this question without working through the calculations on a piece of paper. If your math skills are poor, this strategy could easily backfire, making you look stupid. This case is relatively straightforward, but make sure that you have all the information necessary to develop an answer.

Operations 03

Case Title Chemical company - Profitability	Company N/A
Type of Case Operations – Declining profits, marketing problems	Useful Frameworks Cost/Revenue and Profitability, 3C's
Initial Facts A chemical company's profits have been falling recently.	
Case Question How would you advise the company to improve profits?	

Supplementary Data:

- Overall, costs have not increased
- The company sells generics and specialty drugs
- Prices are currently below costs in the generics category, but the specialty drug business is still profitable.

Given solution:

I started with a cost-revenue framework.

Q: "You mentioned that profits have been falling. Have our costs increased lately?"

A: No. Our costs have been constant.

Okay. Costs seemed to be a dead end. Let's switch to revenues.

Q: "If there have been no changes in our costs lately, then the decline in profits must be due to a decline in revenues. Does our company sell just one product or do we sell multiple products?"

A: Multiple products. We sell generics and specialty drugs.

Q: "And have we noticed a decline in revenues on both lines of products, or just one?"

A: Our competitors have cut prices on similar generics. We've had to cut prices to match or risk losing customers.

Q: "Are we still profitable on the generics?"

A: No. Our prices are below our costs on the generics. We don't have (and cannot gain) the economies of scale to match our competitors. As a result, our costs are prohibitively high.

Q: "Are we profitable on the specialty drugs?"

A: Yes. Specialty drugs are highly profitable. Economies of scale are less important in driving down the costs of specialty drugs.

Wrap-up / Recommendations for client: *[Sum it all up!]*

1. End production of the generic drugs.
2. Reorient or close the unprofitable generic-drug factories.
3. Concentrate efforts on profitable specialty markets, where economies of scale are not a factor. Reorient sales force, enhance distribution efforts for specialty drugs. Modify sales incentives to encourage sales of specialty drugs.

Desired Solution:

The key was that the specialty drugs were profitable, while the generics were not. Therefore, stop producing the generics and focus on the specialty drugs.

Operations 04

Case Title Stagnating sales at Car Dealership	Company N/A
Type of Case Operations – Pricing	Useful Frameworks Cost/Revenue and Profitability
Initial Facts Our client is a used car dealership whose business has been stagnating in recent years. They are located in a low to middle-income area and in the past have only sold cars to customers who are willing to pay 100% of the cost up-front or can achieve bank financing. In order to boost sales, our client is considering offering loans to customers that the dealership itself will finance. To be eligible for a loan customers must undergo a complete credit check (which we assume to be accurate). The credit check rates potential car buyers on a scale of 0 to 100, where 0 corresponds to a 0% chance of paying off the loan and 100 corresponds to a 100% chance of paying the loan in full. Each loan only lasts 1 year in which payments are made monthly and the entire loan will be paid off in 1 year's time. Buyers ultimately fall into two categories, those that pay off the loan entirely, and those that default.	
Case Question What should be the cutoff level where we decide to give potential buyers the loan? What issues might cause you to alter this cutoff-level?	

Supplementary Data:

- Average cost of car to dealership: \$6,000
- Average price of car sold to customer: \$7,000
- Minimum down-payment for all customers: \$1,000
- Average loan defaulter makes three months of payments before defaulting.

Given solution:

I did not really use a framework because this was more of a question of establishing where the breakeven marks would lie. I did all calculations on the average.

Q: What is the average cost of each car and how much does our client sell them for?

A: The dealership's average cost per car is \$6,000. We sell them for an average of \$7,000.

Q: What is the minimum down-payment? Do all customers default at an amount relative to their credit report (i.e. a potential buyer with an 80 credit rating will pay the down-payment and 80% of the remaining loan)? How much do we make on the loans?

A: The minimum down-payment is \$1,000 regardless of credit rating. The average default is after three months. Assume we make nothing on the loans; they are only used to entice in additional customers.

At this point, I stated to crank through some of the math.

We make only a profit margin of only \$1,000 on each car.

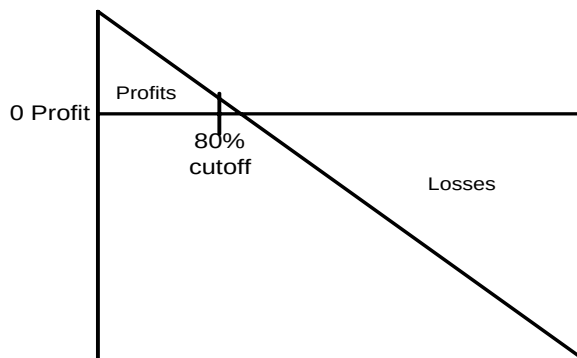
For this to be worthwhile we must make more on additional cars sold and paid for in full than what we lose in loan defaulters.

Average cost of car:	\$6,000	
Average defaulter pays:	-\$1,000	(down-payment)
	<u>-\$1,500</u>	(1/4 of total loan of \$6,000)
Total loss to the dealership for a default:	\$3,500	

This means that we need to have 4 good loans for every 1 loan to turn a profit/not lose money.

If 4/5 of loans must be good, then a credit rating of 80 should be our cutoff.

At this point I drew the following graph for the interviewer to illustrate my point and to discuss other issues to consider:



I would probably be tempted to raise the cutoff above 80, at least in the beginning. This is for two reasons

1. We are not sure how successful our client will be with this process, so it would be better to start more conservatively and if successful, ramp up the operation.
2. At the 80 cutoff we are working very hard for diminishing profits, where at the 90 cutoff the potential rewards are much higher.

Alternatives and other possible issues to consider:

- Another possible solution would be to lower the cutoff level for higher risk loans but raise the minimum down-payment required. This would change our risk profile.
- Look at the cash flow situation of the client. If a few unexpected bad loans in a row would bankrupt our client, then we may want to raise the cutoff.
- Examine expected economic conditions looking forward. If we sense that the economy will be poor in the future, we also may want to increase the cutoff point.
- The use of warranties or add-ons, paid at the time of purchase, that force customers to pay more up-front will also allow us to lower the cutoff levels. For example, if we allow a customer to purchase a two-year warranty for \$1,000 that is paid for in full at the time of purchase, it reduces our overall risk exposure.

Operations 05

Case Title	Company
Potato Chip Manufacturer	Boston Consulting Group
Type of Case	Useful Frameworks
Profitability	Cost/Revenue/Profitability
Initial Facts Context: - The company: Large group 30b USD revenues. Excellent growth and increase in market share. CEO has promised 10% increase in earnings to stock exchange. Increased profitability is getting tougher. Asking his divisions to come up with options to increase profitability rapidly. - The division in the company: produces and sells potatoes chips. Has two ideas to submit tomorrow, - Option 1: increase retail price from 25c to 30c, and share the margin 50/50 with supermarket - Option 2: weight-out, i.e remove 1/4 of the chips (3/4 ounce packages) and sell at the same price 25c - Facts given: 1 billion 1 ounce potatoes chips bags sold. Only one distribution channel (supermarket). Retail price to customer = 25. Call-in cost = 15c, sold 20c to the supermarket chain	
Case Question Compare the two options the potato chips manufacturer has to increase profits rapidly	

Supplementary Data:

- Elasticity of demand = -1
- Fixed costs: 10c per bag, Variable costs: 4c ingredients + 1c packaging per bag

Given solution:

Option 1: increase price

I started looking for the net additional profit of this option.

So, 2 aspects to consider: a) profits added by price increase, and b) profits lost due to reduced sales

a) Margin used to be 5c per bag, now margin is 7.5c. Hence 2.5c incremental profit per bag. Demand elasticity = -1 (asked for it)(the interviewer faked not to know what it was, and asked me to tell him what I would need to know to get my answer. Response: prices and sales historic data). Hence, a 20% increase in price would result in a 20% decrease in sales. Therefore there would be only 800 million bags of chips sold. The incremental profit would be $2.5c \times 800 \text{ MM} = 20\text{MM USD}$ per year

b) Profits lost due to reduced sales: $200 \text{ MM} \times 5c = 10 \text{ MM}$ (200 MM bags into original profit margin). So, the net additional profit of option 1 is $20 - 10 = 10 \text{ MM USD}$ per year. Cookie point: sales reduced by 20%, 20% capacity sitting idle, or inventories increased => large change to absorb)

Option 2: weight out

Additional profits will come from reduced costs. (Asked for) Fixed costs: 10c, Variable costs: 4c ingredients + 1c packaging

Trick: reducing the weight does not reduce the packaging cost, only the ingredients costs.

Reducing the weight by 1/4, hence reducing ingredient costs by 1c.(Asked for)

Customer reaction to weight-out? Usually goes through, but there exists a risk that some TV shopping program starts a campaign about how supermarkets loot consumers using our company as an example. Bad press, which takes a while to recover from. Preferably avoided.

So, saving is 1c into 1b bags = 10MM USD per year

Conclusion: Financially speaking both options are similar, but I advised to go for the price increase. It provides more flexibility (how many times can you reduce the package weight? while you can infinitely adjust the prices) and is less risky. On the whole though, this is not a sustainable course of actions on the long term.

Additional Comments:

Remark: Chips are one of the rare items in a supermarket where the price is printed on the package. Why? Trying to avoid the supermarkets pricing lower than the manufacturer's suggested price. By printing the price on the package hoping that the consumer would take notice if the retail price is lower than the one suggested.

Operations 06

Case Title Publishing Company experiencing a decline in profitability	Company The Parthenon Group
Type of Case Profitability	Useful Frameworks Cost/Revenue/Profitability / Value Chain Analysis
Initial Facts *One magazine in the market targeted to 18-34 males. *Focus on pop-culture *Since early 80's until 2000 it did pretty well, but from 2000 to 2004 revenues decline 40% and profitability went from +15% to - 15%	
Case Question What are the causes of the decline and what to do to revert the trend	

Supplementary Data:

- The company outsource printing and distribution
- Focused on content
- They only sell one magazine
- 80% of revenue from Ads, rest from selling the magazine
- Ads are paid based in the number of readers. \$20/1000 readers
- Readers are based in # of magazines sold and research studies that show how many different people read a magazine
- Magazines sold decrease 10% from 2000 to 2004
- 2000 revenue = \$20M

Given solution:

I started taking into account both sales and cost, and the different causes that may be force sales down or cost up.

I started by sales. He immediately ask my about the source of revenues for a magazine and i mentioned ads + selling the magazine.

I then asked about the participation of each of these two sources of income, and got the breakdown. I then focused on Ads, learning how they were pay and priced.

He mentioned that the # of magazines only decreased 10%.

I elaborated the hypothesis that less people were reading the magazine and advertisers were running away from this client (a negative loop). He invited me to corroborate this with numbers, looking at the revenues from both sources in 2000 and 2004. Doing the math you can see that ads decrease almost 50%.

Then we moved to cost. Printing and distribution were variable costs and outsourced. So I focused on the most important cost for the magazine: editors/writers. Again, I formulate the hypothesis that as the magazine was in the market for more than 20 years, may be the writers were as well kind of old. And they were not in sync with the current pop culture.

"Good, what do you do then?" I told him that we were having a problem of content's quality, and if we reduced the number of editors quality won't improve. Instead we should replace the old guard by younger writers to match our client's targeted segment's interests.

Desired Solution:

See above.

Additional Comments:

Two key issues: clarify sources of revenues and do not jump into conclusions at the time of the recommendation.

Operations 07

Case Title Heating/Cooling Control Systems company with low margins	Company Bain & Co.
Type of Case Profitability	Useful Frameworks A framework that seemed appropriate to this case
Initial Facts Company manufactures and sells Heating/Cooling systems: Boilers/Refrigeration units in the basement, thermostats in the rooms, but none of the ducting or piping.- Company bundles the product and installation at time of sale Company is #2 in its market	
Case Question What would you want to look at? How would you structure the study?	

Supplementary Data:

The company also provides maintenance/servicing

Margins: 4% on product/installation, and 15% on servicing

Given solution:

Started to look at the Cost side - interviewer said it was not a cost issue –

Moved to Revenue side. What are the sources of revenue? Are margins the same across these various sources? Turns out that the company also makes money from maintenance. Received a graph showing 4% margins on product/installation, and 15% margins on servicing revenue.

Blindly Glimpse of the Obvious: Company should change the mix of its revenues so that it is earning more revenue from servicing agreements.

Moved to numbers portion. I used margins and revenue mix data to work out the effect of changing the mix of revenues for both the company and the #1 Competitor. Moved to qualitative portion: brainstorming about how to change the revenue mix and increase the servicing revenue.

Operations 08

Case Title Hub and spoke model vs direct flight model	Company McKinsey & Co.
Type of Case Operations	Useful Frameworks Four Ps / Cost/Revenue/Profitability
Initial Facts Aero Inca is a Latin America based Airlines with a hub in Mexico city. It services markets in Latin America and the US using a hub and spoke model. Off late there has been severe competition from small regional airlines that offer direct flights between destinations. Aero Inca is losing market share and has experienced a drop in profits. The broad issue is to identify strategies that will help improve the profitability of the airline in the long run. Specific calculations include removing a route to Mango- an agricultural city in Brazil and adding routes to New York City.	
Case Question How will you improve the profitability of Aero Inca?	

Supplementary Data:

The following information is provided if and only if asked by a candidate:

1. Mango route's average capacity utilization: 60%
2. NYC average capacity utilization: 80%
3. Mango: 200 seats per plane, 1 plane on the route making 2 round trips and average ticket round trip price \$500
4. NYC route: 4 planes on the route, making 3 round trips a day at 200 seats capacity. Initial fair \$500 but it was expected to drop to \$450 and 70% utilization after adding new capacity.

Calculate the revenue impact if route to Mango is removed and applied to NYC.

Given solution:

Conceptually explain the impact of changing a route i.e. what happens in a hub and spoke model vs. a direct flight model.

Hub and spoke has following advantages:

1. Better fixed asset utilization
2. Lower maintenance and crew costs
3. Low gate costs
4. High leisure passenger traffic (willing to use hub and spoke)
5. Easy to price discriminate on different routes

Then compare the two approaches specific to Aero Inca's case and explore trade-offs.

Desired Solution:

Analyze the revenue impact from changing the routes using the above data and make specific recommendations.

Additional Comments:

Adding capacity to NYC route will reduce the overall revenues for the airlines. Do not recommend doing so.

Other trade offs include problems of customers' inability to make connections in Mexico City if routes are removed (one of the issues with Hub and spoke model).

Make specific recommendations about improving profitability such as price discrimination between business and leisure customers, lowering costs by considering substitute airports (Miami/Fort Lauderdale example), increasing utilization etc.

Operations 09

Case Title Unemployment, outsourcing and market power	Company Charles River Associates
Type of Case Type of Case	Useful Frameworks Cost/Revenue/Profitability / Internal/External Factors
Initial Facts Bermuda is an island off the east coast of the US. There is typically only one flight per day to Bermuda from the major east coast cities. The President of Bermuda has recognized unemployment increasing and wants to reduce this growth before the next election which will take place in 2 yrs. He has hired you to determine the causes of the unemployment and provide recommendations for what he can do.	
Case Question The president has hired you to determine the causes of the unemployment and provide recommendations for what he can do	

Supplementary Data:

- Two major businesses in Bermuda: Tourism and Banking
- No firms have left Bermuda
- The working population of Bermuda has stayed constant
- The banking firms conduct the typical type of business including: taking orders, processing orders, and providing confirmations on orders
- The number of travelers entering Bermuda has stayed constant
- The number of hotel staff per patron has stayed constant
- Revenues are down for hotels
- Revenues are down for other tourism business such as fishing
- The number of tourism related business has not really changed Tourists are typically older people.

Given solution:

Me: If unemployment is increasing one of two things could be happening:

- 1) There has been a decrease in the number of jobs available, or
- 2) There has been an increase in the number of people who can work with the total number of jobs staying constant.

We can collect working population figures from census and tax data. Have we collected any of this data?

Interviewer: We have determined that the unemployment is being driven by the number of jobs being lost.

Me: What industries employ the greatest number of people in Bermuda? We can gather this information from tax information. I would think that one would be Tourism.

Interviewer: Well there are two main industries, one like you said is Tourism and the other is Banking.

Me: Interesting. From unemployment records have we been able to ensure that unemployment figures are being driven by both of one of these industries. We would know this by comparing current unemployment figures for each industry to historical values.

Interviewer: Yes, we have recognized that unemployment is being driven by both industries.

Me: Ok well let's first try to understand what is happening with the Banking industry. Depending on the actual roles the firms in Bermuda conduct we could have situations where either technology advancement or outsourcing to a lower cost country may be occurring. What are the typical functions being conducted by the firms in Bermuda?

Interviewer: Well the banking firms conduct the typical type of business including: taking orders, processing orders, and providing confirmations on orders.

Me: Well it seems to me that processing orders would probably be more automated with some online functionality and phone order taking could be occurring in a lower cost country like India with maybe some processing still occurring in Bermuda.

Interviewer: How would you determine what is actually happening?

Me: Well we could survey the Banking firms to see if they have moved jobs. We can also look at any company filings to see if they have recently opened operations in a foreign country. Lastly, we can look at the job functions/skill sets of those who are collecting unemployment.

Interviewer: Ok good. What about tourism?

Me: Well I would first want to know if the number of tourists visiting Bermuda has changed.

Interviewer: How would you figure that out?

Me: Well, we can look at the number of visas allowed or just see if we can collect data from customs employees at the airport.

Interviewer: Yes, the same number of tourists is visiting Bermuda each year.

Me: Ok, well then there has to be a reason why tourism related businesses are laying off people. I think it will be important to understand revenue trends of tourism related businesses. We can obtain this information from tax forms.

Interviewer: Well across the board in the tourism industry we are seeing lower revenues.

Me: Ok, so it seems that tourism companies are trying to maintain profits by reducing employees. So I am curious if there have been any technologies implemented in the industry to more efficiently handle tourists.

Interviewer: Like what kind of technologies?

Me: Well maybe more efficient booking systems for hotels.

Interviewer: Sure it is possible but how many jobs would that really account for?

Me: True, it seems that to run a tourist related business like a hotel you would need a certain number of staff members to keep the hotel constantly running. I would believe that hotels probably employ the largest number of people in the tourism industry. From unemployment records can we verify that job loss is coming from the hotels?

Interviewer: Yes, it seems that a large number of the jobs are being lost at hotels.

Me: Ok well to recap we have the same number of tourists visiting Bermuda but hotels are losing revenue and are trying to cut costs by reducing employee numbers. But where are the tourists going? Could tourists be doing more ecotourism like camping or staying on sailboats where you may not need as many staff members and would generate less revenue for hotels?

Interviewer: That hasn't really been the case. The tourists to Bermuda are typically older people who prefer to stay at hotels.

Me: Well, this is more unusual. We need to determine how hotels are generating less revenue. Well hotels can generate less revenue by charging less for rooms or if patrons are using additional services like room service less. Of course the latter would contribute substantially less to overall revenues for a hotel.

Interviewer: You are correct about the additional services although they do seem to be being used less. Prices for hotel rooms have actually stayed the same.

Me: Well, there is one other way that a hotel can be generating less revenue. We had said that both the number of tourists and the hotel rates have stayed the same, less revenue can be generated if tourists are staying for less time. This would mean more rooms would not be used and some hotel cleaning staff and such can be released from their position.

Interviewer: That actually seems to be what is going on. Hotels are using a cleaning service that is shared across hotels so they could release some of their staff. Why do you think tourists are staying for less time?

Me: Well the economy has not been doing well, so people may not be able to afford staying for so long.

Interviewer: Beyond the economy, based upon the information I provided you what else could drive this issue?

Me: Well you had mentioned that there is only one flight to the island from each of the major cities in the east. This doesn't sound like that many. I would be interested in reviewing trends in the airfare that tourists are paying. Has this information been collected?

Interviewer: Yes, it does indeed seem that the airlines realize they have a monopoly situation and have greatly increased their airfares to Bermuda. Tourists then are not able to afford to stay as long as they used to in the past. Based upon the information provided and your analysis, what are some recommendations you have to improve employment?

Me: Ok, let's first start with Banking. If the goal is to improve employment, the government can offer tax benefits to the companies for increasing the number of employees they have. In addition, the government should attract other businesses to Bermuda through incentives that would need people with these skills.

Interviewer: ok, good what about tourism?

Me: Well, to have tourists stay longer they need to pay less to get to Bermuda. We can look to attract additional airlines, maybe discount airlines to fly to Bermuda. This would definitely cut prices. In addition, we can try to attract other modes of transportation to the islands such as cruises. Granted, this would not increase hotel stays but it might increase the number of jobs in other segments of the tourism industry.

Interviewer: Ok, good.

Desired Solution:

The correct answers seem to be listed.

Additional Comments:

It is important to recognize and think about all of the information provided upfront as you will probably need it somewhere in the case. Make sure you state why you want certain pieces of information (I did not do that great of job doing this) and how you would obtain this information (that I did do). Also, try to prioritize. I should have provided some justification why I decided to analyze Banking first and then tourism.

Operations 10

Case Title Massachusetts Symphony Orchestra Profits	Company McKinsey & Co.
Type of Case Profitability	Useful Frameworks N/A
Initial Facts The Director of the Massachusetts Symphony Orchestra, a non-profit organization, has approached McKinsey to help him determine why revenues have declined in the past year compared to the previous years Information we have: 3 types of revenue sources for MSO a) ticket sales, b) donations and c) an endowment fund backed by individuals or trusts.	
Case Question What reasons could there be for the decline in revenues? How could ticket sales be increased?	

Supplementary Data:

Revenues (\$MM)	3 years ago	2 years ago	Last year
Ticket sales	22	22	23
Half year subscriptions	27	26	25
Full year subscriptions	34	31	24
Recurring clients on both half and full year subscriptions	72%	70%	72%

What is causing the revenue decline seen in the last year? What could be the source of the problem? What would you advise MSO to reverse the situation and help them increase revenues?

Now let's talk about the endowment fund. The CEO wants to be able to obtain \$3MM of the endowment fund to cover operations costs for the next 3 years by drawing 5% every year. He starts a campaign to raise endowment funds and this is the result:

Year 1: Raised \$25.5 M

Year 2: Raised \$8.3 M

Year 3: Raised 4.3 M

Based on this information, how much money can MSO draw from the endowment considering that he takes 5% every year and that the interests on the endowment fund is 10% per year?

How would you advise MSO to increase endowment funds?

Please wrap up your recommendations to MSO's CEO.

What are the risks of following your advice for each of the three types of revenue sources?

Given solution:

N/A

Desired Solution:

N/A

Additional Comments:

N/A

Operations II

Case Title Declining revenue and escalating costs for Hospital	Company Mitchell Madison
Type of Case Operations – Declining profits	Useful Frameworks Cost/Revenue and Profitability
Initial Facts You are a new consultant and your managing partner has just given you the following task: The CEO of a hospital is concerned about: 1. declining profits, 2. falling revenues, and 3. rising costs at her hospital. The partner of your firm wants YOU to prepare the proposal that will convince the hospital to retain your firm's consulting services. Your managing partner is the resident expert on healthcare issues and you have ten minutes to query him for information before he departs to London for another client engagement.	
Case Question How would you structure this problem and what questions you would ask of him?	

Supplementary Data:

See transcript below

Given solution:

This is a profitability issue. So, the framework I would use is:

$$\begin{aligned} \text{Profits} &= \text{Total Revenue} - \text{Total Costs} \\ &= P * Q - C * Q \end{aligned}$$

Volume/Quantity (for revenues and costs):

Q: "What defines volume or "quantity" for the hospital?"

A: "Patient days."

Q: "What has been happening to patient days?"

A: "They have been constant for the past five years."

General:

Q: "How long has the hospital been experiencing profitability problems?"

A: "Five years."

Costs:

Q: "There are fixed and variable costs. What is the proportion of each for the hospital?"

A: "30% Fixed Costs (FC) and 70% Variable Costs (VC)."

Q: "What are the key components of FC and how have FC changed over the past five years?"

A: "Buildings and Equipment are the main components of FC; FC have been constant over the past five years."

Q: "What are key components of VC and how have they been changing over the past five years?"

A: "Staff and Direct Patient VC's are the key components; staff salaries represent 50% of total costs (TC) while direct patient VC's represent 20% of TC. Patient costs have been constant with inflation for the past five years while staff costs have increased 10% during the same period.

Q: "What do you mean by "Direct Patient VC's?"

A: "Medications and supplies needed to provide patient care."

Q: “Do you know what factors have been causing staff costs to rise?”

A: “Hiring has been increasing and new hires are more expensive. Due to the increased use of technology in patient care, which requires more skill and specialized training, we have to pay new hires higher salaries.”

[My conclusion: staffing cost per patient is rising.]

Q: “What happens to the old (less skilled) hires? Has the hospital laid them off?”

A: “No.”

[My conclusion: old hires just stay on doing less productive work and the hospital divides all of the work to be done over the total workforce, so productivity per worker is lower. Also, the number of paid staff per patient is increasing.]

Q: “Do salaries of the old hires increase with tenure, despite their lack of specialized training?”

A: “Yes.”

[My conclusion: staffing salaries (and hence costs) are rising for two reasons: one is for the genuine need for more skilled labor, the second is because salary is being increased for tenured, unproductive employees.]

Revenues:

Q: “What is happening to price?”

A: “It has been steady for the past five years.”

Q: “How can revenues be declining if patient days (volume) and price have been steady? Are there other revenue components I have not considered?”

A: “No. The price billed has remained steady but the actual price we receive has been declining every year.”

Q: “Why has price received been declining? Who is not paying, or specifically, what is the customer mix?”

A: “Customer mix and the amount of price paid for each segment is as follows:”

<i>Customer Type</i>	<i>Private Individuals</i>	<i>Indigent Poor</i>	<i>HM O's</i>	<i>Govt. (Medicare, CHAMPUS, etc.)</i>
Percent-of-Price- Paid	100%	0%	70%	60%

Q: "What is the proportion of each customer type and how has that proportion shifted over the past five years?"

A: "Here are the shifts:"

<i>Customer Type</i>	<i>Private Individuals</i>	<i>Indigent Poor</i>	<i>HM O's</i>	<i>Govt. (Medicare, CHAMPUS, etc.)</i>
Percent of Price Paid	100%	0%	70%	60%
Proportion of Customer Base 5 Yrs Ago	20%	10%	35%	35%
Proportion of Customer Base Today	10%	10%	40%	40%

[My conclusion: customer mix has been shifting away from full paying customers and toward HMOs and Government programs, that pay a lower percentage of billed price. This is causing an effective decline in price even though the hospital's billed price has remained constant.]

Q: "Can we somehow modify this mix in our favor?"

A: "The hospital does deny care to patients under HMOs with the lowest reimbursement rates; we send those patients to other hospitals. We also ask some patients to subsidize their own care, or we double bill, to both their Medicare and HMO providers, for example. But HMOs are catching on and finding ways around this strategy."

At this point I began making some recommendations about pricing or customer strategies to improve revenues. The interviewer reminded me that point of the case was to develop a proposal, not to solve the problem. So, I shifted to summarizing my key points:

Wrap-up / Recommendations for client

- Assume that the trend toward more HMO patients and fewer full-paying patients is a given, and beyond our control for now.
- Then, one goal is to make more rational revenue estimates based on actual price received rather than price billed. This will let the hospital budget against expected rather than desired revenues. These changes will help the hospital project more realistic profit margins.
- Another key issue is to adjust cost structure by 1) laying off unproductive employees (using separation and/or early retirement incentives) and 2) getting greater productivity out of our higher skilled, more costly staff. This will help boost profit margins.

Desired Solution:

Remember what developing a proposal entails; it is not cracking the case, but finding the major issues and developing some preliminary hypotheses.

Operation 12

Case Title Declining share of a Crystal Giftware manufacturer	Company Boston Consulting Group
Type of Case Operations – Declining profits, Marketing problems	Useful Frameworks 3C's, 4P's
Initial Facts The client is a high tech company that manufactures crystal giftware. The market for crystal gift ware is growing at 3% a year yet the client is experiencing declining sales and shrinking market share.	
Case Question Why is market share declining? What can we do about it?	

Supplementary Data:

See transcript below

Given solution:

I started with the 3 C's: Company (Cost)

Q: "What is the cost structure for the crystal? Is it more expensive than competitors'?"

A: Yes. The client's crystal giftware costs much more than competitors' because it is handmade. Each piece is unique. The competitors' is all machine-made. A person who knows crystal can tell the difference between hand- and machine-made, but a lay person can not. There are also diseconomies of scale when the handmade crystal is mass produced.

I switched to the 2nd "C": Customer

Q: "Who buys handmade crystal? What do the customers like about the client's product?"

A: There are 3 types of customers:

Individualists - Our customers. They want a unique product.

Aspirers - They buy crystal giftware for its brand name.

Pragmatists - They shop for price and function.

I now wanted to see where the crystal is sold so I told the interviewer that I wanted to look more deeply into how the crystal is sold. Switch to 4 P's: Place

Q: "Where is our client's crystal sold? Where do Individualists shop?"

A: The client sells the crystal in 3 places:

Department Stores - Growing in volume but decreasing in share

Own Stores - Stagnant sales

Mail-Order Catalog - Stagnant Sales

Individualists do not shop for handmade crystal in Department Stores! They desire the exclusivity of the brand and the art.

This was a major insight. The client changed strategy a few years back: To increase volume they started selling in department stores. Problems with this strategy were:

1. The client's crystal was much more expensive, yet was placed on store shelves next to cheaper but not visibly different competitor crystal,
2. Individualists don't shop in department stores, and
3. Department store sales people were incapable of selling it to others types of customers.

Wrap-up / Recommendations for client:

1. Withdraw the product from department stores and concentrate on own stores.
2. Since the aspirers are a very small but specific demographic group, I suggested a database marketing initiative to target them through mailings to either come to the store or order from the catalog.

Desired Solution:

This is what the consultants recommended!

The key was to ask about the product and how it differed from competitors' products, and ask how the customers differed. This leads you to the Placement problem!

Operations 13

Case Title Telecommunications – Cost, Revenue and Customer Service	Company Renaissance Solutions
Type of Case Operations, Strategy, Team Dynamics	Useful Frameworks N/A
Initial Facts You are a consultant. The senior partner wants you to manage a team of four other consultants to address the following client problem: your client is VP of Customer Service in a telecommunication company and her objectives are to decrease costs, increase revenues, and improve customer retention.	
Case Question How would you approach this problem and how would you organize your team?	

Supplementary Data:

See transcript below.

Given solution:

I asked the following clarification questions:

Q: "Do you want me to address team issues or problem approach first?"

A: "Either- it does not matter."

Q: "Describe what types of telecommunications services or products the client offers."

A: "Long-distance, some local and wireless; it also plans to enter the internet market."

Q: "Can I select/recruit my team?"

A: "No. Your team has already been selected for you."

I first tackled the problem approach, and then turned to the team issues.

Problem Approach:

First, I would meet with the VP at the client to gain more information on the client's:

- Profitability and revenues over the last few years
- Key cost drivers of business
- Customer retention rates over last few years
- Key client contacts and content experts, with whom my team will be partnering

Using this information, as well as industry or competitive analyses for profitability, revenues, costs and customer retention, I would generate hypotheses as to how the company could reduce its costs, increase revenues and improve customer retention.

Next, I would focus on the following more specific issues related to customer service:

- *Determine why the client's Customer Service Center is losing customers;* for example, organize focus groups and/or telephone surveys with those customers that have recently terminated their business with the client, in order to identify key performance issues that caused them to leave.
- *Determine what existing customers value most about customer service.* Survey current customers to identify the products and services they value highly, and determine the relative importance of each. Then determine how the client's Customer Service Center compares or performs for each of these criteria (e.g. create a relative importance-performance matrix).
- *Focus on improving key performance drivers in order to improve customer service.* In particular, focus on those performance criteria weighted as most important by customers, and then those criteria where this firm ranks lowest (in other words, go for "quick hits").
- *Identify the main customer service problems and feedback loops with other parts of the firms* (e.g., sales representatives do not receive timely information on new product offerings, so need to establish better communication links between sales and marketing departments).
- *Integrate systems and IT to "enable" or streamline key business processes.* Goal should be to reduce costs and to enhance service.

Team Organization:

I would organize my team around the key objectives outlined above:

- Divide the work based on the objectives outlined above.
- Identify the following:
 1. Skill sets/experience/backgrounds of team members.
 2. Individual preferences for specific projects/work streams.
 3. Best fit between skill sets, individual preferences and work to be done.
- Forge relationship between my consultant team and the client team members.
- Identify the following with the joint consultant-client team:
 - cross linkages between work processes, (i.e., how teams will interact, what roles are),
 - establish joint work plan,
 - identify key deliverables and appropriate deadlines

Wrap-up / Recommendations for client:

Identify the high-impact drivers of revenues, costs and customer retention;

Develop strategies for the client to improve these performance drivers;

Dedicate significant effort to the team's effectiveness through careful planning and execution of client and consultant team tasks, processes and communications.

Desired Solution:

This case was testing not only my problem-solving abilities, but also my team and leadership abilities. It is important to think both strategically and organizationally/tactically.

Operations 14

Case Title	Company
European manufacturer – Increase return on Net Assets	Mercer
Type of Case	Useful Frameworks
Operations	3C's
Initial Facts	
The client is a \$1B European company with 10 manufacturing sites throughout Europe. One of its measures of performance is “return on net asset”, and right now the company would like to increase this measure from 17% to 22%. Its various products include thermostats, room controls, switches for microcomputers, and other piece parts for assembly. The channels that the company uses are the following: • wholesalers (i.e., local mom and pops for do-it-yourself home projects) • outlets (who sell to contractors) • construction companies (used mostly for hotels and restaurants) • OEM's (including switches) • manufacturing companies (used for control processes, refineries)	
Case Question	
How should the client increase its “return on net asset” by 5%, from 17% to 22%?	

Supplementary Data:

See transcript below.

Given solution:

I started with a market overview, then moved to the product line, and then the three C's: Market Overview

Q: “What does the market look like?”

A: Every family of products that the client offers is its own market, but nevertheless, each is experiencing average growth; they are relatively mature markets. The client has two primary competitors.

I switched to the company's products:

Q: "Tell me more about the product. How are they different from the competitors'? Is the range of products appropriate for the market? Are all of them profitable? Is the product range too broad, or too narrow?"

A: The products do not differ very much from the competitors'. Some products are more advanced than others; but they are all high-quality products. The mix seems to be appropriate- we make margins on all of our products, and the range seems to be what the market wants. However, what does differentiate the client from its competitors is the client's service- it focuses on quick delivery. The client guarantees that orders arrive within 24-48 hours.

I now wanted to find out more about the quick delivery:

Q: "How is the quick delivery operation administered? Where are the facilities for delivery vs. production?"

A: The client's ten production facilities are in Germany, Scotland, France and Switzerland. Anyone of these manufacturing plants delivers all over Europe. (The client just recently focused its plant operations to achieve economies of scale.) When products are manufactured, they are delivered to local affiliates, which store the inventory at sites closer to the customers. This allows the client to offer quick delivery despite highly variable demand. Unfortunately, even after the recent focusing of plant operations, the company has not seen an increase in market share. Assume for now that the client cannot achieve additional profits by further consolidating its production facilities.

I switched back to my original structure of the three C's: company/cost

Q: "What are the costs associated with providing the quick delivery?"

A: The operating costs are actually not a big impact on the client's cost structure. What is important, though, is the cost of holding stock at the local affiliates: the working capital tied up at these sites is estimated at \$300 million.

Next I moved to competition:

Q: "Did competitors provide these services? How did their costs compare?"

A: "We don't have exact information on the competition; the client believes that it is spending more than others due to this working capital issue."

I finally arrived at customers:

Q: "What are the customer needs and preferences? How highly do they value the quick delivery?"

A: Through a targeted analysis, the client determined that customers were willing to give up time on delivery- the most important thing to them was consistency of delivery, rather than speed alone. Customers are willing to wait more like a week or so if they know it is going to arrive on time.

Aaah! The client was providing an expensive service that was not highly valued by the customer. Problems with this strategy were:

1. Working capital/inventory that was tied up was very costly
2. Competitors did not have this cost

Wrap-up / Recommendations for client:

I recommended that the client:

1. Change its delivery policy to 7 to 10 days instead of 2-3
2. Centralize delivery by reducing the number of local stock affiliates
3. Reduce costs associated with working capital levels

Desired Solution:

This is basically what the client ended up doing, as per the consultant's recommendations.

It turned out that the client saved about \$200 million in working capital. The company saved 10% of total assets by reducing its stock sites from 10 to 5.

Additional Comments:

Note that you should not get caught up with the original measure of an increase of 5% on "return on net assets"; I dug into the issue of the quick delivery/costs, as opposed to doing a detailed quantitative analysis.

Operations 15

Case Title Investment Management - Profitability	Company N/A
Type of Case Operations – Declining Profits, Marketing problems	Useful Frameworks Cost/Revenue, Profitability
Initial Facts You are consulting to an investment management boutique in New York. Clients must invest a minimum of \$1,000,000. This money will be invested by the client's personal portfolio manager in stocks and bonds such that the portfolio created is in line with the client's personal goals. The price they charged for portfolio management was 1 basis point plus an annual fee.	
Case Question The firm recently benchmarked other boutiques and found that their profitability was lower than the competition. What should the investment management boutique do?	

Supplementary Data:

See transcript below.

Given solution:

It is OK to know nothing about investment management, go ahead and ask relevant questions (its not a good idea, to BS your way through and get stuck along the way!)

Q: "What is a basis point?"

A: One basis point = $(1/100)\%$ of the invested amount.

Q: "How do boutiques compete?"

A: Level of service, performance, some on price.

The basic profitability equation is helpful here:

$Price * Volume - Costs = Profit$

I structured my questions around this equation.

Q: “How does our client’s level of service, performance and price stack up versus the competition?”

A: Our service and performance is comparable to the competition, but their price is was lower than the competition.

Q: “How do our costs compare to the competition?”

A: The key components of the cost structure are real estate, technology costs, and salaries; they are all in line with the competition.

Q: “What is our investment base relative to the competition?”

A: The investment base is comparable to other boutiques, but magnitudes smaller than the big investment firms.

Q: “What would it take to increase our investment base?”

A: You could probably marginally increase your investment base without much investment, but to significantly increase it you would have to invest significantly (hire experienced portfolio managers away from big firms, increase advertising, etc.)

Wrap-up / Recommendations for client:

After exploring all of the angles of the profitability equation, I concluded that raising our price (at least to competitive levels) would be positively affect our bottom line. I learned that a price increase would not negatively impact our investment base.

Operations 16

Case Title	Company
Canadian Timber Company – Profitability/Value Chain	N/A
Type of Case	Useful Frameworks
Operations	Cost/Revenue and Profitability, 3C's, Value Chain Analysis
Initial Facts	
You have been hired by a Canadian timber company. The company processes trees from the forest to make timber products (e.g., plywood, paper). They have been making more profits than their direct competitors and do not understand this phenomenon. You have been hired to find out why.	
Case Question	
Why have they been making extraordinary profits?	

Supplementary Data:

See transcript below.

Given solution:

I started with a profitability framework.

Q: "You say our client is making more profits. Are we also making higher margins?"

A: Yes.

If our margins are higher, then, for each item sold, our average price is higher than that of our competitors and/or our average total costs are lower than those of our competitors.

Q: "In that case, let's focus on prices. How high are our prices, relative to those of our competitors?"

A: What do you think?

Q: "Timber products are commodity goods. I assume, then, that our prices are comparable to those of our competitors?"

A: That's a fair assumption.

Let's shift to costs.

Q: "Moving over to the cost side, how do our costs compare to those of our competitors?"

A: Our costs are lower.

Q: "Let's explore variable costs. Are our labor costs the same?"

A: The hourly rate that workers are paid is comparable throughout the industry. Assume that labor skills are comparable, as well.

Q: "And raw material costs?"

A: In Canada, the timber companies own their own natural resources (forests). Let's assume that the costs of growing and cutting down any given tree are comparable throughout the industry.

Q: "How do our transportation costs compare?"

A: There is not much of a transportation difference between the forests, the mills, and the point of sales.

Q: "Let's look at fixed costs..."

A: "Assume that we use the same equipment as our competitors."

Q: "From what you've said, it seems like the cost of processing any given tree would be the same for us as they would be for our competitors. Is that correct?"

A: That's a fair assessment.

Pull back and look at the big picture.

Q: "If our prices on finished goods are the same, and our processing costs per tree are comparable, then the only way we could be making superior profits would be if our output per tree were higher than that of our competitors. Is that the case?"

A: Yes. On average, our timber company has thicker trees in their forests than their competitors. They can get a higher yield for the same amount of processing time, meaning a lower processing cost per unit.

Wrap-up / Recommendations for client:

Based on what you've said, then, our client seems to be experiencing above average profits because it enjoys a lower processing cost per unit. The next question it might explore is whether that is a sustainable competitive advantage.

Desired Solution:

The timber industry produces commodity goods. You may want to think about the steps in the value chain and analyze differences between competitors at each step.

Obviously, the difference in yield per tree is the "blinding insight" for this case. This case is harder than most, not because it is particularly difficult, but rather, because you figuring out the "blinding insight" is really a hit-or-miss proposition.

Operations 17

Case Title Department Store Sales	Company Bain & Co.
Type of Case Operations – Declining profits, Marketing Problems	Useful Frameworks Cost/Revenue and Profitability, 3C's, 4P's
Initial Facts The client is a major department store chain. Sales have been declining in the last months.	
Case Question You have a couple of weeks to come up with a hypothesis. How would you attack the problem, i.e. what would you do to understand the root causes of flat sales in a short period of time?	

Supplementary Data:

Depends on the assumptions of the interviewee.

Given solution:

Assuming that you have a limited period of time to assess the problem, you cannot start a comprehensive market analysis, or benchmarking exercise. The way to approach the problem should be hands-on.

Sales can be defined as # of customers per day * sales per customer. The next step is to analyze what each of the factors depends on.

Number of customers per day

(Stand in front of the shop and count the people getting in)

This depends on several factors:

- location of the stores and therefore number of people passing by;
- number of walk-ins, which is driven by attractiveness of the show window, reputation of the store's name, effectiveness of advertisement and promotion campaigns, hours of operation, competition in the area.
- proportion of visitors who actually buy something. Underlying factors may include:
 - o time it takes to make a purchase,
 - o marketing capabilities of sales people (how efficient they are in helping a customer to find what she wants or convince her that this is exactly what she wants),
 - o breadth of available product mix,
 - o match between the available price range and purchasing power of the store's dominant customer base.

The next step is to compare present performance with the past and understand which factors could have changed in the last month and thus affect sales. Among those are, for example, change in advertising and promotion policies, increased competition in the area, rotation in the sales personnel (new employees with little experience), change in the product mix or price range.

Sales per customer

If this number has changed, then you should analyze in depth why each customer buys fewer items or cheaper items. This can lead again to poor customer service or a wrong distribution of the goods inside the shop. At the same time decline in sales can be driven by macroeconomic factors such as general economic downturn.

Wrap-up / Recommendations for client:

Perform the above analysis, and, once the root cause has been identified, move into a deeper analysis.

Operations 18

Case Title Declining sales at a UK Food Retailer	Company N/A
Type of Case Operations – Declining sales	Useful Frameworks 3C's, 4P's
Initial Facts The client is a \$5B UK food retailer with a network of 900 stores, 10,000 sq. feet each. The client is experiencing a decline in sales and market share, which shrank from 45% to 35%.	
Case Question Why sales are declining and what can we do about it?	

Supplementary Data:

See transcript below.

Given solution:

I started with the 1st "C": Company (Products, Costs)

Q: What are the product lines, their profitability, and changes over the last year? How do these products compare to the competitors? What is the cost structure, how has it changed and how it compares to the competitors?

A: The client is a low-cost provider, selling simple food products, which are similar to the competitors'. The profitability has not changed much across product lines, but sales across them dropped. The cost structure is the same as competitors'. Cost is not an issue.

I switched to the 2nd "C": Customer

Q: Who are the customers? What is the customer mix and how has it changed over the last year?

A: The customers are price-sensitive people; 75% - low income, 25% - moderate income. Over the last year we lost customers in both categories, but mostly in low income.

I switched to the 3rd “C”: Competitors

Q: How many competitors are in the market? What has changed over the last year?

A: There were two main competitors, a year ago, a third competitor came in.

Q: Since the customers are price-sensitive, I assume there is a difference in price of products that this competitor is offering. Is that a fair assumption?

A: Yes. The competitor offers private labels, which are cheaper than the brand name products that the client sells.

Q: Has the client considered introducing the private labels?

A: No, that would make a good recommendation.

Q: Are there any other differences between the client and the competitor? Do the stores look the same? Are they located in the same areas?

A: The stores looked differently. The client has warehouse style stores with the top shelves used for inventory. The competitors' stores look warmer and cozier with all shelves displaying different products. The competitor has fewer stores, but they are located in the same areas as client's.

Q: Has the client considered redesigning the stores?

A: No, that would make another good recommendation.

Q: Are the client's stores equally profitable?

A: No. Some stores are more profitable than others are.

Q: What are the reasons for the difference? Are there any common trends among stores with low profitability and high profitability?

A: At this point the client does not know why there is a difference.

I recommended studying the reasons for the difference and if it's not possible to turn unprofitable stores around, close them and concentrate the resources on profitable ones.

Q: How does the client promote the stores? What are the most effective marketing techniques?

A: Client uses all kinds of promotions, but does not track how effective they are.

I recommended conducting customer survey and developing tracking system to concentrate on promotions that are most effective and eliminate the ineffective ones.

Wrap-up / Recommendations for client:

Introduce private labels, which are cheaper than the brand name products.

- 1) Start with redesigning one store as pilot to assess increase in sales. Redesign others if the benefits outweigh costs.
- 2) Conduct a study evaluating the reasons for low profitability and possibly closing unprofitable stores. Study the costs to streamline business operations and pass savings to the customers.
- 3) Evaluate promotional activities, concentrate on the most effective, and eliminate ineffective.

Blinding insight

Profitability of 900 stores is different. It's not a coincidence that the competitor has fewer stores.

Operations 19

Case Title Declining sales at Pharmacy Retail Chain	Company N/A
Type of Case Operations – Declining Profits, Marketing Problems	Useful Frameworks Cost/Revenue and Profitability, 3C's, 4P's
Initial Facts In this case the client of yours is a pharmacy retail chain. It is facing two major problems: first, its sales are declining, although the market for this service is growing; second, profitability is declining.	
Case Question You are asked to identify reasons for poor performance and recommend steps for profitability improvements.	

Supplementary Data:

See transcript below.

Given solution:

Approach:

Analyze reasons for sales decline, then proceed with cost analysis to identify reasons for profits decrease?

Revenue side

The following questions should be answered to understand why sales are declining.

- Do fewer customers visit the pharmacy or they spend less per purchase?
- Has the product mix changed in the past?
- How price sensitive are the customers?

- Is there an opportunity for segmentation?
- What has been happening with the pricing strategy in the past?
- How consistent is performance across the stores within the chain? Are there “best performers” against whom we can benchmark and whose practices should be implemented in other stores as well?
- Has the number of competitors increased in the past? What are their pricing strategies?

Cost side

Decrease in sales is certainly one of the reasons for worsened profitability. To complete the picture, the costs have to be analyzed as well.

- Have our costs increased in the past?
- What cost components have caused this growth?
- How do different stores compare with each other in cost management?
- How do we perform relative to competition?

Wrap-up / Recommendations for client:

In this case the key finding would be that there are opportunities for customers' segmentation: there are essential drugs that people use through the whole life and other items. It turns out that people are very price sensitive for the first category and less so for the second. Therefore the pharmacy should be pricing the first category very low to attract customers, but charge higher prices for other products.

Operations20

Case Title Specialty Labs Manufacturer	Company N/A
Type of Case Market Sizing, Operations – Declining Profits	Useful Frameworks Cost/Revenue and Profitability, 3C's, Porter's 5-Forces
Initial Facts Our client is a manufacturer of specialty labels. They have been losing money for the last three years.	
Case Question There are two questions for you: (1) how to quickly improve profitability; (2) should the company stay in this industry?	

Supplementary Data:

See transcript below.

Given solution:

Profitability Improvement

Profit = Revenues - Costs

Reduction of profitability means that either revenue goes down, or costs go up, or both.

Revenues:

Revenue = number of units sold * price per unit

Let us assume there were no changes on the revenue side.

Costs:

Costs = fixed costs + variable costs

What are the major cost drivers for specialty labels? They are labor (variable) and artwork (fixed).

- Variable costs are same as industry average and have been constant over time.
- Fixed costs: significant, therefore there are significant economies of scale in this business.

Let us now understand whether this is a good industry to be in in the long run. One of the approaches here can be to understand current industry structure and the trends.

Current structure:**Rivalry**

- The client company is the largest player in the market, other competitors are primarily “mom and pop” producers.

Customers

- High-end cosmetic companies prepared to pay premium for the client’s color matching ability.

Barriers to entry:

- Low, competition may increase in the future.

Next issues to consider:

- is it a growing industry;
- how competition is likely to evolve;
- what capabilities are required to compete in the future and does the client company possess them;
- are substitutes likely to evolve (other materials, other technology);
- how powerful and concentrated our suppliers are;
- how high the exit costs are.

Wrap-up / Recommendations for client:

The costs will be brought down if sales go up because of economies of scale.

Operations 21

Case Title Customer Service at Bank	Company N/A
Type of Case Operations	Useful Frameworks Value Chain Analysis
Initial Facts Your are working for a bank who is facing problems with the quality of customer service. Its customers are complaining about long waits on the phone, being transferred to multiple branches, separate accounts requiring multiple calls, etc. The customer service function is currently performed at each individual branch.	
Case Question How customer service can be improved?	

Given solution:

Start with diagnosis of the current operations:

- How each call is handled?
- What customers complain about?
- Why did this mistake happen?

Do benchmark analysis across the branches within the client bank.

Do the same analysis but benchmarking against the competing banks:

- How do they handle customer service.

Benchmark against other industries, which are conducting similar customer service operations.

Operations 22

Case Title Building Control System Company's Profitability	Company Bain & Co.
Type of Case Operations – Declining Profits	Useful Frameworks Cost/Revenue and Profitability
Initial Facts The client is a provider of building control systems, which are used to regulate lighting, temperature, water, security, and general utilities associated with large buildings.	
Case Question Their profit margin is two percent below the average for the industry. Why? What can be done to correct the problem?	

Supplementary Data:

See transcript below.

Given solution:

If the profit margin is lower than the industry average, then something must be going on with revenue mix or cost structure.

Profits:

Knowing that $\text{profit} = (\text{price} \times \text{quantity}) - (\text{fixed} + \text{variable costs})$, I took a quick long shot and asked directly whether we were facing a straight-forward pricing issue.

Q: Are our prices simply less than the competition for comparable products?

A: The answer was no – it's not a pricing problem. So I took a step back and looked at it from a broader perspective.

Q: I asked for more information about the industry structure, as well as more information about the client's product mix.

A: Basically, there are three major firms in the building controls sector, and the profit comparison is highlighting some difference between the client and the other two firms. The client sells control systems, which include installation bundled into the purchase price, plus add-on post-installation services as an option. Clients can purchase "break-fix" services – repairing the control systems on call. When something goes wrong. They can also purchase building outsourcing services, wherein the client takes over management of the building controls entirely.

Competition:

Given that product mix, I asked how the competitors compared.

Q: Were their product mixes any different? And also, were the margins on the "systems" versus "services" different?

A: In fact, this was the key. The competing firms received 60% of their revenue from systems and 40% from services, versus 70% and 30% for the client company. Furthermore, the margins on systems were 5% on products and 15% on services for the competing firms, versus 4% and 15% for the client.

So clearly the margin difference was being driven by the fact that the competitors did more business in a more profitable sector of the industry – namely, services.

The interviewer wanted me to double-check and quantify the difference, which required some quick math as follows:

Competitor Margin: $60\% \text{ rev} \times 5\% \text{ margin} + 40\% \text{ rev} \times 15\% \text{ margin} = 9\% \text{ margin on aggregate revenue}$

Client Margin: $70\% \text{ rev} \times 4\% \text{ margin} + 30\% \text{ rev} \times 15\% \text{ margin} = 7.3\% \text{ margin on aggregate revenue}$

So, the actual difference in margin is just under 2% as originally stated, 1.7% to be exact.

The case then moved into implementation:

Knowing where the margin problem originates – with the clients’ product-focused (versus service-focused) revenue mix – how could we / should we address the problem?

Clearly, we need to boost service revenue. Back to the question of service mix, the client had break-fix and building management outsourcing services. The interviewer instructed me to focus on outsourcing rather than break-fix, which was just a small part of the service business. So the question then is how to we boost our outsourcing service revenue?

I suggested that we look at two issues – sales process and capabilities. The interviewer then told me to focus on sales, that capabilities weren’t an issue. I guessed that there was an incentives problem, and that the sales forces was very likely motivated with system-based commissions that provided much greater financial rewards for selling product rather than outsourcing services. This was a good point, but again the interviewer wanted to take it in another direction.

Assuming that incentives can be addressed, but that the problem still remains – with outsourcing service revenue lagging industry averages – then what is the issue? I turned to the organizational challenge of managing a product sales force and trying to “convert” them to a service sales force. It’s a very different skill set, with a very different mindset. Product sales are relatively short-term, focused on the comparative strength and attributes of the system in question versus its competition. Service sales are built through long-term relationships with customers, focusing on long-term cost advantages that outsourcing can offer. So there needs to be a recognition that the existing sales force cannot simply be “reincentivized” with higher commissions on sales – the client needs to hire new sales people with experience in service & solution sales, who can work with the product sales force to grow revenue more effectively.

Wrap-up / Recommendations for client:

Hire new sales people with service & solution experience, and use that experience to leverage the existing knowledge and networks of the current product-focused sales force. Form joint sales teams that are incentivized to maximize total revenue – product + services/solutions. Monitor progress by tracking service sales growth, and revise incentives and collaboration mechanisms as necessary to achieve goal of boosting service sales.

Desired Solution:

Two parts:

1. First target was to determine that the profit differential was driven by differences in the revenue mix, and to run the numbers to get the exact difference.
2. The second target was to analyze the situation from an organizational perspective and make recommendations that would alter the structure of the sales force and thereby help change the revenue mix to boost service sales.

Additional Comments:

As would be expected with Bain (a “results-oriented firm”) the interviewer seemed to focus as much or more on the question of implementation and organizational challenges as the quantitative answer found in the first half of the case. Fits with the Bain philosophy of driving for maximum results, not optimal theoretical solutions.

Operations 23

Case Title Chinatown Bus	Company N/A
Type of Case Operations	Useful Frameworks Cost/Revenue and Profitability
Initial Facts The Chinatown Bus is a service that offers transportation between the New York and Boston Chinatown's on an almost hourly basis throughout the week. The price of a Chinatown bus ticket is roughly \$10, whereas Greyhound, is roughly \$25 for pretty much the same route.	
Case Question Can you explain what causes there to be such a price difference?	

Supplementary Data:

Commons sense assumptions. See transcript below.

Given solution:

Interviewer started off by pushing in the direction of developing a cost chain. What are the major cost components to running these two different businesses?

I stepped through the major cost categories and he more or less checked them off as I mentioned them.

These include:

- Fuel Costs
- Bus depreciation & maintenance
- Labor
- Sales and Marketing
- Facility expense

The next step was to identify where these cost categories would differ between the two, Chinatown Bus and Greyhound.

- **Fuel Cost** – More or less no difference
- **Bus depreciation & maintenance** – more or less no difference (could be argued that Greyhound has better buses, but interviewer said that this wasn't really the case)
- **Labor** – More expensive for greyhound
- **Sales and Marketing** – A lot more expensive for Greyhound (it has ads, Chinatown does not). Furthermore, Greyhound has ticketing services, Chinatown has very limited ticketing infrastructure.
- **Facility expense** – A lot more expensive for Greyhound (the Chinatown bus parks on the street for pick-up and drop-off). Greyhound parks in the Port Authority or South Station.

Upon hearing this, the interviewer wanted to pursue calculating the extra cost per ticket that facilities add. So very roughly, a bus takes up a space of 75 feet by 10 feet (say its 20 rows long). So for a comfortable parking spot it needs about 1000 square feet.

Assume commercial real estate like port authority rents at \$15 / square foot, so \$15,000 a month for rental space on each end, so \$30,000 / month.

Assume a bus makes 1 round trip per day (8-9 hours total time). Assume 80 seats on bus (20 rows X 4 seats per row). Assume 50 seats taken (roughly 60% utilization). So 100 one-way tickets sold per day per bus.

Assume 30 days in a month, so 3,000 tickets sold per month.

$(\$30,000 \text{ rent} / \text{month}) / (3,000 \text{ tickets} / \text{month}) = \$10 / \text{ticket}$

Wrap-up / Recommendations for client:

So from these back-of-the-envelope calculations we see that on a per ticket basis, greyhound has to pay roughly \$10 in facilities fees. The overall difference in ticket prices is \$10 vs. \$25, or \$15 dollars, so the facility cost is probably a significant driver of the difference in ticket prices.

Desired Solution:

There are a lot of debatable assumptions in this case – just setting up the cost comparison framework as well as plowing through calculations were the main testing points.

Operations 24

Case Title	Company
Downtown Dining	McKinsey and Company
Type of Case	Useful Frameworks
Operations – Declining Profits	Cost/Revenue and Profitability, 3C's, Internal/External Factors
Initial Facts You are the owner of a mid-scale downtown restaurant in a metropolitan US city. The restaurant serves mainly a lunchtime crowd and used to serve standard American fare (think TGI Friday's). Your restaurant operates on Mondays to Fridays from 11:00am to 9:00pm. Business has been good for the last few years and you have seen a steady operating profit margin of about 7%. Recently, an Italian restaurant and a Mexican restaurant opened around the vicinity of your restaurant. To counter the competition, your restaurant manager decided to add Italian dishes and Mexican food to your menu. Not surprisingly, this allowed your restaurant to retain its clientele. However, this increased the number of chefs you hired from 5 to 7. Also, business is so good that the line during lunch hour is longer than ever and customer feedback on these new menu items has been great. Your restaurant manager decided to remove your bar area to make room for more tables so as to accommodate the crowd.	
Case Question Up till now, you have been an absentee landlord, choosing to indulge in golf. However, in a whim, you decided to swing by and have a look at the restaurant's books. What you saw shocked you! Despite the rosy scenario, your profit margins for the last three quarters have been negative. You call your restaurant manager into your office to brainstorm ideas to bring the restaurant back to its previous profit levels.	

Supplementary Data:

See transcript below.

Given solution:

Competition

- How are they doing? They're profitable.
- What is their turnover rate? They don't have lines waiting for table.
- Are they retaliating by adding more menu items? No.

Customers

- What do they want? Variety.
- What segment are you targeting? Yuppies during lunch.
- Are they price-sensitive? No.
- How to segment market even more? Spread the lunch crowd by implementing various incentives like early bird special.

Company

- What is your costs breakdown? Labor (Chefs + Waiters) and Raw Materials. Think about how you can reduce this given that you currently have a full menu of American, Mexican and Italian fare.
- What is your turnover rate? Slow.
- Is removing the bar a good idea? Do some turnover rate calculations. Think about how many customers can a bar (total capacity of 8) serve per hour versus the four tables (total capacity of 16) that replaced it. Consider the amount spent by a bar client and a table client. Also consider the turnover rate of a bar client and that of a table client.
- Can you expand increase utilization of your restaurant? Think about how you can draw dinner crowds since you now primarily serve lunch crowd. Think about your operating hours.

Wrap-up / Recommendations for client:

- Smooth the customer flow to ease lunch time problem. Use incentives like early bird specials.
- Catch evening rush hour crowd by introducing dinner specials. This will improve utilization.
- Offer special cuisine on different days rather than include them in full menu. This will improve predictability of raw material purchase and reduce number of cooks, which is your main cost.

Desired Solution:

- Think about implications of putting the bar area back in and recommend it if you can justify the other benefits.
- Is having a line outside of your restaurant good or bad? What kind of perception of does it generate for potential customer

Operations 25

Case Title Australian Telecom Company	Company Boston Consulting Group
Type of Case Operations – Declining Profits	Useful Frameworks Cost/Revenue and Profitability, 3C's
Initial Facts Our client is an incumbent telecom operator in Australia. It offered local phone services, long distance service, wireless phone service and broadband internet access. We will focus on its wireless division today. Lately, the company has been experiencing declining profit in its wireless division. You have been hired to come up with a turnaround strategy.	
Case Question Why is the profit of the wireless division going down and what should the client do?	

Supplementary Data:

See transcript below.

Given solution:

The interviewer started off with a high-level question.

Q: how would you characterize the telecom industry in general?

A: wave of deregulation in the 1990s, extremely competitive environment, capital intensive (high fixed cost)

[the key here is to be able to describe in general terms]

Then I started off looking into revenue and cost.

Q. What is the trend of revenue growth? Increasing, stable or decreasing?

A. It has been growing at a very slow rate.

Q. What about the pricing of the product? How has it changed?

A. Prices have been declining, in line of the market trend. Here is chart on revenue. What do you think? [Show exhibit 1]

- Q. So, the revenue per subscriber has been decreasing. Is it totally because of price decline in the market? Does the company offer different types of wireless services? Has the revenue mix of these services change over time?
- A. You can assume that they only offer simple wireless voice services. But they do target two different groups of customers – business and residential.
- Q. How has the mix of these two groups of customers change over time?
- A. [Show exhibit 2] Here is a chart that shows the customer mix. What is the implication of this chart?
- Q. Let me first clarify the chart. So, this chart shows a breakdown of the two groups of customers in total revenue or in total no. of customers.
- A. This shows a breakdown in terms of number of customers.
- Q. How has the total number of customers for the company been changing over time?
- A. It has been quite flat.
- Q. Generally, revenue per subscriber for business customer is much higher than for residential customer. Is this a fair assumption for this case?
- A. Yes. This is the case for our client.
- Q. Despite being able to acquire residential customers in the market, our client has been losing a lot of their existing business customer base. Besides pricing pressure in the market, lower revenue per subscriber due to the change in customer mix also contributes to declining revenue for our client. Is this correct?
- A. Yes. This is a good observation.
- Q. Now I would like to turn to the competitive environment and understand what has been contributing to our losing of business customers. You mentioned that we were the incumbent in the market. How many major competitors do we have in the market? How has the market share among the operators been changing over time?
- A. [Show exhibit 3] This is a chart showing the market share of customer.
- Q. It seems that we have been losing or not been able to gain as many customers as the two other competitors. As we have been gaining residential customers, is it fair to assume that most of our loss of customers is indeed in the business segment, and mainly losing to these two competitors?
- A. Yes, that's correct. Given all these, what would you recommend our client to do?

Wrap-up / Recommendations for client:

- Investigate the reason behind losing in the customer segment. Problems can arise from misalignment of sales force and uncompetitive product offering relative to competitors
- Leveraging our existing network and offer other value-added services, such as voicemail, messaging, data service, etc.
- Innovative pricing plan (e.g. family plans) or bundling of services (offer local, long distance and wireless services at one bundled price)
- Acquisitions of competitors in the market to eliminate excess capacity, assuming that this doesn't violate antitrust

Desired Solution:

- Key is to understand that volume is the crucial success factor in a high-fixed cost industry
- Always look behind the revenue bar and understand its different revenue streams
- Always ask clarifying question when being shown a chart

Exhibit 1

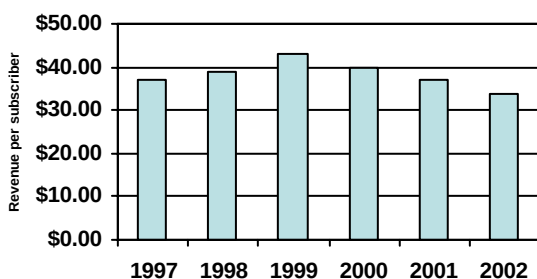


Exhibit 2

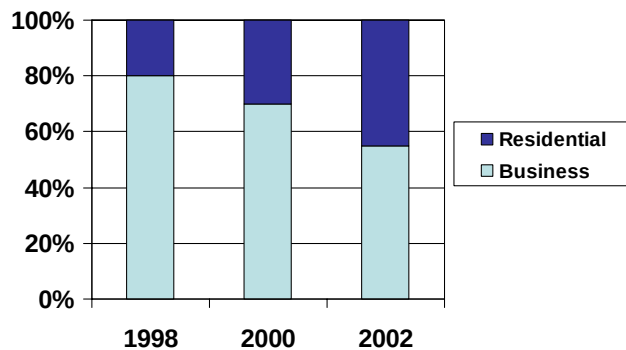
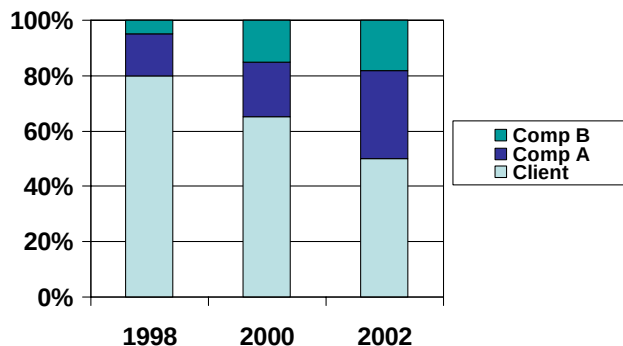


Exhibit 3



Operations 26

Case Title The declining revenue of an Optic Fiber Company	Company N/A
Type of Case Operations – Declining profits	Useful Frameworks Cost/Revenue and Profitability, 3C's, 4P's, Porter's 5 Forces
Initial Facts You have been hired by an optic fiber manufacturer which sells primarily to telecom companies. In 2001 the company experience 50% decline in revenue. A new CEO has been hired which has no prior experience in this industry and first thing he does is call you to solve the problem.	
Case Question Why did the revenue decline 50%? Can you improve the problem?	

Supplementary Data:

See transcript below.

Given solution:

The key aspects to the answer without sticking tightly to any of the frameworks above:

Demand:

The industry is in the slump. It's not just the company that lost 50% of the sales, but the entire industry contracted correspondingly. I knew the following facts which I laid out and asked if I can work with these assumptions:

- There is also a glut of fiber laid in the ground and only 10% is lit.
- The lifespan of the fiber already in the ground is 15+ years, so the demand from replacement is almost irrelevant
- New technologies: The wave segmenting – now you can pack hundreds of channels into a single strain of fiber dramatically raises capacity without adding any fiber. This technology is likely to get even better which is bad news for our client (the interviewer asked me NOT to consider this, because while it's absolutely correct, it would put a completely different spin on the problem.

We worked with the assumption that the demand doubles every year (currently you are using 10%), we assumed 1 year lead time for the laying out the fiber to coming online. So if you double the demand every year, after first year you are at 20%, after the second year you are at 40%, 3rd year at 80%. Taking out one year lead time, without adding any capacity, it would take 2.5 years give or take for the telecom companies to start ordering fiber.

We also discussed bringing fiber to the houses, but this was dismissed as not so relevant.

Product:

This is a commodity product. There is no difference between different brands of optic cable. The opportunities to differentiate the product are nil (based on the assumptions requested from the interviewer.)

Price:

The industry is very concentrated. There are some 10 players on the market; our client was the biggest one, commanding 30% of the market. The industry players were much disciplined, because it's not only the company that experienced the 50% decline, but the entire industry, and despite that the prices were stable well above manufacturing costs.

Cost:

Since the product is a commodity, this is a business about improving margins through operational efficiency. The companies that are able to manufacture optic fiber cable at the lowest price will succeed in the long run. Our client actually had an advantage in this arena: It was operating the 2nd and 3rd lowest cost plants in the industry. Another important aspect about this is that this is a high fixed cost, low variable cost industry. The interviewer sprinkled brain teasers throughout the interview. For example he asked me: If you produce 2 million km of optic fiber cable for \$25 million and 4 million km for \$35 million, what are your fixed and variable costs (the key is to answer quickly)? Based on this data, this is a high fixed cost (\$15 million per plant), low variable cost industry (\$5 / km). If you are in such a position with a glut of production capacity and low variable costs, usually the prices and the margins deteriorate very quickly, despite that the players have been very disciplined and kept the price above the manufacturing costs for most of the plants in the industry.

Promotion.

The players can keep a high list price, but defect on the prices by offering incentives to the customers. One way to disguise discounts is by offering very favorable financing conditions, or entering in profit sharing agreements with the buyers, essentially facilitating the purchase of fiber for the buyer.

Value chain.

This was dismissed early on, as the prices of the inputs were irrelevant.

Wrap-up / Recommendations for client:

What can you do?

1. Compete on price. You have the most efficient plants, so one strategy could be try to drive out the more expensive plants out of business and then raise the price. I dismissed this alternative, because, some of the more expensive plants are operated by large conglomerates and they can cross subsidize them and it's unlikely they would close them within short period of time.
2. Maintain status quo. This industry has few large players and the competition is clearly a question of game theory. The industry is in a slump and if you try to grow at the expense of your competitors it is likely that they will fight back. The industry is very disciplined, considering the fact that the prices have been kept up for such a long time. You could probably try to fight by other means mentioned earlier, but it is likely that the competitors would uncover such strategies and try to retaliate. So the best action is to maintain the market share by scaling back the production facilities (competitors are likely to take this as a signal and scale back as well), ride through the downturn and then grow once the market recovers.

Desired Solution:

My interviewer gave the same answer as mentioned above: Keep the prices, maintain the market share, scale back the production and grow once the market recovers.

CHAPTER 10

Case type 4 - Strategy



Strategy 01

Case Title ATM installation at Canadian Bank	Company N/A
Type of Case Competitive Response	Useful Frameworks The 3 C's
Initial Facts The client is a Canadian bank, with 1000 branches. It is one of 6 large area banks. It recently decided to install ATM's in all of its branches. The research concerning the cost and vendors of choice has all been done.	
Case Question How would you analyze the benefits from the ATM's, and what data would you need? Concentrate on the main issues.	

Supplementary Data:

- Three of the client's largest competitors have installed them in the last 2 days
- 30% of tellers were redundant
- 20% of the bank's current customers would never use an ATM, another 50% might use them, and the remaining 30% are so fed up that the bank does not have ATM's that they are about to leave the bank as customers

Given solution:

I did a three C's analysis, and added a fourth part on technology:

The first C: company/cost

Q: "Are there cost savings associated with the use of ATM's? I assume that some of the tellers could be replaced, and possibly some of the branches consolidated. ATM's could allow some transactions to be processed more efficiently."

A: "Yes- 30% of tellers were redundant, and there is room for substantial savings by laying them off (salaries and benefits)."

Next I moved to competitors:

Q: “Are the competitors doing the same thing?”

A: “Yes. Three of the client’s largest competitors have installed them in the last 2 days.”

I finished the three C’s with customers:

Q: “Do customers want the service? How do they value it? Also, does the bank see this as a way to get new customers or simply to keep existing customers?”

A: “In a recent survey, the bank determined that 20% of its current customers would never use an ATM, another 50% might use them, and the remaining 30% are so fed up that the bank does not have ATM’s that they are about to leave the bank as customers.”

I closed my analysis with a discussion of technology issues:

Q: “By using the technology, could related information be used to offer new products (i.e., creating a data base, market segmentation)? Are there new trends in the industry using ATM’s to offer new products?”

A: “This is something the client would need to look into.”

Wrap-up / Recommendations for client:

I summarized by saying that:

The bank had to act fast, given that its competitors are all quickly installing ATM’s, and that some customers are about to pack up and leave. I highlighted the need to respond to both competitors AND customers.

I noted that it was also important to look at the segments of customers: were some of the longest-standing, high net-worth customers the ones who were about to leave? If so, then the issue is all the more time sensitive. In other words, beware of the different types of customers you have, and value those that are the most valuable.

There are real cost saving opportunities associated with the decision, too, as discussed above.

The bank could make use of the space left by laying off some tellers to produce additional revenues. New products, such as credit cards or investment related services, could be offered, or even less traditional banking items such as food/refreshments.

Desired Solution:

The interviewer said that these were all central issues to the case. She mentioned as an aside that the bank had problems initially, because customers who originally said that they might use the ATM's ended up being very technology averse, and in fact did not like to use the ATM's. This meant that they needed to be encouraged to use them (advertisements, promotions, etc.)

Additional Comments:

This was a good example of thinking outside of the box: the interviewer really liked my idea of putting in a refreshment stand in the bank (and it is actually being done by some California banks that are selling café lattes in the bank!).

Strategy 02

Case Title	Company
Natural Products Manufacturer	N/A
Type of Case	Useful Frameworks
New Market/Competitive Response	N/A
Initial Facts (There was a 1.5 page written case that I had to read. These case facts are just some of the notes I scribbled while reading it.) GNC is a natural products manufacturer and supplier. Up until 1986, it was a discount provider of natural products such as vitamin, mineral and herbal supplements. Due to increasing price pressure from a variety of sources (grocery stores, drugstores, convenience stores, mass merchandisers/mail order houses, and independent suppliers), it decided in 1986 to move out of the discount segment and to become a specialty provider charging premium prices. In 1987, franchisers comprised 47% of outlets. Now, in 1994, the company has plans to expand the number of outlets by 25% in order to fuel growth. Today, the product line is as follows: • Vitamin and mineral supplements (40% of sales) • Sports, performance-enhancing food products (28%) • Herbal supplements (10% of sales, but projected to grow 24% over the next three years) In 1976, GNC was manufacturing none of its products, but by 1986, was manufacturing 65% of its product line. They see manufacturing as a key component of their success and future growth, because they have very cost-effective facilities. Notably, its manufacturing facility was at almost full capacity and the herbal supplements facility was operating at full capacity by 1994. Production (for herbals) recently expanded to 24-hours per day, seven days per week, in order to meet demand for GNC's supplements which used a unique gel cap packaging. GNC also has a significant R&D/new product development capability, and launched 113 new products in 1993.	
Case Question You are an outside director on GNC's board. At a recent board meeting, the CEO displayed a slide containing only this information: "2-year plan: Increase revenues 40% (20%/yr)." What additional information would you want to know, and what questions would you ask of the CEO?	

Supplementary Data:

N/A

Given solution:

Rather than following a particular framework, I came up with the following list of questions to ask the CEO, which the interviewer answered as if he were the CEO:

Q: "Is this a sustainable growth level?"

A: "Only a two-year plan, so sustainability is not really an issue."

Q: "What are implications for financing and capital structure over the next two years if this growth level is greater than its earnings/CFs can support?"

A: "Assume the following: 1) all expansion will be paid for using cash from operations, 2) there will be no change in capital structure, and 3) growth will be realized via franchise expansions (e.g. growth of store sales is flat)."

Q: "From where does GNC plan to "get growth" - where does it plan to expand?"

A: "GNC is bi-coastal now, and store growth in sales is flat. So, GNC needs to increase growth by increasing franchise openings. It will expand by penetrating the mid-west and southern markets."

Q: "Can our manufacturing facility support more growth, given that we are already at almost full capacity (and beyond full capacity for our fastest growing product)?"

A: "Assume GNC will be able to expand capacity by 1) adding more and better equipment to its current plant (e.g. no time lag for new construction to come on line) and 2) increasing shifts at those facilities not yet operating 24-hours per day. So, manufacturing capacity is not a binding constraint."

Q: "Who would be our new competition in the midwest and/or south?"

A: "Direct competition will be from mom-and-pop stores while indirect competition will come from grocery and retail drug stores. Assume neither is a significant competitor for the next two years."

Q: "How do market preferences in the mid-west and south differ from GNC's traditional markets on the coasts? How would the marketing mix be different?"

A: "Assume the demographics and preferences are close enough, and that no changes in pricing, product, placement or promotion will be necessary."

Q: "Where are GNC's manufacturing facilities located and how will GNC's transportation/ shipping costs change as they enter new markets?"

A: "Assume no major changes in costs."

After I suggested these questions, the interviewer asked me some additional questions:

The Additional Question(s):

1. "What are some of the pros and cons of company owned stores versus franchises?"

My solution was the following:

Cons of Franchises:

- Managing agency problems in some franchise outlets.
- Identifying and recruiting franchise owners with the "right" attitude and values for selling your product (e.g. Anita Roddick and the Body Shop).

Solutions: Benchmark ideal qualities and best practices among current franchisees; recruit against those criteria and create formal training for new franchisers.

Pros of Franchises:

- Profit motivation of the franchisees creates alignment of goals in non-transient locations. That is, desire for profits motivates franchisees to take good care of products, make appealing displays, and keep the place clean, etc.
- Less costly way to expand than making capital investments in many new company-owned stores.
- Shared risk - GNC does not need to shoulder all of the risk in expanding because franchisee puts up some money and assumes much responsibility for operations and success of new store.

2. “What are the issues to consider in having mom-and-pop stores as your key competitor?”

- mom-and-pops
- have good access to local markets.
- have loyal customers.
- have deep knowledge about individual customer preferences.
- are small, fragmented, dispersed, and have less total capital backing than larger firms.

3/ “How can GNC get more growth out of its existing stores?”

- Identify high margin products, rearrange floor display to give best access to those products.
- Offer promos such as coupons for high margin products to grow demand for them.
- Change sales help/staffing mix to give more/less customer service (more help for better service and thus more sales; less help to reduce labor costs. [However, excluding company-owned stores, labor costs are the franchisee’s problem, and don’t really impact GNC’s margin on products supplied to the franchisee; so push for more sales help.]
- Longer or different hours to match customer shopping schedules.
- Start a catalogue. Distribute via stores, internet and/or mailing; this won’t necessarily increase per store margins, but will increase overall product sales, which benefits GNC.

Desired Solution:

N/A

Additional Comments:

The key was to ask the right questions rather than to come up with an answer using a specific framework.

Strategy 03

Case Title Web-site of Philadelphia Museum of Art	Company N/A
Type of Case New Product Introduction/Other	Useful Frameworks N/A
Initial Facts The Philadelphia Museum of Art (a for-profit institution) has a web-site that is basically set up just for users to look at. The head of the museum feels that there must be some way to increase the museum's revenues through use of the web-site, and so he asks you to explore this issue as part of your summer research project.	
Case Question What do you recommend to the head of the museum?	

Supplementary Data:

The museum earns revenues from: membership fees, entrance fees, catalog sales, and corporate sponsorship of blockbuster shows (major art exhibitions that are sponsored by companies when the collections come to town).

Given solution:

Given that the question asked how to increase revenues (as opposed to profits), I started out saying that I would only focus on revenues, and therefore I would not address costs (but suggested that someone else do this for their summer project).

I therefore used a framework based on existing forms of generating revenues and new forms of generating revenue. The logic behind this is that there would be two ways to increase revenues: 1) use web site to increase sales of existing products and services (i.e., an increase in existing sources of revenue) and 2) use web site to market and sell new products and services (i.e., a new source of revenue).

I started out by first asking how the museum generates revenue currently:

Q: "How does the museum generate revenue currently?"

A: "Currently, the museum earns revenues from membership fees, entrance fees, catalog sales, and corporate sponsorship of blockbuster shows. Blockbuster shows are major art exhibitions that are sponsored by companies when the collections come to town. For example, a blockbuster show might be called the "US AIR" presentation of Monet's Garden at Giverny."

I then suggested that the museum do the following to use the web site to increase the revenue generated by these existing forms:

- Offer online catalog ordering via the web-site. Currently, they do these sales of museum memorabilia and other gifts through the traditional gift shop at the museum and through mail-order catalogues. The web's easy access would allow customers who have never visited the museum to see and maybe order the gifts on-line. The museum could set it up such that a consumer could place an order, supply the credit card number, and the item could be sent out right away to whatever address the consumer wanted. The museum could negotiate a deal with Fed Ex to handle the deliveries. Of course we would have to actively educate the consumer as to the security of ordering through the web-site, because there may be resistance in the market to giving out a credit card number on-line. The museum could guarantee security and back any fraud that might negatively affect our customers. The client could even advertise a little on the web-site about what great gifts these souvenirs make.

The special benefits include:

- more cost effective, since less overhead costs involved and fewer mistakes during order (because consumers enter the information directly)
- more convenient for customers, because they do not have to be in the store or have a catalog handy
- better service for customers, since gifts are ordered directly with faster turnaround

- Advertise the museum's regular and special events. In general, use the web site to advertise the museum's collections and services by providing photos and other information about art at the museum. Utilize this powerful and interactive form of communication! Provide a complete description of what the services include for current members. Use hotlinks from corporate sponsor company web pages (i.e., link from US AIR's home page), local and national tourist web pages (i.e., www.boston.com), and other sources to bring new customers to the web pages. The goal here is to increase membership and entrance fees simply by advertising through the web.

- Provide an opportunity for customers to join the museum as members conveniently and directly on web.

This is to boost revenues from membership services through the convenience of the web, as opposed to having to be in the museum, or to call during office hours to join.

I then suggested the following new ways for the museum to generate revenue:

- Form chat groups about art and other interests of our members. Members pay an annual fee for unlimited access to the museum and special events; we could add special services and features on our web-site for these dues-paying members as an attempt to increase membership.

- Offer advertising spots on our web-site for relevant and appropriate products for art lovers. Naturally we would screen advertisers so that we weren't advertising Bud Light and Marlboros on our web-site.

Desired Solution:

N/A

Additional Comments:

The key was to come up with creative solutions for the museum to generate revenue. There was not a lot of material or detail to probe for in the form of questions. It was important to have some type of structure, rather than to list ideas, but it was even more essential to be creative.

Strategy 04

Case Title Pricing of a New Drug	Company BCG
Type of Case New Product / New Market	Useful Frameworks Microeconomics Analysis / Other
Initial Facts Your client is a pharmaceutical company that is ready to launch a new drug. It is a drug for severe asthma. It is essentially the same as what is in the market today, but it is stronger, faster, and can treat severe cases that are not properly treated with today's medicine. The drug is seen as a breakthrough. The client is planning to launch this drug in Canada.	
Case Question How should they price the drug?	

Supplementary Data:

- Price of already available asthma drugs around \$5
- Manufacturing and selling cost similar to that of other asthma drugs
- The Government pays for these drugs for the elderly and poor, Health insurance companies pay the drugs for other citizens

Given solution:

The first question I asked was a general one:

Q: "Why are they launching this drug in Canada and not the US?"

A: There was no real answer to this, but in the end I determined that the key issue the location issue was that in Canada the government essentially runs the medical system.

The next question I had was driving at understanding the pricing system for today's drug, as this would be a relevant benchmark for pricing our new drug:

Q: "How much does today's asthma drug go for?"

A: "It is priced at about \$5."

Then I inquired about the COST of the new drug compared to the older one:

Q: “How do the costs of manufacturing and selling the new drug compare to the current one?”

A: “They are essentially the same.”

I hypothesized that I would need to determine the incremental value of this improved drug to determine how much more than the \$5 drug I could charge, and then to determine the optimal price of the drug to maximize profits.

I then asked the following questions, to drive at the factors that were important in determining this incremental value:

Q: “How price elastic are the Canadian customers?”

A: “The Government actually pays for these drugs for the elderly and poor, while insurance pays for drugs for other citizens.”

I conclude that the price elasticity of the consumers themselves is not crucial here; rather, it is essential to determine how much the Government values this better drug. When I say this, I am asked to estimate how to calculate this incremental value to the Government. I propose the following:

Determining the actual costs of increased hospital and doctor visits of citizens who come back time after time when the old medicine is not effective. These visits would be eliminated with the new drug.

Determining the cost of “pain and suffering” of citizens who feel the affects of severe asthma. This is difficult to quantify, but I estimate that the Government would put a significant value on this if data were shown to them about this suffering.

Wrap-up / Recommendations for client:

In the end, the Government is crucial here, because they in effect set the price. Therefore it is up to our company to quantify the difference between this new drug and the old one. Obviously the drug company would need to investigate this and put together a convincing story. Nevertheless, I proposed that \$30 or so would be reasonable, based on the information that we know right now.

Desired Solution:

N/A

Additional Comments:

Remember the importance of regulation/other external factors and of identifying the decision maker/purchaser vs. consumer of a good; a new and improved product is not everything!

Strategy 05

Case Title Utilities Company in Telecom Industry?	Company AT Kearney
Type of Case New market	Useful Frameworks The 4C's
Initial Facts Our client is a utilities provider, offering gas and electric services to New Jersey and some surrounding areas.	
Case Question With recent deregulation, our client is considering getting into telecommunications. Should the client do it?	

Supplementary Data:

- Telecommunications represent a large market.
- It has been growing very rapidly
- It seems to be an attractive industry (many companies showed desire to compete in it)
- The client has the advantage of being able to bypass a player in the value chain (CAPS- access providers)

Given solution:

My approach to this one was a basic analysis of the telecommunications market (size and growth), and then a four C's analysis: our competitors, our competencies and how they would apply to this market, the cost of playing in this market, and finally, the different customers and their needs.

Q: "What is the market like today, in terms of size and growth?"

A: "[As I had expected], this market is huge and growing very rapidly. With convergence everyone wants to compete in this industry, but no one really knows where it is going."

I then went to the 4 C's: Competition

Q: "What does the competitive landscape look like?"

A: "What would you think it would look like?"

I note that this is certainly a global market and we are currently only a regional player, which will certainly affect our strategies if we plan to enter this market. This becomes apparent as we analyze the competition. The big players: AT&T, MCI, Sprint, the 6 Regional Bell Operating Companies are all either global or becoming global. I also note the emergence of non-traditional players in this market: satellite providers who are attempting to provide all of these services wire free. Although I recognize their presence, I note that it will probably be some time before this becomes a cost effective option for most customers. I at this point hypothesize that we may not have the resources to go head to head against the big boys, but there may be a profitable niche.

I switched to the 2nd "C": Competencies (competitive advantage)

Q: "What are our core competencies, that would provide the client with a competitive advantage?" (Before asking this, however, I noted that we already have wires (electricity) running to the houses in our regions and thus have an infrastructure advantage that we should be able to leverage. In addition, we have significant contact with our market and thus have some consumer knowledge that global players may not have.)

A: "There may be another advantage for our client. Another important player in the value chain is the CAPS (some type of access providers), and these small companies are the link between the global players (AT&T, etc.) and the local market. Our client might have the capability to bypass the CAPS in our region because they can provide the same services that the CAPS do."

[I also propose some other potential alternatives: we could be a lender to some of these CAPS, as they are small players who often do not have access to capital. We could also potentially have joint ventures with some CAPS.]

I switched to the 3rd "C": Customers

My analysis of the customers points to some potentially profitable niches for our client. I confirm that there are two distinctly different segments of customers in this market. There are the business customers and the residential customers, each with very different needs. I confirm that business customers would be more profitable (less price elastic) than residential customers. I also note that there are a number of different services that telecommunication companies provide: cable, local phone service, long

distance phone service, internet access, etc., and that the demand for these services would differ for each of the two customer segments.

Finally, I switched to the 4th “C”: Cost

From a cost perspective, I note that the cost of becoming a global player, and investing in the necessary infrastructure will probably not be a profitable endeavor. The industry is highly capital-intensive, and this would put us at a large disadvantage relative to larger, global players.

Wrap-up / Recommendations for client:

Although more rigorous analysis needs to be performed, at first glance it seems that if our client avoids going head-to-head with the big, global players, they could potentially leverage its internal capabilities in order to compete in a profitable niche in this large, rapidly growing market.

Desired Solution:

N/A

Additional Comments:

N/A

Strategy 06

Case Title Outsourcing Services for a Utilities Company	Company BCG
Type of Case New Market	Useful Frameworks Cost-Revenue and Profitability
Initial Facts Your client is a utility company who provides electricity and gas to a region in New England. They are a monopoly provider. They send out service men monthly to read both the electric and gas meters at each residence. Currently, 200 small water companies service this region. Each small town owns its own water company.	
Case Question Would it be worthwhile for your client to contract the reading of the water meters for these small companies (i.e., charge the water companies to read the water meters)?	

Supplementary Data:

- Costs: In addition to trucks and fuel, the only really significant cost was labor of the servicemen. The utility pays its workers \$20/hr, while the water companies only paid their servicemen \$7/hr
- The utility employees are unionized but the water company workers are not
- It would take almost no extra time for our client's servicemen to check the water meters
- The utility has fancy hand-held computers to record the readings, while the water companies only use paper and pen

Given solution:

I did not follow a particular formal structure, but I basically wanted to find out about two issues: 1) costs involved in reading the water meters, both from the perspective of the water companies and the utility, 2) revenues that could be charged by the utility to the water companies. If the utility could provide the service to the water companies at some type of cost advantage, then I think that there would be some money to be made for the utility.

On the cost side, I asked the following basic question:

Q: “Would it be simple for our servicemen to do this on their routes? How much incremental time would it take to do this service?”

A: “It would take very little extra time, as the water meters were right next to the other two meters.”

I next asked more about how the meters were currently read, to learn more about the costs involved:

Q: “How are the water meters read by the utility vs. the water companies?”

A: “The utility has fancy hand-held computers to record the readings, while the water companies only use paper and pen.”

[Once I learned this, I hypothesized that it might be beneficial for the utility to contract the new business, in order to amortize the cost of these machines over additional meters. Additionally, the labor costs could be much lower and accuracy increased through the use of the hand-held machines, which would benefit the water companies.]

I then further investigated the cost of doing this service:

Q: “What are the additional costs involved in reading the water meters?”

A: “In addition to trucks and fuel, the only really significant cost was labor of the servicemen. The utility pays its workers \$20/hr, while the water companies only paid their servicemen \$7/hr.”

[I highlighted this as a major concern, in that it may not be cheaper for us to do it given this wage differential.]

Continuing with the issue,

Q: “Why the large difference- Are either of the labor forces unionized?”

A: “The utility employees are unionized but the water company workers are not.”

In order to pursue some of the cost savings:

Q: “Could the water companies save significant dollars by reducing the number of trucks as a result of not having to read the meters?”

A: "The client could not eliminate the number of trucks, as they would still be needed to serve all of these houses for other types of service anyway. They could save on fuel costs, but this would be fairly marginal."

Wrap-up / Recommendations for client:

As the interviewer pushed me, I decided to determine that it was not a wise endeavor, due to the wage differential. I concluded that the utility had too high a cost structure to provide the services more cheaply and therefore to be able to charge for the service.

However, I did not have time to explore the revenue side, in terms of how much we could charge the water companies for this service. I imagine that we could only charge them a bit less than the \$7 an hour that they were paying their workers now in order to make it an attractive option. But in addition to considering the substantial labor wage differential, we must also look at what revenue we could generate by doing this service. It may result in profits, since the utility service workers are "already right there now" [reading other meters], in which case I would recommend that the client contract the business

Desired Solution:

N/A

Additional Comments:

N/A

Strategy 07

Case Title Growing an Insurance Business	Company Gemini
Type of Case New Market	Useful Frameworks Cost-Revenue / Porter's 5 Forces
Initial Facts You are working for Gemini and you need to sell a project to a large (top 20) property and casualty company.	
Case Question What issues do you highlight, and what do you propose?	

Supplementary Data:

- The client is focused in the domestic personal market (home and auto)
- Home insurance market growing at 5% per year. Auto insurance market is flat
- Profitability has been consistently below the industry average in the last 5 years. It is measured through a "combined ratio" that takes into account net premium less losses less expenses. The Industry combined ratio average is 106.5, break even is 100, and our client's last five year ratios are 104, 106, 103, and 104.
- On the cost side, the client's loss ratio is 69% while the industry average is 60%.
- Sales are the major component of the operating cost structure. There are three sales techniques:
 - Independent sales agents who have a fixed cost of 30 cents/policy, a commission rate of 5-8 basis points and a hit rate of 40%,
 - Captive agents who have a fixed cost of 60 cents/policy and 1-2 basis points with a hit rate 40%,
 - Direct Mail with a fixed cost of 10 cents/policy and 3-4 basis points and a hit rate of 20%.

Given solution:

For this case I outlined two main areas that I would propose to study for this prospective client: The first would be to address potential ways to grow the current business. The second major area was profitability, how profitable is the firm relative to the industry and what can we do to improve our position.

Growth:

Q: "What market segments is the insurance company in?"

A: This company is currently in only the home and auto insurance segments of the domestic personal market. They are not in commercial insurance at all. They also are only a domestic player.

Q: "What is the growth rate in our home and auto markets?"

A: I also discover that the home insurance market is growing at around 5% while the auto insurance market is relatively flat. Upon inquiry, it is unclear how other domestic insurance markets are (fire, life, etc.) growing.

Given this information, I proposed three potential avenues of growth that would be worthy of a nice consulting study.

1. The first is to penetrate the domestic insurance market further than we have to date. Of course we would need to perform detailed analysis of these markets to determine their ultimate size and growth as well as their profitability. I also found out that for the markets that we are in (auto and home insurance), we have penetrated all regions, and in order to grow within these markets we would have to steal share from entrenched competitors.
2. Secondly, I propose that we could grow by entering the commercial insurance side. This looks promising as the margins are known to be slightly higher. However, we would have to carefully analyze our situation to see if we were capable of becoming a significant player in this market.
3. The third growth avenue that I recommended was to perhaps get into other markets completely (an out of box solution). This could make sense if we found that other markets could be more profitable, and we had some sort of core competencies that we could leverage in other markets.

Profitability:

The second area of discussion was on the profitability side. Perhaps there is a problem here that we can apply our consulting expertise to.

Q: "What is our client's profitability relative to others?"

A: I discover some details on our firm's profitability. The first thing is that the profitability metric is called a 'combined ratio' that is composed of net premiums less losses less expenses. Our ratio is 104 while the industry average is 106.5 and break-even is 100. Clearly this is an issue that we should highlight and address in order to uncover what's behind our lower than average profitability.

Q: "What is our profitability over the last 5 years?"

A: Profitability has been: 104, 106, 103, and 104; consistently below the industry average. In order to attack this profitability problem I pursued price, volume, and cost questions. Upon inquiry I realize that our pricing and volume are not the problem. Clearly we have a cost problem. In this industry there are two major components of costs: the loss ratio and the operating expenses.

Q: "How does our loss ratio compare to the industry?"

A: I discovered that ours was 69 while the average was only 60. Therefore our customers were placing more claims than average. I stated a hypothesis regarding the fact that perhaps the make-up of our customers is more "accident prone" than average and this may be what is driving our loss ratio. The next issue is our operating expenses.

Q: "How do our operating expenses compare?"

A: Upon inquiry I discover that the sales component is the most significant one of our operating cost structure. I find that there are three different types of sales techniques:

1. Independent sales agents who have a fixed cost of 30 cents/policy, a commission rate of 5-8 basis points and a hit rate of 40%,
2. Captive agents who have a fixed cost of 60 cents/policy and 1-2 basis points with a hit rate 40%,
3. Direct Mail with a fixed cost of 10 cents/policy and 3-4 basis points and a hit rate of 20%.
4. Although I did not get into these numbers too much, I hypothesized that we were not using the most cost efficient sales channels, and we could do a nice consulting study to optimize this.

Wrap-up / Recommendations for client:

In the end I made my three growth proposals, and suggested a screening process to stay away from "accident prone" customers. Also needed to optimize our use of the different methods of selling policies.

Strategy 08

Case Title Soft Drink Bottler and the Indian Market	Company McKinsey
Type of Case New Market	Useful Frameworks The 3 C's
Initial Facts Your client is a large international soft drink bottler. The client wants to enter the Indian market	
Case Question What are the concerns in doing this, and should you do it?	

Supplementary Data:

- High up-front cost to enter the market (infrastructure of plants, bottling lines, warehouses, delivery trucks and coolers)
- High demand seasonality
- 30% profit margin

Given solution:

Q: "What are the profit margins in the soft drink industry?"

A: Upon inquiry you find that margins are particularly high in the soft drink industry (30%). I mentioned potential cultural issues (flag burning, and hatred of Western commercialism in India). This point was duly noted, but the interviewer directed me towards focusing on the economics. In the end you should only do it if it is profitable to do so.

The first “C”: Costs

Q: “What are the up front costs? What is the selling and distribution system. What is the account structure? Can we get access to all of the channels or do we need to partner with someone who has a distribution network set up already?”

A: We discussed up-front cost to enter the market in terms of infrastructure of plants, bottling lines, warehouses, delivery trucks and coolers. An analysis of the cost structure resulted in a reasonable operating cost structure but the level of investment required to become a significant player might be prohibitive, despite the attractive 30% operating margins of soft drinks.

Another “C”: Customers

Q: “What is customer demand like?”

A: An analysis of the customer led to the discovery that there probably was a latent consumer demand for cold drinks especially in the summer, highlighting the importance of visi-coolers (i.e., refrigerators with glass doors so the consumer can see the product). In addition the seasonality seemed too severe and would force our bottling costs way up in the winter, with idle capacity sitting around.

Wrap-up / Recommendations for client:

Do not enter the market due to high initial costs and high seasonality of consumer demand.

Desired Solution:

N/A

Additional Comments:

N/A

Strategy 09

Case Title TCI's strategy in cable TV against Hughes	Company McKinsey
Type of Case Competitive Reaction	Useful Frameworks Cost-Revenue and Profitability
Initial Facts John Malone of TCI commissions you to look into a concern that he has. He has heard that Hughes is planning to launch a commercial satellite that will offer cable TV services to the domestic market.	
Case Question Is this is a credible threat to John's monopoly position in cable TV services? If it is credible, what should TCI do?	

Supplementary Data:

It would cost Hughes \$5B to get this satellite in the air and operational
it will offer 200 channels whereas TCI only offers 50

Given solution:

Upon inquiry you find that it would cost Hughes \$5B to get this satellite in the air and operational. You also find out that it will offer 200 channels whereas TCI only offers 50. I had a tough time putting a structure to this one. In the end, after asking a few questions, I determined that we needed to estimate the revenues and costs for Hughes to see if this was a credible threat or not.

Price:

I assumed that on average, current cable bills are \$35/month. In order to be a credible threat Hughes needs to be able to provide service at a price of around \$35 (could be a little higher because of additional channel offerings).

Quantity:

On the quantity side I estimated the number of customers that the satellite TV offering could reach. I start with 100M households, estimate that 60% of those are in the market for cable services (combination of income levels and need for cable service to get any reception, which differs significantly by region) I find out that TCI has 40M

customers across the country. I assume that all of these households could potentially be in the market for satellite service (if it was priced right).

Initial Costs and Amortization:

The initial \$5B cost needs to be amortized over the useful life of the satellite. Upon inquiry, I discover that in general a satellite could last for 7-10 years. However, due to the rapid evolution of technology, the actual useful life of 1 particular satellite would be 5 years. This means that \$1B needs to be amortized each year over the customer base of the satellite TV services.

Fixed Costs:

If you estimate that Hughes can penetrate 50% of TCI's existing market (20M) than the fixed costs would be \$50/year. In addition to this cost, you have to cover the costs of sales and service as well as attaining rights to cable programming.

Variable Costs:

An additional cost that needs to be amortized is the cost of the satellite dish for the consumer. Its useful to mention that you could also opt to lease dishes to consumers to get around this big up front cost for the consumer. I discovered that the combined operating costs would, if you choose the leasing of the dish method (like today's consumers lease the cable box, and it gets rolled into the monthly bill of \$35), be low enough to make this a credible threat to TCI!

Wrap-up / Recommendations for client:

The threat from Hughes is credible! Some suggestions that I had for John and TCI to address this were:

1. Attempt to provide their own satellite service,
2. Buy out the Hughes offering,
3. Improve (increase) the program offerings to your current customers to close the gap on what the satellite would offer, or
4. Try to develop exclusive agreements with certain programming to lock out the satellite offering.

Desired Solution:

N/A

Additional Comments:

N/A

Strategy 10

Case Title A distilled spirits manufacturer's strategy on advertising	Company Marakon
Type of Case Advertising	Useful Frameworks The 3 C's
Initial Facts Your client is a major distilled spirits manufacturer with a number of major brands	
Case Question What should the focus of their advertising budget be? What size advertising budget would be needed to follow through on your strategy?	

Supplementary Data:

- The client is competing in the premium scotch segment
- It is the #3 brand with a little less than 20 share, the #1 brand had a little higher than 20 and the #2 brand was a little lower than #1.
- The #1 player had spent a lot on advertising and increased share, while the #2 player spent nothing and lost share. The client spent a little more than nothing and increased share a little. The distant #4 brand also spent nothing on advertising

Given solution:

The first thing that I did here was separate this problem into 2 distinct parts: I first addressed the focus question and then addressed the budget issue. I used a basic 3 C's approach to address what the focus of the advertising strategy should be.

Customers: The first thing that they need to do is determine what their target segment is.

Q: "What market segment is the client in?"

A: I discovered that they were competing in the premium scotch segment. Once they determine this segment, they can do a detailed analysis of the demographics of this segment.

For arguments sake I assumed that the scotch was Johnnie Walker Black and the target market was affluent males age 30+. Then they would need to do analysis of

advertising media to determine how to reach this segment, i.e., print-ads in selected magazines, billboards, sponsorship of sporting events (golf).

Once they had data on what media effectively reaches their target segment, they would decide exactly what mix of media to use, and the specifics of the campaign to address the qualities that they wanted to associate with their brand (status, taste, distinguished, etc.). Market research could benefit the client in terms of determining what qualities they wanted to stress in their ad campaigns.

Competitors: After I completed the analysis of the potential customers, I looked at the competition

Q: “Who is the competition and where are we in relation to them?”

A: I found out that we were the #3 brand with a little less than 20 share, the #1 brand had a little higher than 20 and the #2 brand was a little lower than #2. The cost of advertising was not something I got too deeply into. I just noted that advertising was a significant portion of the cost structure of premium scotch brands (over 25% of sales).

Another point to note is that because of the high margins on this product, the more volume that a brand sold, the more resources the company would have to invest in advertising. There is a certain minimum scale that is required to be able to profitably advertise in this market.

Competitors: How is advertising related to market share?

Q: “How much do the competitors advertise?”

A: The third issue that I addressed was what the competition was doing. I learned that last year, the #1 player had spent a lot of \$ on advertising and increased share, while the #2 player spent nothing and lost share. We spent a little more than nothing and increased share a little. The distant #4 brand also spent nothing on advertising.

Wrap-up / Recommendations for client:

Based on this information, I hypothesized that there was a pretty positive correlation of ad spending and volume increases. Once I outlined what the focus of the advertising strategy should be, I addressed the budget issue.

I proposed three alternatives to determining our budget for next year:

1. The first was to match the #1 competitor to attempt to keep pace.
2. The second was to increase ours a little relative to our historical (last year) spending.
3. A third way would be to do a detailed cost analysis of our proposed strategy, and actually quantify what it would cost to have the number of ads and sponsorships in the types of media that we determined would satisfy our strategy.

Strategy II

Case Title How to integrate First USA bank into Bank One	Company Marakon
Type of Case M&A	Useful Frameworks The 3 C's / Cultural (OP)
Initial Facts Recently, Bank One acquired First USA bank. Bank 1 provides the full range of banking services whereas First USA only provided credit cards. Bank 1 has determined that First USA will run their credit card department	
Case Question You are on the integration team, what are your concerns?	

Supplementary Data:

Bank One had definitely decided to use First USA to run their credit card department. First USA did have some more efficient processes that would ultimately drive down Bank One's operating cost structure of servicing credit cards

Given solution:

I did not have a generic structure for this one, rather I listed the key issues I would be concerned with, and then dug into each one. I started with some clarifying questions. I discovered that Bank One had definitely decided to use First USA to run their credit card department, there would be no discussion about this.

Cultural and Organizational Issues:

Q: "How alike are Bank One's and First USA's cultures and organizations?"

A: The first set of issues that I outlined were related to the organizations themselves. This is basically the cultural lens that we all know and love from OP. I explored the different cultures and found that there would be no major problems merging the two.

Cost and Efficiency Issues:

Q: “Are there opportunities for costs savings with this acquisition?”

A: The next set of issues was cost related. I wanted to maximize cost savings of merging the two credit card departments. I explored what kind of cost savings could be attained: headcount reduction, shutting down duplicate facilities, increased scale.

There are some scales efficiencies in credit card service, but both companies already had the critical mass to optimize this dimension. First USA did have some more efficient processes that would ultimately drive down Bank One’s operating cost structure of servicing credit cards.

Customers:

Q: “How alike are the fee structures of the two companies?”

A: The next set of issues I addressed were the compatibility of the two credit cards and the specs and rates that each company provided for its own customers. This is relevant in merging the two, because if the services and low rates provided by the two are not the same (which clearly, they would not be), then the least common denominator would be a factor here.

The point is that if one set of customers is expecting no annual fee and a 12% APR then they will not accept anything worse than this, they would simply change cards. Other attributes such as customer service would also have to be managed to please all of the customers. The revenue effects of integrating the two would have to be analyzed.

Wrap-up / Recommendations for client:

In the end these three issues: organizational, cost savings, and merging fee structures and services of the two cards were the only ones that I had time to address

Desired Solution:

N/A

Additional Comments:

N/A

Strategy 12

Case Title How to market an ant-depressant drug	Company Marakon
Type of Case New Product Introduction	Useful Frameworks The 3 C's
Initial Facts Your client has just developed an anti depressant drug and wants to get it to the market. They do not have experience marketing drugs	
Case Question What do you suggest?	

Supplementary Data:

- There are 2 significant competitors who made of 100% of the market
- One drug had the same efficacy as our drug with roughly the same level of side effects.
- The other drug had the same efficacy with fewer side effects. Naturally the second drug was priced a little higher
- The market is big and growing at greater than 20% compounded annually
- Competitors do not have manufacturing capacity to meet this demand
- Once the drug would be ready to go, the sales component of the cost structure would be over 70% while the manufacturing would account for only 10% (the client does not have a sales infrastructure in place)
- Price of this type of drug is not a major issue (wealthy people take these drugs). However, the growth of the market is driven by the fact that people who are not wealthy is beginning to take this type of drug

Given solution:

The first thing that I did was outline the options that our client had:

I detailed three different ways they could do so, and pointed out that they should choose the option that would be the most profitable for them. The three ways would be to:

1. Sell it directly themselves,
2. License the technology to someone else and receive royalties, or
3. Co-market the product with someone else.

The 3 C's: Competitors - As I analyzed which option would be best, I used the 3 C's to tackle some key issues.

Q: "What are the competitors doing?"

A: I discovered that there were 2 significant competitors who made up 100% of the market. One drug had the same efficacy as our drug with roughly the same level of side effects. The other drug had the same efficacy with fewer side effects. Naturally the second drug was priced a little higher. I flagged this issue as being relevant because there is already a product in the market with better attributes than ours. This would certainly mean that our product afforded us no real competitive advantage, and we would just be a me-too product.

Q: "What is the market size and growth rate?"

A: It is pretty big and growing at greater than 20% compounded annually.

Q: "Can the manufacturing capacities of the other manufacturers meet this demand?"

A: No. This leads to the hypothesis that the client's drug could still be profitable in this market, even if it is a me-too drug, as capacities of the other companies to provide the drug were limited.

The 3 C's: Cost - The next topic that I covered was the cost of marketing the product.

Q: "What are the marketing costs for the drug?"

A: I found that once the drug was ready to go, the sales component of the cost structure was over 70% while the manufacturing was only 10%. Given that we do not have a sales infrastructure in place, and it would require significant investment to establish and train one, I am starting to lean away from the "market the product ourselves" option.

The 3 C's: Customers

Q: "Who needs this drug?"

A: My analysis of the customers revealed that currently the demographics of the market are such that the price of this type of drug is not a major issue (wealthy people take these drugs). These people are willing to pay a premium to avoid side effects, so wealthy people will buy the competitor's drug that has fewer side effects.

However, the growth of the market will be driven by the fact that people who are not wealthy will begin taking this type of drug. Therefore we are not locked out completely by the competitor's better, higher priced drug.

Wrap-up / Recommendations for client:

In the end, I recommend that our client not market the drug themselves (too much investment required), but they should go forward in pursuit of a co-marketing agreement with someone who does have the sales infrastructure in place as this looks like it could be a profitable opportunity.

Desired Solution:

N/A

Additional Comments:

N/A

Strategy 13

Case Title Market entrance of a computer maintenance company into the PC segment	Company N/A
Type of Case New Market	Useful Frameworks The 3 C's
Initial Facts Your client is a \$5 billion computer maintenance company with 25,000 staff world-wide. 80% of their current business is in servicing mainframes and the other 20% in servicing network servers. While the server segment has been growing at 25% per year for the past 3 years, the mainframe segment has been declining at about 9% per year for the past 3 years. The operating margins for the mainframe segment are 20% while that for the server segment is 8%. Your client is thinking of entering the PC segment because it has been growing at 40% per year. However, the operating margins in this segment are only 1%	
Case Question Should your client enter the PC segment? (Follow-up question: Given your answer above, what should your client's operational structure be?)	

Supplementary Data:

- The client's cost structure is higher than potential competitors because they employ highly qualified technicians, who are capable of servicing mainframes, servers and PCs
- The client guarantees a 4-hour turnaround, and has a great reputation
- Customers would likely be individuals or small companies who cannot afford long term computer maintenance contracts
- There are a large number of small competitors, as well as a handful of well-heeled companies
- The current operational structure consists of a centralized 24-hour hotline for customers to call in for servicing and the technicians are dispersed throughout the country in vans. Once a service request is received by the call center, the nearest available technician to the customer is dispatched

Given solution:

I started with the 3 C's: Company (Cost)

Q: "How does my client's cost structure stack up against potential competitors?"

A: Your client's cost structure is higher than potential competitors because they employ highly qualified technicians, who are capable of servicing mainframes, servers and PCs.

Q: "What value-added does my client offer that might justify a price premium?"

A: The client guarantees a 4-hour turnaround, and has a great reputation.

C #2: Customer

Q: "Who are potential customers, and what level of service would they expect?"

A: Customers would likely be individuals or small companies who cannot afford long term computer maintenance contracts.

C #3: Competition

Q: "What would be the nature of competition, both current and potential?"

A: There are a large number of small competitors, as well as a handful of well-heeled companies.

Questions for operational structure follow-up question:

Q: "What is the current operational structure?"

A: In each country, there's a centralized 24-hour hotline for customers to call in for servicing and the technicians are dispersed throughout the country in vans. Once a service request is received by the call center, the nearest available technician to the customer is dispatched.

Q: "Can all technicians service all types of computers?"

A: Yes, every technician is trained to service all types.

Wrap-up / Recommendations for client:

I recommended that the company not enter the PC segment because:

- My client does not have competitive advantage in this segment. Basically a commodity business that any computer literate high school kid can enter. Would have thousands of competitors.
- My client's cost structure is too high to cost effectively compete in this segment. One could argue that the client could employ high school kids for the PC segment but there's always the company's reputation to consider.
- Customers would likely be value conscious and wouldn't go for 'branded' servicing.

I also recommended a change in the operational structure:

The new operational structure should be more decentralized, i.e., number of call centers should be appropriately matched to the number of customers in each country, and there should be 2 types of technicians - one type can service both mainframes and servers while the second can only service servers. This will:

- Reduce the operating cost because a smaller number of highly-paid mainframe technicians are required.
- Increase the technician utilization rate (currently at 50%) because each call center is now keeping track of fewer vans. This is especially important for a big country like the US.
- Enable each call center to be closer to the customers and better anticipate their needs.

Desired Solution:

N/A

Additional Comments:

N/A

Strategy 14

Case Title Stock-quote service company's strategy to withdrawn clients	Company N/A
Type of Case Response to Changing Environment	Useful Frameworks N/A
Initial Facts A company has a monopoly selling stock-quote services. A major client has recently withdrawn their business. The quoting company thinks it might be a political move, since they have just been purchased by one of their client's major competitors	
Case Question What should they do?	

Supplementary Data:

- Improving technology will move cost frontier inward
- Consolidation in industry will create more large clients that might make their own systems
- The client might now sell their own system and we would have competition

Given solution:

Some hypotheses:

- relationship problem: the client might be able to tell us about them.
- change in activity after the acquisition, access to same services with another company abroad
- our client's client might be able to build its own system and pay less (need for an NPV analysis, and a study about the pricing strategy of our client; maybe the markup is too large, trying to benefit from its monopolistic situation).
- our client's client might be unhappy with the service provided (easy to test, by interviews). In this case, it is important to understand if the big clients have the same pricing and the same level of services as the small ones.

Some critical information needed to be asked to the interviewer here:

- How did the client achieve to have a monopoly? Is it a national or monopoly? (the company that purchased our client's client may have access to other services)
- How much would it cost to build its own system (to be able to answer when is it worth having its own system... A way to show that you know how to deal with numbers!!)
- Did the client do a good job with selling quotes or were some clients unhappy about the service provided?

Wrap-up / Recommendations for client:

Our client would be better off by changing its pricing; its market power is decreasing as consolidation in the industry is increasing.

Try to be more aggressive with small clients with whom we still have a pricing advantage.

Desired Solution:

N/A

Additional Comments:

Be careful to always clarify the question. Here the "political move" does not mean anything if you don't define it

Strategy 15

Case Title Electric company's strategy to deregulation	Company N/A
Type of Case Response to Changing Environ	Useful Frameworks The 3 C's
Initial Facts A New England Electric Company is facing competition due to deregulation in their industry. Soon, the carrier (wires) business will be separate from the generation (power plant) business. Any company generating electricity will soon be able to sell in their market	
Case Question What should the company do?	

Supplementary Data:

- High fixed costs, and low marginal cost business
- The customers were not satisfied with the level of service of the client
- The client is not a low cost competitor

Given solution:

Competition: high fixed costs, and low marginal cost business (like airlines and telephone).

Consequences:

- Incentives to produce a lot in order to amortize the initial investments;
- High barriers to exit, which causes increase in competition intensity;
- However, it takes 7 year to build a power plant, creating huge barriers to entry;
- Also, economies of scale and learning curve will give a competitive advantage to existing big players.

Therefore, after deregulation, we can forecast few new entrants, industry consolidation (the biggest players buy out the smallest), but incentive to production increase and overcapacity.

Customer:

2 kinds: individuals and corporations. Right now, the level of services offered in this industry is not very differentiated by customer type (pricing, flexibility, maintenance).

You also have to talk about the definition of market boundaries here: customers may be loyal and/or they may not have so much choice for their electric company in their geographic location. This means that a good strategy might be to choose an area with small potential competition (Dakota...) for the electric company. New England might not be the best.

Another issue is price sensitivity. Electricity is a COMMODITY and customers should be very sensitive to prices.

Company:

The interviewee found out that the customers were not satisfied with the level of service of our client; that the client is not a low cost competitor.

Wrap-up / Recommendations for client:

Potential overcapacity, customer sensitivity to prices, incentives to decrease prices to marginal cost. → not a profitable business

Additionally, our client is not excellent and does not differentiate among its competitors. Because it is small and regionally located, no chances to benefit from economies of scale...

The best way now is to find a way out. Our client will probably get a good price for the wires and the power plants.

Desired Solution:

N/A

Additional Comments:

Always keep in mind that getting out of the business is OK to mention if you explore the other solutions and found that they were not viable!

Strategy 16

Case Title A manufacturer's choice between new and old product development	Company N/A
Type of Case New Product Introduction	Useful Frameworks Porter's 5 Forces / Internal-External Factors
Initial Facts Your client is a manufacturer of aluminum and he is experiencing decline in sales over the last several years. Over the past he has been working on developing new technology in plastics. The client is slightly ahead of competition in this development	
Case Question Should the client continue development of plastic or remain in the aluminum industry?	

Supplementary Data:

N/A

Given solution:

There are two parts to the answer. First, is plastic an attractive industry and is it more attractive than aluminum in the long term? And second, does the client company have capabilities to become a profitable player in the plastic industry?

An additional consideration is what is to become of the client's aluminum business? Can the two businesses be run together without adding significant complexity costs? Is there any sizeable synergy between the two (production and/or distribution)? If not, can the aluminum business be sold for the right price?

Let us consider the first question.

Explore the reason for decline in aluminum market. Is plastic replacing aluminum? What about cannibalization of existing aluminum products?

What are the likely actions of competitors? High rivalry in declining aluminum industry will lead to price wars and declining profits.

Plastic market:

Does plastic offer significant benefits to customers? Are their needs satisfied by plastic?

What is the cost of entry into the plastic market? Minimum efficient scale for plastic is 10% of the volume of the aluminum market.

Are there any other substitutes to aluminum and plastic?

Desired Solution:

No specific answer was required for this case. The key issues were:

- potential cannibalism
- high rivalry in a declining industry (aluminum) that will lead to price war and declining profits

Additional Comments:

N/A

Strategy 17

Case Title How to market a home-used cholesterol meter	Company N/A
Type of Case New Product Introduction	Useful Frameworks The 3 C's / The 4 P's of Marketing
Initial Facts A client company has patented a cholesterol meter, which can be used at home. It is designed for patients who have a history of high cholesterol, and are controlling their cholesterol levels through medication	
Case Question How should they introduce this new product?	

Supplementary Data:

N/A

Given solution:

A problem of new product introduction is best approached with the 4 P's tool.

To start with, however, it is important to understand what market you will be working in and what therefore your marketing strategy should be.

The market:

- who are your customers and what is their purchasing pattern;
- how big is the potential market;
- who are your competitors and what are their strategies;
- what are our strong and weak points comparing to those of competition;
- what are our costs of manufacturing the new product;
- what are the future market trends?

Your marketing strategy should be then based on those facts:

- Place

- Price
- Promotion

Desired Solution:

In this case consumers' purchasing pattern will be quite unusual in the sense that product decision and pricing decision are separated: neither decision makers (doctors) nor consumers are paying for the product. Usually it is paid for by insurance companies.

Additional Comments:

N/A

Strategy 18

Case Title Acquisition to Offset Carry Forward Losses	Company N/A
Type of Case M&A	Useful Frameworks The 3 C's / Porter's 5 Forces
Initial Facts A client owns a large bank with many branches and wants to get out of the banking business. With \$100 M in losses, he hopes to find a new business to acquire, against which he can offset the losses (losses carry forward)	
Case Question Recommend an acquisition candidate	

Supplementary Data:

N/A

Given solution:

Two stepped approach.

Step 1 – He needs to find a well performing company in an attractive industry that will meet his financial objectives.

- The new company's net income within the next 15 years should be sufficient to cover losses of the banking business.
- Long-term attractiveness is important, because once the losses are written off, the client must be able to sell this new business at a good price (if he so desires).
- The industry is important so that the current bank capabilities can be leveraged (expertise in customer research, geographical spread, etc.)
- Since there are significant requirements to the new business's profitability, most start-ups are not viable alternatives.

Step 2 – He also needs to understand if the banking business has sufficient capabilities (management and other) to run a diversified company so that cost of complexity does not exceed the benefits of diversification.

Strategy 19

Case Title	Company
Data Gathering for Merger Evaluation	McKinsey
Type of Case	Useful Frameworks
M&A	Porter's 5 Forces
Initial Facts A major chemical producer has hired our consulting firm to evaluate another large player in the chemicals industry as a possible merger candidate. Both our client and the other company are bulk commodity chemical producers. Our consulting firm's main job is to analyze the future prospects of the target company's main product line: a bulk chemical that is used in the production of plastics. Initial data has revealed the following facts: • Production of this chemical has been declining slowly for several years • Prices have declined rapidly • There are 8 major producers of this chemical with market share divided the following way: the largest producer has a 30% share, the second largest has a 20% share, and our target company has a 15% share. The rest is divided among the remaining 5 competitors. • Profitability in the industry is relatively low. The two largest competitors earn small returns, our target company is breaking even, and the remaining competitors are operating at a small loss. • The largest competitor has just announced plans to substantially increase capacity.	
Case Question Our consulting firm has to analyze the target company's future prospects in the product line. As manager of this case assignment, what information do you need to know and how would you structure the analysis to determine if this merger is a good idea? NOTE: At this stage in the project, our consulting firm is not in a position to make a recommendation, but is more interested in gathering the appropriate data. (This is different from most consulting case interviews in which the purpose is to come to a recommendation).	

Supplementary Data:

N/A

Given solution:

This is an industry analysis case in which Porter's Five Forces might be useful, but it is really an exercise in how to uncover the underlying drivers of the facts given in the case. In general, the interviewer was more interested to see if I could ask the right data collection questions.

A satisfactory response would include addressing the following issues:

- What buyers/markets make final use of this chemical? What is the nature of the growth and profitability of these end markets? The chemical was used primarily in the automotive related industries.
- How much production capacity exists in the industry compared to the demand today? To the estimated demand in the future? Much more capacity than necessary.
- What is the current capacity utilization in the industry? Of our target firm? Both the industry and our target firm are operating at approximately 70% capacity.
- What is the relative cost position of our target company compared to the rest of the competitors? Our target company has a reasonably good position compared to the rest of the industry in terms of size, age and efficiency of equipment, and financing.

A good response would also include addressing the following issues:

- Are there additional niche or value-added uses for this chemical or its by-products that are as-yet untapped? Nothing really significant.
- How rational or volatile is pricing between firms? The industry players often engage in price cuts to temporarily increase market share, but usually suffer falling profitability as a result.
- Are entry or exit costs prohibitive? Has the number of competitors or their market share changed significantly in recent years? Entry is expensive due to the unique fixed costs of producing this chemical, but competitors have been in this industry for a long time and many plants are fully depreciated, making exit inexpensive. Market share has not changed significantly in recent years.
- How diversified is this company and does this product represent a significant source of revenue? It is a significant source of revenue but most competitive producers are adequately diversified.

An outstanding answer would also include the following issues:

- Is this industry or product regulated in any way that effects cost, pricing, or profitability? Environmental and pollution regulation apply in the normal way to the chemical production process, but nothing out of the ordinary.
- Are there operational improvements that the target company could make to enable it to be more efficient or other management expertise that our client's company could bring into the merger. Yes, on both accounts.
- Do we know the reason for the largest competitor announcing capacity increases? Are they trying to introduce a credible threat to deter future entry or expedite exit from the industry? We are not sure but it could be possible.
- Are there scale economies in production or distribution? Yes, economies of scale exist in marketing and transport, but are much smaller in production.
- Are there other synergies between our client's company and the target company such as product mix, cross-selling opportunities, raw material purchase, etc. Not significant at this point.

There are countless paths that the analysis could flow down but these are some of the most obvious to consider.

Desired Solution:

N/A

Additional Comments:

N/A

Strategy 20

Case Title Decreasing Sales of UK Battery Company	Company N/A
Type of Case Declining Profits	Useful Frameworks The 3 C's / The 4 P's of Marketing / Microeconomic Analysis
Initial Facts A British company has hired our consulting firm to evaluate its recent diversification into a new market. The firm has been a producer of car batteries in the domestic market for thirty years and is currently the quality leader throughout the United Kingdom. A few years ago, the product line was expanded to provide batteries for fork-lifts and other motorized loading trucks. The initial entry into this market was successful, but since then, sales have decreased steadily every year. Our consulting firm has been able to dig up the following background information: • The client entered the fork-lift battery business to utilize the company's excess capacity during periods of inactivity. • This industry is very mature and annual growth rates have been very small over the past few years. • Competitors in the industry include: - 4 domestic producers (experiencing decreasing market share) - 1 French producer (experiencing stagnant share) - 1 Spanish producer (experiencing increasing market share) • The Spanish firm offers low priced but inferior quality batteries • The client's fork-lift batteries are sold to industrial dealers by captive salesmen. • Free maintenance service is a part of every sale. • Purchases of automobile batteries in the consumer market are highly seasonal. • Larger customers are sophisticated in their buying practices, focusing decisions on both quality and price. Smaller customers are less sophisticated and make purchase decisions based solely on price. • The client's management style could be defined as 'old school,' with the original owner/founder still in charge.	
Case Question What recommendations would you have for this company?	

Supplementary Data:

N/A

Given solution:

The Spanish product is inferior in quality and may offer buyers a worse deal in the long run, but is targeted to smaller dealers who buy only on the basis of price. Service is not a problem for these smaller dealers who do not know much about preventive maintenance, so the product appears a better deal.

Issues addressed:

- Market Segmentation: Differences between large vs. small customers – size, needs, buying behavior
- Product/Service Bundling: How do different segments want to buy our services according to their needs (stand-alone or bundled?) What is better for us?
- Customer Profitability: How can we best profit in each segment?
- Competitor Analysis: What do competitors offer? What segments do they serve? Do they have flexibility with respect to cost, product functionality, and price?

Option 1: Establish an Off-Brand

1. An off-brand would allow the firm to develop a product better positioned in the forklift battery business (perhaps of lesser quality but more price competitive), while maintaining its product quality image in the automobile industry.
2. Cost savings with an off-brand could come from:
 - Redesign of product using cheaper materials or a different manufacturing process.
 - Offer the free maintenance service as an option, not a guarantee quoted as part of price in the low-end segment. Keep product and service bundled in high-end segment.
 - Eliminate the sales force and sell factory-direct to industry dealers or use brokered distribution.
3. Sell the current product at a cheaper price with a strategy to promote market share instead of current profits.

Option 2: Focus Sales and Marketing Efforts to Educate the Consumer Market

1. Develop and promote product positioning. Offer warranties, long-run cost-savings estimates, etc. to send quality signals that competitors cannot match. Communicate 'true cost' of buying low-priced batteries and try to change consumer buying behavior.
2. Leverage strength of quality leadership position in automotive markets.
3. Focus only on high-end of fork-lift battery market and target larger dealers. Set higher prices to signal quality and extract highest level of consumer surplus. Refocusing of resources would need to be evaluated in terms of dedicated assets and return on investment.

Option 3: Exit the Fork-Lift Battery Business

1. If competing in this industry means lowering quality standards may be putting core automotive business at risk.
2. May be able to find other opportunities that better fit with company's strengths and image.
 - Forward integration into end-products – industrial loaders and equipment, golf carts, etc.
 - Backward integration into chemicals, plastics, etc.

Option 4: Do Nothing

1. Wait to see how market reacts to product over a longer period of time or to minor marketing changes
2. Difficult to sell this strategy to owner given investment in expensive consulting advice, although this may in fact be the most logical approach.

Desired Solution:

N/A

Additional Comments:

N/A

Strategy 21

Case Title Beer Company Getting into Bottled Water Market	Company Deloitte Consulting
Type of Case New Product Introduction / New Market	Useful Frameworks Cost-Revenue and Profitability / The 3 C's / Internal-External Factors / Value Chain Analysis
Initial Facts The client is a leading beer manufacturer that has been experiencing stagnant sales in an increasingly competitive industry, so is trying to evaluate growth opportunities. The following are the key problems and issues that brought the client to your firm: • A high level executive at the client has noticed a steady and substantial increase in the consumption of bottled water products • Believing that the assets required to product bottled water are very similar to that of beer, the client wants to recommend to the CEO that they begin production of bottled water products. He has asked your firm to help build the case for why they should enter the Bottled Water market to achieve their sales and profit goals. Additional Data Provided Up-Front Client is facing increased competition from micro-breweries, and has already explored ways to penetrate the international market; however, this alone will not enable them to meet their current five-year sales and profit goals.	
Case Question How do you develop the business case? What recommendations would you have for this company?	

Supplementary Data:

N/A

Given solution:

The boxes in this framework are organized by category. Each box contains questions for that category, and the answers to those questions are listed as subordinate bullets.

MARKET POTENTIAL	FEASIBILITY	PROFITABILITY
What is the expected growth rate for bottled water? – After 3 years of 30% growth, the bottle water market has flattened, with future annual growth expected to be <10% – Recent industry analysis suggests that current manufacturing capacity among the major water producers will not satisfy basic domestic demand	How does the new product fit with our current line of business? – Client employs a focused manufacturing strategy – each plant produces a few specific product lines	How do distribution channels of competitors compare to those of client? Can the client use current distributor network? – Very different - client sells primarily to distributors who sell to restaurants and liquor stores; competition sells to distributors who sell to grocery/mass merchant outlets and offices/homes
What is the competitive environment of the bottled water market like and how does that compare with the beer market? – Beer market is highly fragmented with many regional brands – There are 3 major water producers who sell nationally	What will be market acceptance of beer producer in bottled water market?	Are there alternative strategies to entering the bottled water industry (i.e. outsourcing, contracting)?
Who is our target market for the bottled water? How large is the market? How does that compare with beer? Are they compatible?	What are the key success factors/core competencies for a Bottled Water manufacturer relative to Beer Brewer? – For Beer, regional brand strength and distribution coverage – For Water, low bottling costs, national brand name recognition and distribution coverage	What is impact on beer market share due to loss of production capacity for water? Are there seasonal/cyclical impacts?
	What capital investments are required? (Interviewee should not assume client is correct in his assumption) – Capital investment requirements for packaging beer vs. water are different: plastic bottles/jugs/coolers vs. aluminum cans/glass bottles and kegs	What is profitability of bottled water line? (EVA, RONA, contribution margin?) How does this align with overall (executive) performance objectives?

MARKET POTENTIAL	FEASIBILITY	PROFITABILITY
	What are the regulatory/labeling requirements? Do they differ substantially from our current product line?	
	Does client have marketing/sales force infrastructure and capabilities to operate/run bottled water business successfully?	

Other questions that may be asked:

How would you go about estimating the annual market potential/sales of the bottled water market?

If your recommendation was counter to your client's belief, how would you go about communicating your recommendation to him/her?

What if you learned that there was going to be a new entrant in the Bottled Water market? What analysis would you focus on to determine if you should change your recommendation?

Desired Solution:

N/A

Additional Comments:

N/A

Strategy 22

Case Title Acquisition of Electronic Goods Company	Company N/A
Type of Case M & A	Useful Frameworks Cost-Revenue and Profitability / The 3 C's
Initial Facts A manufacturing company with 50 plants worldwide acquired a similar size company. They produced intermediate and final electronic goods for the market.	
Case Question What can they do to ensure the businesses are better served and how can they lower the cost post merger?	

Supplementary Data:

- The two companies produced the same type of goods but their products did not overlap
- They serve the same customers worldwide.
- There were 20 plants in the U.S., 15 plants in Latin America, 40 plants in Europe, and 25 plants in Asia.
- The utilization rate is between 30% and 90%, depending on the plant
- The acquirer's equipments were more up to date than the acquiree's
- Fixed cost was 40% while variable cost was 60% - 30% material and 30% labor, negatively correlated (it was possible to substitute one for the other).

Given solution:

Since the two companies produced goods that were complementary,

- They should focus on how to serve the client by better managing their customers
- Providing a full range of products with minimum effort from the client side.

Since the plants were dispersed throughout the world, there could be some consolidation.

However, since the clients were located similarly, the plants should not be relocated to any main geographical location.

Since the labor and material cost was negatively correlated, by improving the equipments and technology of the acquired plants, better costs can be achieved.

It is most likely that the plants with high labor costs, i.e. North America, will have low material cost due to high efficiency. Therefore, by improving the plants located in lower wage area, i.e. Asia, they can achieve higher profit margin.

Issues to consider for post-merger include cultural integration – for companies and for plants that are to be consolidated, quality control, cost reduction, and overhead redundancy.

Wrap-up / Recommendations for client:

The client should provide a full service to customers by identifying which customers overlap between the two companies. They can achieve higher sales by cross marketing. Some plants can be consolidated, while others can be improved, especially the ones with lower equipment standards. There are many issues that need to be considered for a post-merger world.

Desired Solution:

N/A

Additional Comments:

N/A

Strategy 23

Case Title Growth Strategy for Agrichemical Company	Company N/A
Type of Case Growth	Useful Frameworks N/A
Initial Facts An agrichemical company which produces generic products wants to grow to 50M from 25M in 3 years. The market that it is in is currently 12 billions	
Case Question What are the options for them to grow? Evaluate the options	

Supplementary Data:

- The market can be segmented into 3 parts:
 - Agricultural: 10 billion with growth rate of -1% (shrinking)
 - Pest control to distributors: 1 billion with growth rate of 1%
 - Over-the-counter pest control: 1 billion with growth rate of -1%
- Currently, 5 companies share 80% of the market
- One competitor made substantial profit with genetically modified seed, while the other made 1 billion by patenting a compound (the patent is expiring)
- The client's current strategy is to reverse engineer the competitors' molecule and producing genetic version of them

Given solution:

Options recommended:

- 1) Continue the current strategy with genetic products
- 2) Increase R&D efforts and dominate the higher end market with existing low cost producer

The R&D expertise can be:

- a) acquired
- b) through partnership
- c) grown organically

3) Shift the market focus from agricultural, which is shrinking, to a growing market. Although this option may not be the best since agricultural market is 10 times larger.

Once the options were provided, a follow up question was asked:

Currently, there is a compound banned by EPA. This compound will become illegal in 3 years. There is a brand name compound patented and the manufacturer is looking to sell and exit the market. This is a highly profitable market. What should your client do?

After ensuring that the compound is ethically fine – no substantial harm to the environment, no negative lobbying from environmentalists, and no negative health side effects by using the compound – the following options were provided.

- 1) the client can purchase the patent and start producing under the highly profitable brand name
- 2) client can develop a new compound and produce it for 3 years since it is a profitable market

NPV can be calculated to evaluate these options:

Option 1) The patented compound currently capture 80% of 20 million market per year, but the acquiring cost is 20 millions. Production cost is 4 millions.

Option 2) It will cost 2 millions to develop a similar compound. It will capture 5% of the market in the first year, 10% in second year and 20% in the last year. The new compound could be worth 100 million.

Wrap-up / Recommendations for client:

After calculating NPVs it is obvious that the second option is a better choice since the cost of acquiring the patented compound is too high.

Strategy 24

Case Title Networked Sensor Chips	Company N/A
Type of Case New Product Introduction / New Market	Useful Frameworks Value Chain Analysis
Initial Facts Our client has developed and patented a new integrated circuit (IC) chip that allows sensors to be connected in a local area network. These sensors are used in a variety of applications including the following: • Control of manufacturing plants • Remote monitoring of oil & gas wells (safety and critical data) • Home security (i.e. lights) • HVAC (Heating Ventilation and Air Conditioning) for large office spaces • Remote diagnostics to monitor copying machines in an office for service • Gas stations (i.e. control lights) • Remote patient monitoring • Monitor the defense of national assets (i.e. national resources)	
Case Question What would you recommend to the client? Include as part of your recommendations a segmentation of the market, an estimate of market size, an economic analysis, and a recommendation for how to go to market with this product	

Supplementary Data:

N/A

Given solution:

Starting with the first part of the question, I began with several suggestions for how to segment the customers. You could segment them by size, by geographic location, by industry, by the value of the assets being monitored and whether the sensors are concentrated locally or distributed widely.

The interviewer was interested in the last two factors, so I used them as dimensions in a two by two matrix with high or low value on one axis and concentrated or distributed on the other. Then I proceeded to assign each of the applications he had listed out for me at the beginning to each of the four quadrants. He then asked me which area we should focus on first. I asked what is the distribution of current sensors that are not networked in these segments. He responded that the high value, concentrated applications currently make up 50% of the sensor chip market, the high value, distributed applications take up 20% of the market, low value, concentrated applications take up 10% of the market, and low value, distributed applications make up the remaining 20% of the market. Since distributed applications are where a networked sensor chip would add the most value, and high value assets are where customers are more likely to invest in, I suggested we start with the high value, distributed market segment. However, once we establish ourselves there, I would want to try to move into the high value, concentrated segment, since it is where the bulk of the market is (50%).

Next, he asked me to size the market and give an economic analysis of the product. The interviewer told me there are currently 2 billion non-networked chips in the market, and the market is not growing. If we go after the high value, distributed application customers, that is 20% of the market, which represents 400 million chips. Assuming 10% will be replaced in the next year, we have a potential market size of 40 million chips. The interviewer gave me additional information that there is an initial fixed cost of \$100 million, a \$10 variable cost per chip and the chip is sold for \$12 per chip. At a profit of \$2 per chip and a market size of 40 million chips per year, we will make \$80 million per year, allowing us to break even after 2 years.

Then the interviewer asked me to imagine whether the client should go into developing applications. I drew a value chain diagram of chips -> sensors -> applications. The applications part of the value chain was very fragmented with a lot of players, so by developing applications, the client would not be able to wield much market power. There's also a lot of different types of sensors that are built for different applications, so the best position in the value chain is at the top with the chips.

Wrap-up / Recommendations for client:

My recommendation was that the company should focus on building the chips that allow sensors to be networked since that is where most of the market power lies. The should go to market by targeting customers who use applications that monitor high value assets in a distributed environment such as oil wells and defense of national assets, then move towards the high value assets in concentrated areas such as manufacturing plants and patient monitoring since that was where the majority of the market was.

Desired Solution:

The interviewer was really looking for the specific dimensions by which I categorized the applications. It was also important to recognize the fact that although applications drive the market, it is so fragmented that the market power lies further up the value chain.

CHAPTER | I

Case type 5 – Other



Other 01

Case Title Profitability of airport	Company McKinsey & Co.
Type of Case Profitability	Useful Frameworks Cost/Revenue/Profitability
Initial Facts It is a more general first round warm-up case. I was told that the profitability of one airport in China is declining and they want to find out why.	
Case Question Solve a low profitability problem of airport	

Supplementary Data:

- Airport construction was heavily financed with debt
- Interest rate in China is rising sharply

Given solution:

The whole market is not changing so much, in terms of market size, people traveling, airline leasing.

Then I went to analyze the revenue and cost side. I was asked to name the specific rev/cost streams.

Revenue:

1. Leasing from airline companies;
2. Complementary assets, such as restaurant, hotels;
3. Miscellaneous such as parking, leasing space for ATM machines, and some special services.

Cost:

1. Insurance;
2. Labor;
3. Maintenance;
4. Miscellaneous;

Interviewer is pressing really hard on cost side and asked me to think on basic accounting terms.

Later, I found out he wants me to list interest payment. Because it costed a lot of money to build airport, debt interest payment is a big chunk of it total cost. He gave me some basic numbers and I concluded that declining profit is because of this interest payment is increasing because of rising interest rate environment.

Desired Solution:

I made several recommendations but it is more related to finance side, such as interest rate swap

Additional Comments:

N/A

Other 02

Case Title Decision to Exit Cartel	Company N/A
Type of Case Microeconomics	Useful Frameworks Microeconomic Analysis
Initial Facts There is a tin mining cartel consisting of Country A, B, C, and D. Every year the four governments get together to decide how much to produce according to demand forecasts, and allocate the production quota evenly among them. Now, Country A is thinking about withdrawing from the cartel.	
Case Question Country A comes to you for advice. What will you tell them?	

Supplementary Data:

See transcript below.

Given solution:

I need to determine if it is more profitable for country A to mine according to the guidelines of the cartel, or on their own.

Q: "What are the relative production costs of each of the countries?"

A: Countries A and B have a 10% cost advantage over countries C & D.

(Alternatively, you may be asked how you would find out the production costs of each country)

Q: "What volume does each country produce and sell, historically?"

A: Last year, Country A and B both produced twice as much as countries C&D (you may get actual numbers, but very often you will get broad generalizations like these.)

Q: "What is the demand curve facing the producers?"

A: A basic downward sloping demand curve (drawn as such on a piece of paper).

I wanted to derive the price implied by the supply and demand curves. The KEY to this question is to derive the world supply curve. The basic concept is from ECON 101: supply curve is the sum of MC curve of all producers. Here we only have four producers. Based on what I found out from my questions, I know that the supply curve will be a step function and can compare the price with A's marginal cost. Based on A's cost position on that supply curve, I can decide whether A will be better off producing on its own.

Wrap-up / Recommendations for client:

I recommended that country A go it alone, based on their favorable cost position, and the fact that the remaining countries did not have enough volume to "open the flood-gates" in an attempt to punish me for leaving the cartel.

Desired Solution:

My answer was right on, but I did not mention the possibility of non-cartel producers who could fill the world supply.

Additional Comments:

Any additional comments

Other 03

Case Title Purchasing Consolidation	Company N/A
Type of Case Consolidation	Useful Frameworks Cost/Benefit Analysis
Initial Facts The VP of Procurement of a large diversified company is considering consolidating purchasing efforts. Each business unit currently operates autonomous purchasing departments.	
Case Question What are the considerations for consolidations?	

Supplementary Data:

See transcript below.

Given solution:

This is a tough one to use a framework for, I basically used a cost-benefit framework to see what benefits there would be in consolidation, and what costs we would incur.

Q: "In this diversified company, how much synergy would there be in consolidated purchasing, i.e., how much of the same types of products does each division purchase?"

A: Although each division orders specific materials, there is significant overlap in some divisions.

Q: "How does purchasing work today?"

A: Each division has there own purchasing department, and materials are purchased and delivered to each of the 13 divisions' central warehouses.

Q: "Where are these warehouses located geographically?"

A: They are all in the U.S., with 9 on the East Coast, 1 in Texas, 1 in Chicago, and 2 in California.

Wrap-up / Recommendations for client:

I recommend that the client consolidate the purchasing department if the benefits outweigh the costs:

Benefits:

Economies of scale from larger purchasing quantities

Reduction in number of buyers, managers

Closing of some East Coast warehouses (there can't be a need to have 9!)

Reduction in administrative costs (billing info, secretarial support, etc.)

Buyers may be able to establish closer relationships with vendors (we now order bigger quantities) and become more knowledgeable about products they are purchasing.

Costs:

Making the materials purchased uniform may be a problem for some divisions, i.e., order products with features that division 1 and 2 need but not that divisions 6 and 7 need – features that might make the materials more expensive than they would otherwise be if divisions 6 and 7 bought them on their own.

Distribution costs may be prohibitive, if warehouses were closed.

Overall, I anticipate the benefits would outweigh the costs, but would have to perform the analysis to determine what recommendation I would make.

PART 4

cases provided by consulting firms

Boston Consulting Group

Case Title	Company
Techware	Boston Consulting Group

Our case interview questions are derived from our client work. Your interviewer will introduce a business situation faced by a client and ask you how you would approach the problem. You will need to provide a logical structure for your investigation of the problem and then drive toward a solution by 1) prioritizing areas of investigation, 2) identifying and/or asking for critical information and 3) drawing conclusions from the facts.

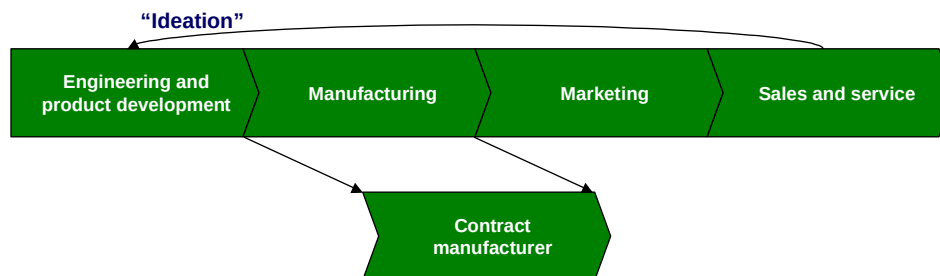
Following is one example of a case. Remember that there is not one “right” way to structure and solve any given case. Furthermore, remember that whereas you will be spending 25 minutes on the problem, we have usually spent weeks or months exploring it – your goal should not be to provide an exhaustive proof, but to show a logical approach and to come to a sensible conclusion.

Sample case interview

The setup

Our client, Techware, designs, manufactures, markets, sells and services networking hardware (it competes with Cisco). We have been working with Techware on a broad set of strategy issues. One issue that the company is exploring is whether to outsource its manufacturing organization – that is, handing off responsibility for manufacturing to a firm that specializes in manufacturing electronics. The company is interested in understanding the big picture issues related to this decision. The COO wants to ensure that he doesn’t look back five years from now and realize that there was compelling evidence that should have led him to a different conclusion. He’s given us three weeks to investigate the issue.

TECHWARE'S VALUE CHAIN AND OUR TASK



We were asked to help Techware determine if it should outsource manufacturing

- Part of a broader strategy for the company
- A quick look – three weeks – focused on the major issues

Would be a major change for the company

- Have historically manufactured *everything* in house

Motivation

- Competitors are doing it – are we at a disadvantage?

This would be a major change for Techware. Historically, it has manufactured everything it makes, down to the lowest tech elements of its product (e.g., the cables that connect its equipment to the computers with which it operates). Its motivation for considering outsourcing is that its major competitors are all employing outsourcing to some degree. Techware's COO wonders whether Techware is at a disadvantage in maintaining an in-house manufacturing organization.

With that, give me a sense of the factors that you would consider in making this decision. Let's explore those with an eye toward making a recommendation as to whether or not to outsource.

Building a good response – initial structure

A good response should start with a clear statement of the important factors to consider. There are several avenues that a very good response would highlight.

Customer preferences – Will our customers – current and potential – view the switch positively or negatively? Will they care at all?

Impact on operations – How will having an outside company as a manufacturing partner change the ways we do other functions (e.g., product development, service) do things today?

Economics – Does the change save money? What is its impact on required investment?

Effect on Techware's competitive advantage – Given all of the above, will this decision help or hurt Techware's positioning in the marketplace?

Some candidates couch some are all of these issues in a competitive analysis. While that's fine, remember what you recommend as an approach should be possible to complete in the three weeks of time that was cited as the case time frame in the set up.

Many candidates mention that the outsourcing decision does not have to be binary. While this might have been true in real life, for the sake of the interview, we treat it as a yes or no decision.

Exploring the issues

Customer preferences

One logical question to start with is “will the customer care?” Thinking through the dimensions that might cause the customer to care is a good way to check this box. Will the quality of the product change? Can the outsourcers deliver in an acceptable lead time? When we investigated these issues during the case through competitor and customer interviews, we found that there was actually some potential *upside* in outsourcing.

Impact on operations

The graphic shown in the setup suggests that handing off responsibility for manufacturing would entail changes in the handoff between product development (PD) and manufacturing. You should recognize that the interrelationship between these two functions is critical for a manufacturing concern, especially one that relies on a steady stream of new products to remain relevant in the marketplace. You may know that Techware's field is one of rapid innovation, but even if you don't, you can get information such as this out of your interviewer. Just make sure that you explain to him or her why you are asking the question.

Given the importance of this linkage, you'll want to thoroughly explore the impact of outsourcing on this. A strong candidate will further develop this point by probing how PD and manufacturing interact today. Outsourcing will present the challenge of dealing with an outsourcing partner instead of an in-house manufacturing function. When we investigated this during the case, we found that the current relationship between PD and manufacturing was quite dysfunctional. Fact was that this relationship needed to be restructured whether or not Techware decided to outsource.

Another relevant question here might be "does Techware employ proprietary manufacturing technology that an outsourcer would be unable to duplicate?" The short answer here is no. At the time of the decision, Techware was, at best, an average manufacturer.

Economics

With the "can we" questions out of the way, we can explore the major "should we" decision criteria, the economics. Most candidates highlight the impact on the income statement as a key factor. The decision should account for whether outsourcing delivers the product at a lower cost than the in-house manufacturing operation. During the case, we solicited bids from contract manufacturers to understand what would be the cost difference from outsourcing. Below is some representative data. The first column shows the makeup of Techware's cost of goods sold. The right hand column shows the savings in each cost category that one outsourcing company detailed in its bid.

COMPARING COSTS

	<u>Techware</u>	<u>ABC Contract Manufacturing savings</u>
Labor	5%	- 0 -
Overhead	20%	25%
Material	70%	10%
• Material handling	5%	50%

It's important in the course of the case interview to utilize relevant data to further your investigation. From this data, you should note that ABC could offer Techware 14.5% savings off of its cost of goods sold (COGS). The material cost savings – the largest source of savings – is likely from scale economies. In fact, Techware has revenues of about \$1 billion, with gross margins of 50%. In comparison, ABC co. is a \$5 billion

company. Given this advantage in purchasing power for items common across what it builds for its customers, it is difficult to think that Techware could close this gap on its own. It's reasonable to note that the outsourcing company's profit would eat up some of the savings, and that Techware will have to retain some overhead to manage the relationship with the outsourcer. That said, given the large amounts of savings that ABC has promised on first pass, it is likely that outsourcing would be a plus from an cost of goods sold perspective.

What many candidates don't consider is the balance sheet impact of the decision. The manufacturing operation employs capital in the range of a couple of hundred million dollars and requires a quite sizable investment to keep up with the latest manufacturing technology. While some of these costs are reflected in the overhead numbers above, it's important to think about the economic question from both the income statement and the balance sheet perspectives. If the company does outsource, what are the possibilities for the current manufacturing facilities? Can they recover some of the investment that has been made? Who might want to purchase the assets? There are different paths that you might suggest to maximize the positive impact of the decision on the balance sheet.

Effect on Techware's competitive advantage

Given all of the above, you can now assess the impact of outsourcing on Techware's competitive position. It does not seem that customers will suffer from a switch to an outsource manufacturer, assuming that we can build the right interfaces with product development. We know that Techware does not have any proprietary advantages in manufacturing. Furthermore, we see that the economics are favorable. Targeted questioning of your interviewer would reveal that Techware's equipment is priced about 5 to 10% higher than its competition in the marketplace. While that premium might be justified, reducing COGS gives Techware additional flexibility in setting price.

Implementing your recommendation

Outsourcing is obviously not a decision that should be taken lightly. If your recommendation in this case is to outsource, you should expect to be asked to outline the issues that you would pay attention to in implementing the recommendation. With any recommendation, you should ensure that it can be implemented given what you know about the company and the context of the problem.

A final word

The issues discussed above are representative of those that we focused on during the actual case. There are other issues that we covered, and there are others that you may have thought of that aren't covered here. Remember that you have a 25-minute window to discuss the case. The points described here are a set that would allow you to form a robust conclusion in that short period of time.

Since BCG cases are drawn from our work, the range of business problems that you might face in an interview is quite broad. . It's useful to practice a number of these case interviews, not to develop specific answers for particular problems, but to get used to structuring different problems in a logical manner.

Good luck!

A. T. Kearney 01

Case Title	Company
Powerstix	A.T. Kearney

Introduction

Powerstix Inc. has been an up and coming worldwide manufacturer of titanium golf clubs for the past 6 years. Based in Calgary, the Canadian company has consistently been building market share since their debut on their market in 1992 with their first edition of the “Rocket Launcher”, a high-end titanium driver that provides optimum accuracy and distance. Powerstix also produces a set of high-quality irons and is currently developing a new ‘perimeter weighting’ putter, due to hit the market next year. Sales reached a record \$250 million last year, a tenfold increase over the first year of operations.

The company is organized into 3 major divisions: Engineering, Manufacturing, and Marketing. Management is finding it difficult to keep an end-to-end view of the business, given the incredible growth of the company in the past few years.

Engineering

Powerstix Inc. currently employs approximately 200 engineers. Tom Simpson, the founder of the company, is a mechanical engineer graduate from MIT. Tom and three classmates started Powerstix based on a class project in their senior year of study. Engineering quality has been the key driver of success for Powerstix, and continues to be one of management’s top priorities.

As competitors continue to close the gap on the core technology, small market differentiators become increasingly important. As a result, engineering requires a lot of detailed input from the marketing division on competitive information and customer preferences. Currently, the engineering group feels that this link with marketing is becoming increasingly difficult to maintain, and consequently product quality may suffer.

Peter Davis, VP Engineering, is Tom Simpson’s sidekick, a fellow MIT classmate. He started the company with Tom as a follow-through of their senior year class project. He is an excellent engineer and a perfectionist when it comes to product quality. Although on the surface he understands the needs of manufacturing and marketing to get new product designs quickly, he is categorically opposed to compromising quality.

He is also very interested in developing new related products. Peter feels that Powerstix should branch out into other kinds of sports equipment (tennis rackets, ski equipment, mountain bikes, etc.). He feels that if Tom could just break out of his “conservative mold”, Powerstix could take their business to the next level. Peter continually pushes for more R&D investment to fund his “new toy research”.

Manufacturing

The manufacturing division has barely been able to keep up with consumer demand in the past few years. Dave Thompson, the division head feels that capacity investment has not kept pace with the rapid surge in demand, and as a result, delivery targets look almost impossible to meet this year. He feels that management has been too product development focused, and has largely ignored the constraints on his operations group. Defects per thousand were at an all-time high last year (11 per thousand).

Dave is also concerned about the shrinking lead times he is getting from engineering. They seem to be asked to retool for new product in less time each year. The combined effect of inadequate capacity investment and shorter engineering lead times, Dave feels, will undoubtedly have a downstream effect on product quality and customer satisfaction.

Marketing

Debra Johnson, VP Marketing, is a relatively new player on the scene at Powerstix. She was brought over from an athletic shoe company 3 years ago. Debra has made great strides since joining Powerstix, and has really helped turn the small engineering company into a market force. Her ideas have been very innovative and she has exhibited great public relations skills.

Debra is very challenged and excited by the new product line-up for the upcoming season. Like her counterparts in engineering and manufacturing, Debra feels the need for a large increase in her budget this year. The competition is getting increasingly tough, and Powerstix needs to invest to stay on top. Debra's compensation is tied directly to ROMS (return on marketing spend), which she feels she could dramatically increase through television advertising with a 25%-30% increase in her budget this year.

One of Debra's key concerns is time to market. Getting new product in the stores ahead of the competition really boosts market share in this industry. Debra feels that engineering is taking too long to develop new product, and the situation is getting worse. Engineering maintains that better input from marketing would help speed up the development process, but Debra feels that they are already overloaded with information, and any more would, in fact, slow down development times.

Management's Request

Tom Simpson has traditionally been being very debt averse. As a result, Powerstix follows a strict capital budgeting policy. Each year, 20% of previous year's sales becomes the total capital budget for the current year. This is then split between the 3 major divisions according to their respective business cases. This allows Tom to keep financing within the company's means.

Tom Simpson and his management team are slowly feeling their control over the direction of the company slipping away. After such rapid growth since their inception in 1992, it has been increasingly difficult to keep tight control over all aspects of the business. Tom feels the need for a clear approach that will take Powerstix into the next few years on a fast track to market leadership. Tom has set up a meeting with you to hear an overview of the key issues and proposed recommendations for Powerstix given your knowledge of the history of the young company. You shuffle through some rough interview notes that one of your fellow consultants has handed you based on her previous project at Powerstix and you begin to collect your thoughts for the meeting.

Interview Notes

Peter Davis - VP Engineering

- "Quality has and will continue to be the key to our success. Our customers are willing to wait a few extra weeks if necessary if they know they will have the best driver on the market."
- "Manufacturing is continually hassling us to speed up our development times. If they took all of the time they spend bothering us, and used it to improve their manufacturing process, maybe our product would get out on time and defect free. It's simple – I get shot if I release an inferior design. Manufacturing gets the new specs when we are 100% confident in the quality of our product, and not before."
- "It seems to be a one-way relationship with marketing. We continually provide them with an angle to sell our product, and they don't give us any feedback about how we're doing or how we can improve."
- "My boys (engineers) and I aren't feeling very challenged by these minor annual upgrades to Powerstix core product. I love Tom like a brother, but if he doesn't expand his vision, I'm taking my crew out on our own."

Dave Thompson – VP Manufacturing

- “Tom spends most of his time worrying about the next fad in golf clubs or about taking the company public. He just assumes the product will get out there somehow. If he wants to continue to grow as we have been we have to expand our plant significantly. This takes investment dollars, and Tom is too conservative with our financing to make it happen any time soon.”
- “We are pushing to the limit now to meet our orders. It doesn’t help that we can’t start churning out product until Engineering gets around to giving us the specs. They seem to push us harder and harder each year. I try my best to get them to work smarter, but they tell me I’ve been out of the engineering game too long to understand their issues. They don’t seem to care that I’m up to my ears in backlog.”
- “There certainly isn’t a tight link between sales and delivery. Our sales force is out there promising whatever they feel like to get the sale. What good are volume discounts when we can barely produce to demand at full price? We are going to alienate our customers if we continually disappoint them with delays. If Tom would slow down on building the small army he calls a sales force, maybe there would be some money left to help me get the product out faster.”
- “Our people and machines are under so much pressure to produce at full capacity, that we start to see mistakes in our craftsmanship. Quality has been our punch line all along, and if flawed product begins to find its way into the hands of customers, we are in big trouble.”

Debra Johnson – VP Marketing

- “Those guys need to get together to figure out how to get the darn product out faster. Being the first out with the new “toy” of the year is as critical as anything else in gaining market share. Quality is important of course, but it won’t matter if everyone has bought their new clubs for the year while you’re still developing yours. I can tell you that even the few delays we had last year hurt our image immensely.”
- “I know what our competitors are spending on marketing their products, and we don’t even come close. If we want to continue to play in this competitive market, we need to invest accordingly. Tom has been very good to me but it’s time to take Powerstix to the next level. We need to launch a national television campaign this year, I know it will boost our sales by at least 20%.”

Powerstix Corporate Data

(Millions)

	<u>1995</u>	<u>1996</u>	<u>1997</u>
Sales	\$ 135	\$ 173	\$ 251
EBIT	\$ 42	\$ 63	\$ 85
EBIT Margin	31.1%	36.4%	33.9%
Capital Budget	\$ 21	\$ 27	\$ 35
Engineering Capital Budget	\$ 11	\$ 14	\$ 17
Manufacturing Capital Budget	\$ 7	\$ 9	\$ 11
Marketing Capital Budget	\$ 3	\$ 4	\$ 7
ROMS (sales/marketing investment)	33.8	24.7	20.9
Avg. Retail Price (\$US dollars)			
Rocket Launcher (driver only)	\$ 449	\$ 469	\$ 499
Defects per thousand	4	6	11
Quality Score (out of 10)	9.7	9.7	9.4

Powerstix Case

Overview of Key Issues

Key Issues	Implications	
	Meets Expectations	Exceeds Expectations
Capital investment policy	— Current investment strategy does not support growth – insufficient funds — Appears consistently weighted towards engineering – Could be due to CEO's background — Increasing defects suggest that mfg. Investments are being neglected	— Should consider a change in ownership structure to raise capital (Public offering, partnership, etc.) — Must decide whether to focus on developing new products, or on leveraging existing product line
Profitability	— Fluctuating EBIT margin – significant drop from 1996 to 1997	— Suggests significant cost increases, given increasing unit selling price — Could be related to engineering cost/time overruns
Manufacturing problems	— Increasing defects likely linked to low levels of investment in mfg. Improvements — Also driven by shrinking lead times from engineering	— Decreasing quality scores will directly impact the company's ability to grow going forward
Time to market	— Company must determine how to make the quality/release date trade-off	— Company is driven more by engineering capabilities than customer needs
Organizational issues	— Lack of communication between the three divisions — Market/customer feedback and trends are not linked back to the product development and manufacturing planning process	— Differing views on customer priorities (superior engineering vs. lack of defects vs. first to market) — Potential to reorganize around products, rather than by function

Incentives	— Should reassess marketing performance measurement — Also may want to link engineering and mfg. compensation with market performance or profitability	
Competitive pressures	— As competition matches actual product specs, competition will become even more difficult	— Distribution network/relationships will be key to securing future sales – Mix of “push” and “pull” marketing
Overarching strategy		— Company must determine its core source of differentiation – Market focus vs. engineering/ production focus – Selling what customers need vs. what the company can produce – Golf club design and mfg. vs. titanium product manufacturing

A.T. Kearney 02

Case Title	Company
Glassware Case	A.T. Kearney

Overview

- A major U.S. glassware (e.g., drinking glasses) manufacturer has asked us to evaluate the competitive threat to its business should the North American Free Trade Agreement go through
- Note: NAFTA is a comprehensive trade treaty between Canada, Mexico and the U.S. which essentially phases out all tariffs and duties on goods sold between these three countries
- Our client is the number two manufacturer in the U.S. Its three plants are all in the Northeast U.S. It exports less than 5% of its goods. It is primarily worried about glassmakers in France, Mexico and Indonesia
- Glassware imported into the U.S. is currently hit with a 30% tariff

Background information (available if asked for)

- Our client has 25% of the U.S. market. Number one has 45%, three others make up the rest
- Of the \$800 million annual glassware sales in the U.S., less than 10% is imported, but this is growing despite current duties of 30% on all imported glassware, regardless of the country of origin
- Most of the growth in imported glassware is at the low end of the price range — which is our client's main market. The majority of these imports are from Mexico
- Glassware is a very scale-sensitive business. Furnaces are capital-intensive and very expensive to shut down and start up
- The major inputs to glassmaking are sand, soda ash, lime, heat (usually natural gas, but could be oil) and labor
- Labor, if cheap enough, can be used to offset the significant investment in furnaces. This is currently Mexico's and Indonesia's strategy, due to their low labor rates. Quality is clearly below U.S.-made goods, but acceptable at the low end of the market

Scope of this case

- This case is about competitive advantages
- Economics of manufacturing and transportation
- Distribution channels
- Trade barriers and legal recourse to dumping

First Question

- “Assume we’re on a tight budget and have only six weeks to come up with the answer. Keep in mind we only need to evaluate the threat, not develop a strategy to counter it. What framework would you suggest we use?”
- Expected answers should cover these points:
- Estimate the cost position for each of the major competitors
 - Obtain input factor costs for each country, primarily
 - Wages for unskilled and semi-skilled labor
 - Raw materials
 - Energy
- Derive a cost per ton produced
- Add transportation costs
- Add current U.S. duties for imported glassware
- Derive a U.S.-landed cost per ton
- Compare the imported cost to our client’s cost
- With and without import duties
- Better candidates would recognize the potential for Mexican-made glassware to become more of a threat as the NAFTA treaty phases out duties on glassware over the next ten years
- These candidates should also point out the potential for French and Indonesian glassmakers to build plants in Mexico as a back door to the U.S. market
- This leads to the other key points that a strong candidate should cover in her assessment of each competitor
- Financial resources — flexibility to expand globally
- Management intentions about expanding into the North American market
- Relationships with the major U.S. retailers (e.g., Wal Mart, Sears, J.C. Penney’s, etc.)
 - Ability to meet U.S. retailers’ expectations on non-price dimensions, such as
 - Just-in-time delivery
 - Promotional allowances
 - Strong customer service

Second question

- “Let’s say your analysis shows that the biggest threat appears to be from Indonesia because of their low labor rates, low natural gas costs and low cost of capital, due to their ties with the Indonesian government”
- “Your analysis also shows that they are selling their glass in the U.S. at about 20% below their estimated U.S. landed cost (production costs plus transportation plus import duties of 30%)”
- “First, why would they be doing this; second, how long might they keep this up, and third, what should our client do about this?”

Bain & Company

Case Title Australian Industrial	Company Bain & Company
Type of Case Declining Profits	Useful Frameworks Cost/Revenue and Profitability, 3C's
Initial Facts In 1996, client 'Australian Industrial' has 15% market share, vs. 30% of market leader and 20% of government. Imports entered the market in 1985 and now account for 12%. Revenue growth has stalled with revenues flat at \$100M for last three years, after 15 years of growing at 15%. Market growth also used to be 15% per annum, but recently slowed to 10%. The company made a loss in 1996, following 15 years of growing profits that peaked in 1994 (\$10M profit). The market leader's profits are currently steady at \$40M+. Imports are not yet making profits, but they are on a rising trend.	
Case Question Why have profits deteriorated? Can the business be turned around?	

Supplementary Data:

See transcript below.

Given solution:

Q. What is the client's cost structure, and how does it relate to competitors?

A. Client's cost structure is 40% fixed and 60% variable, with a sharp increase in fixed costs in recent years. Client costs are increasing, vs. steady costs for the leader and declining costs for imports.

[I concluded that the business is scale driven and that the client is disadvantaged]

Q. What is our product offering to customers, and how does it relate to competition?

A. Here is some data on price and quality for the three main competitors

	Leader	Govt	Client	Imports
Price	\$10	\$11	\$8	\$7
Quality	80%	95%	70%	90%

[I concluded that client is in a very weak position as it is difficult to change customer perceptions of quality.]

Q. Look at the client's quality numbers...very poor! What would it take to fix quality?

A. To get from 80% to 90% it would take \$15M. If you want to get to 95%, it would take \$30M

[I concluded that it's not cheap to fix the quality problems.]

Q. How has market share been evolving over time?

A. . Market share of imports has been growing steadily over time, from 0% in 1985 to 12% in 1996, at the expense of the other three big players.

Wrap-up / Recommendations for client:

There are really two top-level options, fix the business or exit it. Fixing it will likely prove impossible, as it would take fixing price and/or quality, neither of which can be done cheaply. Exiting presents two options, close or sell. Exit costs are likely to be high and liquidation value low, because of the high level of fixed costs. Selling the business appears to be the most attractive option, since the customer base would be a valuable asset and the market leader might be a very interested buyer, given the challenge from imports.

Booz Allen & Hamilton

Case Title Medtest	Company Booz Allen & Hamilton
Type of Case Declining Profits	Useful Frameworks Cost/Revenue & Profitability
Initial Facts This is your first meeting with the CEO of Medtest and you are discussing a potential consulting engagement. Medtest is the largest blood testing company in Texas. In your discussion with the CEO you learn that Medtest has had zero profit over the past two years. When asked to talk about the business, he tells you that blood tests are ordered by hospitals or physicians. Typically, blood samples are drawn in doctors' offices, hospitals or at collection centers. Blood samples are then sent to the closest lab for testing. Payment comes from individuals, hospitals or managed care organizations. The Texas market is dominated by Medtest and its main competitor, SampleCare. SampleCare has been able to achieve a 15% profit margin in the same market. In this business, volume is measured by the number of tests performed annually. He tells you he only has 20 minutes before his next meeting.	
Case Question He wants to know what approach you propose to improve the profitability of Medtest?	

Supplementary Data:

See transcript below.

Given solution:

This is a profitability issue. So, the framework that makes the most sense if to consider the profit equation

$$\begin{aligned}
 \text{Profits} &= \text{Total Revenue} - \text{Total Costs} \\
 &= (\text{Revenue/Test} - \text{Cost/Test}) \times \text{Volume}
 \end{aligned}$$

Let's consider all 3 components in turn: test volume, unit revenue and unit cost.

1) Volume/Quantity

Q: How does your test volume compare to SampleCare?"

A: We test 10,000,000 samples/year. SampleCare tests approx. 5,000,000.

2) Revenues:

Q. "What are the total revenues for Medtest and SampleCare?"

A. "Medtest has \$200MM in revenue while SampleCare's revenues are \$100MM.

Q. This tells us that the revenue per test is the same for both companies, \$20/test in both cases. On the surface we seem to be no different than our competitor, let us explore a little further however by looking at the business mix. "What are the market segments to be considered?"

A. "Customers, meaning payors, are either individuals (through primary care physicians), hospitals or managed care companies."

Q. "How do the revenues breakdown across these 3 segments for Medtest and for SampleCare?"

A. "The revenue mix in Medtest is essentially the same as in SampleCare and all the other smaller competitors.

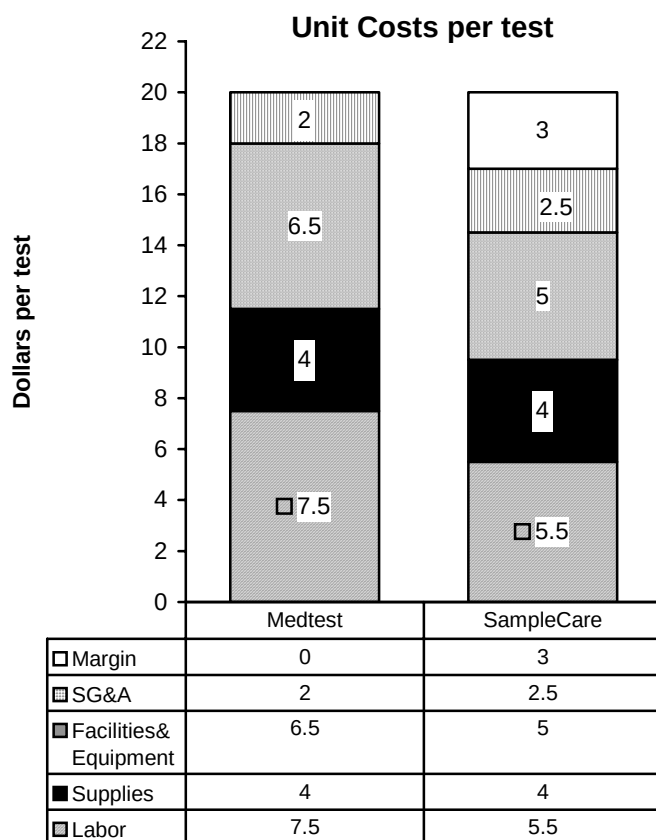
3) Costs:

Q: "Since pricing is the same and the test mix is similar, then higher costs must explain the difference in profitability. Do you know how your cost per test compares with your competitor's?"

A: "The costs per test is \$20 at Medtest. We estimate SampleCare's cost at \$18/test."

Q: Since we have a cost disadvantage, let us try and find out where it lies. "What are the key components of the cost per test at Medtest and how does this compare to SampleCare?"

A: "Labor, Equipment and infrastructure, Materials/Supplies and SG&A as shown by this chart:"



Q: "Clearly there are two areas where our costs are higher: mainly labor but also facilities and equipment. Let's focus on the largest gap, Labor.

4) Labor

Q: "Labor cost per test, equals the # of employees times the average salary per employee, divided by the number of tests. Therefore, we must be either paying our employees more on average or we must have lower productivity (employees/test). We need to understand the headcount at both companies in order to draw any conclusions.

A. We employ 1,500 people, SampleCare has 720 employees, based on our estimates.

Q. Hum, this means that Medtest pays an average of \$50,000 per employee. Meanwhile, SampleCare manages to pay only \$38,200.

($\$7.5 \text{ labor/test} \times 10\text{MM tests/year} / 1,500 \text{ employees} = \$50,000 / \text{year} / \text{employee}$)

($\$5.5 \text{ labor/test} \times 5\text{MM tests/year} / 720 \text{ employees} = \$38,200 / \text{year} / \text{employee}$).

This also means that our productivity is lower since we perform 6,670 tests/employee/year (=10MM/1,500), compared to SampleCare's 6,940 test/employee/year (=5MM/720). We suffer both from higher salaries and from lower productivity.

Please help me understand the labor breakdown: What are the different types of employees you employ?

A. "There are four types of employees to consider: Nurses who take blood samples at the collection facilities, technicians and highly skilled scientists who perform the different types of blood tests at the labs and finally the support staff. The headcount breaks down as follows:

<u>Labor Type</u>	<u>Medtest</u>	<u>SampleCare</u>
Collection Agents (Nurses)	500	200
Blood Testing Scientists	300	100
Technicians	600	350
Support Staff	100	70
TOTAL	1,500	720

Q. Hum, so I see that we have more Collection agents, relative to our volume of business, than SampleCare (which has half our volume). We also have higher ratio of blood testing scientists to technicians, compared to SampleCare even though the overall number of lab employees is in line with SampleCare (Medtest: $300+600 = 900$; SampleCare: $100+350 = 450$ for half the volume of Medtest). We therefore have a different mix of employees in labs and a higher number of collection agents. Are salaries for each labor category the same as SampleCare otherwise?

A. Yes, the labor market is very competitive in Texas and we pay similar salaries.

Q. Do you have any additional information around the causes of the differences in relative headcount between us and SampleCare?

A. No, I do not. What would you propose?

Q. I would recommend that we explore the drivers of labor headcount in collection and in lab testing. In doing so, we will find out whether the differences are structural or whether we have the latitude to bring our numbers in line with the competitive benchmark. For example:

- for lab testing, we need to understand when highly skilled scientists are really needed and when technicians can be substituted. Since we have the same test mix as our competitor, I would expect we may be able to shift some of the volume around and reduce lab labor costs.

- for Collection agents, we may find that we have disproportionately more collection centers than our competitors, which may lead us to reassess our network.

...

We had also found a significantly higher cost of facilities and equipment relative to our competitor, let's now examine this cost item.

5) Facilities & Equipment:

Q. How many facilities do we have?, do you know the comparable SampleCare numbers?

A. Yes, we do, this is easily available information. We have 4 labs and 250 collection centers. SampleCare has 2 labs and 100 collection centers.

Q. I see. We clearly have more collection centers than SampleCare, even when we prorate the numbers to our volume baseline: Medtest = $250 \text{ centers} / 10 \text{ MM test} = 25 \text{ centers per MM test}$. SampleCare = $100 \text{ centers} / 5 \text{ MM tests} = 20 \text{ centers per MM test}$. I would want to pursue this analysis in more detail and find out whether we can

reduce the number of Collection centers and still maintain our volume. We should really perform a profitability analysis center by center and determine the unprofitable centers and rationalize the network to make it more competitive and less costly.

Wrap-up / Recommendations for client:

We are almost at the end of our 20 minutes, let me summarize the approach I would like to propose and the logic of it. We saw that revenues were not the cause of low profitability, so tackling the problem on a cost basis was necessary. We found out that labor costs, and to a lesser extent, facilities costs were out of line. For labor we found two sources of higher costs: a higher number of collection agents and a different mix of lab employees.

I therefore suggest we tackle this problem by analyzing the drivers of the number of collection agents, very possibly linked to the higher number of collection centers, and by analyzing the potential to shift lab work away from scientist to technicians. We also need to examine the number of collection centers and determine if the least profitable centers could be shutdown during the consulting project.

Additional Comments:

This is a conventional profitability case. In order to do well with such a case, it is important to develop a systematic approach and leave no gaping holes. For instance, the interviewee in this example did a good job at exploring each avenue without diving in the detail. By doing so, he was able to get to the main causes of the problem and be certain that no obvious ones had been left untouched.

Deloitte Consulting 01

Case Title	Company
The Chicken Case	Deloitte Consulting
Initial Facts Scenario: The client is a manufacturer and distributor of veterinary medicine for numerous retail and commercial applications. The client is highly integrated across the globe and specializes in supplying many of the largest beef and pork producers with the required medicine products. The management has begun to notice an increase in chicken consumption across the globe and in the number of chicken farm producers. Wanting to take advantage of this upswing to increase their image and sales in the “chicken” market, they are trying to determine how best to proceed. Thus, our client has asked you for your assistance in trying to determine what specific next steps should be taken to best leverage their business competencies and where best to focus their resources and efforts in terms of marketing and sales.	
Case Question How would you structure the analysis of this problem?, what information would you need to secure?, Where should the client target their efforts and specific next steps?	

Supplementary Data:

- Chicken consumption is rising at 5% per year, while beef and pork each are decreasing at 2-3% per year
- Chicken farms vary in size and complexity based on country (location/ weather issues) and the use of genetics (hormones to stimulate faster breeding and growth)
- Most chicken farms in the U.S. belong to large co-ops or are assigned to “brands” (e.g. Perdue, Tyson, ...)
- Chicken farms are normally not part of large co-ops or franchises outside of the U.S.
- Medicine expense is normally less than 5% of the cost of “growing” a chicken
- Only 4 chicken medicinal products currently exist (2 are more overall health related, 2 are more geared toward growth), beef and pork have at least 15 products each.

- Medicinal products are used in conjunction with (mixed in) the chicken feed itself.
- The client only has 10% of the current chicken medicine business, they have over 50% of the beef and pork business
- The client's business is split 70% domestic, 30% international
- The client's organization is centered around channel (e.g. retail, commercial-vet offices, commercial-zoos, commercial-farms, etc.)

Desired Solution:

Points Students Should Address

- This case has two main areas which should be addressed:
- Organizational structure/alignment - ensure that opportunities such as the "chicken upswing" are taken advantage of and are given the appropriate level of priority and resources within the company, and
- Marketing segmentation - determining the best locations and customers to target the sales and marketing efforts
- Organizationally, the student should address most of these points:
- The advantages and disadvantages of aligning the company in the current "channel" structure
- The advantages and disadvantages of aligning the company in either a "food group" structure (i.e. beef division, pork division, chicken division, etc.) or a "location" structure (i.e. U.S., South America, Europe, etc.)
- From a food group perspective the advantages are clearly the focus gained in leveraging all resources around a common animal(s) that would be cared for by a similar set of customers using common products. The disadvantages lie in that the amount and reliance on such medicinal products vary greatly by geographic location.
- The location structure addresses the geographic issue since the industrialized nations tend to rely more heavily on "drugs" to supplement the feeding process and are more receptive to "enhancing" meat/chicken production in any way possible. The less industrialized nations will be less technologically advanced and will require somewhat different products due to potential health/sanitary conditions and will tend to be less receptive to spending "extra" money to breed healthier animals - more cost conscious providers. Disadvantages clearly lie in the loss of animal differentiation within the location structure

The student should identify these and other structures and after having highlighted the advantages and disadvantages of each come to his/her recommendation and why? NO RIGHT ANSWER GIVEN THE LIMITED INFORMATION, JUST CHECKING OUT THE THOUGHT PROCESS

From a Marketing Segmentation point of view, the student should address most of these points:

1. Determine a method for segmenting the chicken medicine market. (e.g. Student should utilize the fact that since there are only 3-4 chicken products available, they need to segment the market from either a volume or sophistication standpoint)
2. Determine a method to find out which farms/locations should be targeted given the above segmentation (Clearly the student should identify means by which to locate the highest chicken producing countries NOT those countries which have the highest consumption of chicken.)
3. Identify the need to understand the chicken feed market as a method to determine where high producing chicken farms exist and how to leverage existing distribution channels along with the feed.
4. Student should creatively explore other means to locate and target “high-value” chicken farms (e.g. alliance with major brands, lobby for governmental requirements for medicine, etc.)

Additional areas (extra points)

1. Highlight opportunities to sell direct to feed companies to jointly go to market with an enhanced feed product (better branding opportunities)
2. Identify need for potential new product development given the limited products in the chicken market relative to beef and pork to “grow the overall pie”
3. Realize need for flexible organizational structure to move with market demand conditions and consolidation drivers of producers - potentially more of a matrix organization around food group AND location.
4. Utilize commodity market conditions and movements to anticipate market conditions in the feed market and thus the producer market as well.

Deloitte Consulting 02

Case Title	Company
Internet Groceries	Deloitte Consulting
Initial Facts The client is a grocery store chain that is considering whether or not they should enter the emerging Internet based grocery shopping/delivery market in the Boston area. This regional chain is currently one of the leaders in the traditional grocery store market in northern New England. In their core market, two competitors have emerged in the Internet/at-home grocery shopping business, and are rapidly gaining market share. One of these companies that has already entered this new marketplace is the client's primary competitor in the traditional market. The second player is a chain that does not have grocery stores in the target region, but has entered the Boston area with Internet shopping delivery services.	
Case Question Should the client enter the market? If so, how, and what concerns should they have? If not, how do they protect market share from the emerging market that is threatening to steal business?	

Supplementary Data:

- The client has no real competencies with relation to Internet technology.
- The competitor without stores in the target region is gaining market share more rapidly than the company with stores in the target region.
- The traditional grocery store market share is split relatively evenly by the top three companies with each having approximately 15% of the total market. Our client is one of these three.
- Internet-based shopping is currently less than 1% of the total grocery market in the target region.
- The client currently serves primarily upper-middle class customers.
- Users of the Internet delivery system are typically upper middle class.
- Home grocery shopping utilization among Internet users is growing rapidly.
- Percent of upper-middle class homes with Internet access is growing rapidly.
- Current distribution facilities are not adequate for the delivery system.
- Current employees cannot perform required delivery tasks without retraining.
- Market recognition and trust is a primary driver, and takes time to develop.

Desired Solution:

Initial analysis should center around a typical market strategy model. Important issues that should be addressed include:

- Customers
- Demographics
- Growth ties to Internet
- Competitors
- Traditional/Internet
- Market Share
- Penetration
- Cost
- Margins
- Relative cost position
- Suppliers
- Core Competencies
- Logistics?
- Staff
- Retail vs. Delivery
- Market Dynamics
- Growth of channel
- Cannibalization

If the answer is “yes”, they should address operational concerns such as:

- Inventory management
- Delivery management

If the answer is “no”, they should have a solid business reason why, and creative alternatives for market share protection.

Deloitte Consulting 03

Case Title	Company
Infant Formula	Deloitte Consulting
Initial Facts The client is a manufacturer and distributor of infant formula. They sell product nationwide, and are in the middle of the pack in terms of market share. They are currently trying to boost their market share while maintaining profitability. There is a government welfare program called WIC (Women, Infants, Children) that allows individuals living below the poverty level to receive vouchers for infant formula for their children. Unlike most welfare programs, this one is subsidized by the actual producers of infant formula. On a state-by-state basis, infant formula producers bid for the right to be the sole supplier of infant formula to welfare recipients in that state. In addition to paying the government for the WIC contract, the client also provides rebates to retailers for WIC sales. As a result, income received from WIC sales is substantially less than that received from normal formula sales. In fact, sales to mothers that remain in the WIC program for more than 12 months result in a net loss.	
Case Question In trying to determine how much to bid on a WIC contract for a given state, what factors should you consider?	

Supplementary Data:

- Many stores allocate shelf space based on the volume of product sold.
- The retailers of the product are reimbursed for the full cost of the infant formula.
- The producers and distributors of infant formula don't retail infant formula.
- Most recipients in the WIC program don't stay in the program for more than 12 months
- Some WIC recipients enter and leave the program multiple times

- Infants require formula for approximately the first 22 months of life
- Recipients typically use a single brand of formula throughout the infancy of their first born
- Recipients often switch back and forth between brands for second and later born infants
- WIC contracts run several years
- Different states have higher percentages of WIC enrollment

Desired Solution:

This case is fairly wide open, and presents an issue that is most likely unfamiliar and ambiguous. One challenge will be for the interviewee to find one or more issues that they can explore more in-depth.

The basic focus of their analysis should deal with the relative profitability of a WIC contract. The analysis should touch some, if not all, of the following issues.

- Profit/Loss per WIC recipient in a given state
- Number of WIC recipients in a given state
- WIC contract sales synergies (i.e. increased non-WIC sales)
- Economies of scale resulting from WIC sales
- Distributor relationships
- Relative cost position for competitors (game theory)
- Strategic initiatives

Ultimately, they should come up with some sort of explanation for how numbers would be run to estimate an appropriate contract bid. One example might be:

$(\text{WIC revenue} - \text{rebates} - \text{COGS}) + (\text{synergistic nonWIC revenue} - \text{COGS}) \geq \text{Contract Bid}$
COGS takes into account economies of scale.

Real world situation is that synergies are strong, and WIC recipients bounce in and out of program but stay loyal to product for first-borns. Not only are the synergies positive, but on average WIC recipients are profitable because they pay retail for nearly half of the formula that they purchase over the first 22 months of their child's life.

Deloitte Consulting 04

Case Title	Company
Stopped at the 3-Yard Line	Deloitte Consulting
Initial Facts	
The client is a manufacturer of sports equipment and supplies, with greater than \$550 million / year in sales. They have just purchased a small, struggling sports magazine with roughly \$1.5 million / year in sales for the purpose of gaining access to its subscriber list for direct marketing purposes. A recent court decision, however, has forbidden the use of the subscriber list for such a purpose.	
Case Question	
The CEO of the client has asked for help deciding what to do with this company. What avenues would you pursue, what information would you look for, and what suggestions would you make?	

Supplementary Data:

- The client currently sells primarily to retail chains. They are trying to start a direct marketing business, because margins are roughly twice what they are selling retail businesses.
- The magazine sells primarily through subscriptions, with a subscription list of roughly 35,000.

Desired Solution:

The student can take this case in several directions. S/he can discuss attempts to try to turn the magazine company around through examining strategic options or through focusing on the operations of the company. S/he can assess the possibilities for disposing of the company. S/he may discuss the synergies that may still exist, such as the strength of the free advertising and the implications of the purchase upon the magazine's business (revenue from other advertising may suffer). S/he may also come up with creative suggestions for how to use the new company in a slightly different way, for example, to use the facilities for production of internal or market communications, or using the magazine to conduct market research.

Deloitte Consulting 05

Case Title	Company
Hospital Turnaround Strategy	Deloitte Consulting
Initial Facts Our client is a 350-bed hospital in a mid-sized city. They are primarily a community hospital, but have strong ties to the local medical school and have approximately 65 residency positions within the medical and general/orthopedic surgical services. The hospital has several highly respected ambulatory services (Cardiology, Oncology, OB/GYN) and a well-known rehab center for Cardiology, Pulmonology, Neurology and Sports Medicine. In addition, the Board members represent the most influential business people in the community and the CEO is a world-famous Oncologist who is frequently invited to be a keynote speaker at international conferences. The organization has historically exhibited strong financial performance, and had a 1-3% operating gain each year for the last five years. However, they are projecting a \$12 million operating loss this year, and expect this situation to worsen in the coming years. As a result, the CFO believes that they will be out of cash within five years.	
Case Question They have asked us to identify the source of this sudden downturn in performance, and to come up with alternatives to restore them to a break-even position. They are one of the largest employers in the market, and will not consider layoffs as a possible solution.	

Supplementary Data:

- There are two other 350 bed competitor institutions in the city. One is an academic medical center, the other is a catholic hospital that has recently been acquired by a for-profit chain
- Revenues have dropped approximately 15% so far this year due to aggressive pricing on capitated managed care contracts that were signed in January and declining admissions and length of stay for their fee-for-service contracts, most of which are still reimbursed on a per diem basis. All contracts are binding for three years, and cannot be renegotiated
- Expenses per admission currently exceed revenues per admission
- Staffing costs represent approximately 65% of total operating expenses
- Total admissions in the marketplace have dropped by 5% and total patient days have declined 10%. Our client's admissions have dropped by 5% as well, but length of stay has remained the same for the past three years

- Hospital occupancy is approximately 70%, resulting in high fixed costs that are not covered by the current contribution margin. The organization is currently staffed for 80% occupancy
- The utilization of diagnostic and therapeutic services during a patient's stay is approximately 15% higher than what was expected when contract pricing was negotiated
- The physicians that admit to the hospital are community based physicians and do not share risk with the hospital on their managed care contracts, nor do they have incentives to control utilization

Desired Solution:

The candidate should identify the fact that the hospital has negotiated its contract prices without first understanding its cost structure. Since hospitals have a high fixed cost structure that cannot be significantly reduced by closing wings or units, the candidate should focus on their ability to control variable costs. Staffing is the most obvious variable costs, particularly since it accounts for the majority of the operating expenses. However, since the client has decided that it will not reduce staff to lower its costs, the only way to reduce operating expenses in the short-term will be to attempt to control utilization. The candidate should focus in on changing physician behavior since physicians ultimately control most of the other variable costs through the tests they order, how many patients are admitted, etc. This can be done by aligning MD incentives with those of the hospital by sharing risk (legally), giving physicians data and education about the cost of their practices versus best practices demonstrated by their colleagues, etc. Other ways to reduce expenses could be to sign exclusive contracts with a distributor in order to generate volume discounts and economies in purchasing, or by reducing choice by limiting the pharmacy formulary to generics and decreasing the number of vendors utilized for high volume items such as prosthetics and heart catheters.

Another alternative is to increase revenues. This can be done by signing contracts with additional insurers, by putting salaried physicians on staff to guarantee that they admit to our client's hospital, or by creating an affiliated physician organization to increase their share of admissions. In addition, they can potentially leverage their distinctive competencies in Oncology, etc. by developing Centers of Excellence that can be marketed to managed care contractors as an exclusive provider for those services within the region, and possibly outside the region.

The candidate may also discuss the possibility of affiliating with a competitor in order to decrease capacity across the city by rationalizing the services offered at each institution, and to potentially close one hospital, thereby reducing fixed costs.

Deloitte Consulting 06

Case Title	Company
Emergency room operations improvement/reengineering	Deloitte Consulting
Initial Facts	
Our client, a large academic medical center in a major metropolitan area, has hired Deloitte & Touche Consulting Group to reduce expenses in their Emergency Room. They have identified the ER as one of their highest costs departments, and have set a target of reducing operating costs by 25% within two years. They would like our assistance in identifying the opportunities for cost reduction, redesigning the operations to eliminate the costs, and implementing the changes.	
Case Question	
How would you structure an approach to this project?	

Supplementary Data:

- Our client's ER operating costs are approximately 40% higher than other ER's in the local community hospitals, but only about 10% higher than other benchmark academic medical centers
- Many of the local homeless people utilize the ER as a primary care clinic i.e., they come in when they have colds, cuts and bruises, or just need a meal or a place to sleep
- There are no urgent care centers or physicians offices that are open nights or weekends within a 10 mile radius
- The ER is staffed with highly skilled, licensed personnel (e.g., residents, attending physicians, and nurses), that see every patient that comes to the ER. They have not considered using Nurse Practitioners to see less critical patients or Patient Care Technicians to assist nurses and physicians with simple tasks that do not require licensed personnel (e.g., assistance with personal hygiene, simple bandage changes)
- Use of residents in the ER leads to a high level of testing for many patients with routine complaints

Desired Solution:

This is a fairly straightforward case to assess how well the candidate can “peel the onion”. The candidate should first attempt to determine whether the client’s 25% cost reduction goal appears reasonable. They should mention analytic approaches such as benchmarking and a high level review of workflows and patient flows. Once they determine that based on benchmarks it will be difficult to reduce operating expenses by more than 10%, they should mention that a more radical approach will be required if the client still wishes to eliminate the full 25%.

Areas to explore to achieve the first 10% include:

- Potential to reduce staff based on staff levels versus benchmarks
- Matching staff to workload by time of day
- Identifying opportunities to improve skill mix by substituting less costly staff as appropriate
- Ability to streamline workflows, leverage technology, etc. to create opportunities to reduce staff further
- Number of management layers
- Potential to have more experienced physicians review resident orders to eliminate unnecessary testing
- Improved triage to identify patients that need to see a doctor versus a lesser skilled provider
- Improved triage to identify patients who could be encouraged to see their own physician the next day in a less costly setting
- Ability to reduce purchase price of supplies and pharmaceuticals

Areas to explore to achieve the next 15% include:

- Developing a fast track system for patients with colds and minor injuries that could be seen by a nurse practitioner instead of a physician
- Opening one or more urgent care centers in the community to reduce ER visits by non-critically ill patients
- Developing revenue enhancement opportunities such as opening 23-hour observation beds to generate ER revenues and simultaneously reduce costly admissions from the ER to inpatient units for patients that require extended monitoring (e.g., dehydration, rule out heart attack)

Deloitte Consulting 07

Case Title	Company
Hospital Market Capture Strategy	Deloitte Consulting
Initial Facts Our client is a 125 bed community hospital that provides general medical and surgical services to individuals that live within a 5-10 mile radius of the hospital. There are eight other community hospitals within a 15-mile radius, and one academic medical center approximately 7 miles to the east. Although the county in which the hospital operates is relatively affluent, the area immediately surrounding the hospital has the highest unemployment and poverty level in the area. As a result, our client tends to serve a large proportion of the county's Medicaid and medically indigent patients, while their competitors capture most of the commercially insured population. Our client has lost significant market share during the past five years. As a result, occupancy has declined from 85% to 50%. The CEO and CFO have determined that the organization will no longer be viable as an acute care facility unless they can achieve and sustain at least 80% occupancy.	
Case Question They have asked us to assist them in developing a strategy to rebuild market share in order to guarantee the required volumes.	

Supplementary Data:

Strengths

- Excellent trauma level emergency room
- Strong board, with influential membership, that is committed to keep the hospital open
- Only provider for the poor and medically indigent within an affluent region
- Strong inpatient and outpatient psychiatric services
- Strong HIV/AIDS program

Weaknesses

- Majority of physicians affiliated with hospital are foreign medical grads, leading to a community perception of substandard medical care
- Old facility that is not up to code, and requires extensive renovations to make the institution physically attractive
- Losing \$15 million/year
- Less than 2 days cash on hand, 360 days in accounts payable
- On the New York State distressed hospitals list

Opportunities

- Potential to develop targeted programs to address community needs - e.g., sickle cell anemia, cardiac rehab, prison unit
- Affiliation with a strong regional institution
- Develop primary care network to better serve the needs of the poor in a more cost effective setting than the hospital
- Access to state funding for distressed hospitals to pay off vendors and to cover prior losses

Threats

- Competing, high quality Physician Hospital Organizations developing rapidly within the region
- For profit hospital chains attempting to enter market
- Competitor hospitals renovating and making their institutions increasingly attractive to paying/insured patients
- State has warned client that it may force them to shut down if a turnaround strategy is not in place within 3 months

Desired Solution:

Candidate should quickly come to recommendation that client must affiliate with another institution. Cash position will not allow for large investments in plant or program development, but it may be attractive to keep facility open in order to serve the poor. The state may find this a good alternative to compromising the financial position of competitors that would have to absorb the indigent population that is served by our client. However, it is unlikely that they will be able to attract enough paying patients to make extensive investments worth the return on investment. Affiliating with another organization would allow our client to dramatically downsize, and potentially exit the inpatient market. Becoming an urgent care and outpatient facility that serves targeted populations and feed inpatient business into a stronger institution may improve the financial position of both our client and its possible affiliates.

PART 5

sources for more help

CHAPTER | 2

Additional resources...



There is no shortcut to good research prior to your interviews, but some sources are better than others. Here's where the good stuff is!

If you find any useful sites that are not on the MCC site or any other great sources of information, please e-mail us: mccofficers@sloan.mit.edu

About the Consulting Industry

1. [MIT Sloan MCC Web Site](#).

web.mit.edu/Sloan-mcc Your first place to check for various links!

2. ["So, You Want To Be a Management Consultant"](#) by Wet Feet Press. See the MCC web site for a link to their site, but call 800-926-4JOB to order. \$15 each for MIT Sloan students.

The best guide to management consulting out there! Short but sweet.

Note: Check out Wet Feet's web site to browse titles but **order by phone**. You need to tell them you are from MIT Sloan to get the \$10 discount from the normal price.

3. ["The Witch Doctors: Making Sense of the Management Gurus"](#) by John Micklethwait and Adrian Wooldridge. ISBN 0-8129-2833-4. \$25.

This is a great history of management consulting and will give you lots to talk about with your interviewer!

4. [Consultants News](#) (industry newspaper)

You may want to check this out to keep current on the industry. It's in the CDO.

Researching Consulting Firms

1. [Wet Feet Press Company Insiders](#). See the MCC web site for a link to their site, but call 800-926-4JOB to order. \$15 each for MIT Sloan students.

At last count, over 15 top firms have been profiled by Wet Feet Press. These insiders are about 40 pages long and have nearly everything you need to know to ask smart questions during the interview. And they keep these guides very current.

Note: Check out Wet Feet's web site to browse titles but **order by phone**. You need to tell them you are from MIT Sloan to get the \$10 discount from the normal price.

2. [Vault.com](#)

You will find very good case interview guide and consulting industry guide there.

3. [Firm Web Sites](#).

Check out the MCC web site for links to all the firms that recruit at MIT Sloan.

Personal Interviewing

1. "Power Interviews: Job-Winning Tactics from Fortune 500 Recruiters" by Neil Yeager and Lee Hough. ISBN 0-471-52114-0. \$14.95.

A great guide on how to answer the tough questions!

2. "PCS to Corporate America: From Military Tactics to Corporate Interviewing Strategy" or "Your Career Fast Track Starts in College" by Roger Cameron. ISBN 0-9623216-5-6. Call 800-444-9832 to order by mail. \$15.

Even though the first book is oriented toward former military officers and the second book is oriented toward undergraduate college students, these books are **by far the best guides** on how to interview with top companies. They cover all the things you never think about when interviewing, but should. Very no-nonsense material and a quick read. Don't buy both books, because the meat of the two books is basically the same.

Case Interviews

1. "Ace Your Case" by Wet Feet Press. See the MCC web site for a link to their site, but call 800-926-4JOB to order. \$15 each for MIT Sloan students.

This book contains nearly 70 pages of cases and frameworks. Perhaps a little redundant since you are using the MCC book, but a little more practice never hurts. They also have released a sequel with more cases. (No, they do not pay us to say nice things about them...)

Note: Check out Wet Feet's web site to browse titles but **order by phone**. You need to tell them you are from MIT Sloan to get the \$10 discount from the normal price.

A final Word

Good luck to your interview!